ALAN SOUZA LIMA

STRATEGIC DECISION-MAKING IN SMALL FAMILY BUSINESSES: AN ASSESSMENT OF DETERMINING FACTORS

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ABSTRACT

This dissertation examines how strategic decision-making occurs in family businesses, considering the specificities arising from the overlap between family and organizational systems. Although the literature acknowledges the relevance of family firms to the global economy, conceptual gaps and theoretical fragmentation remain regarding the factors that shape strategic decision-making processes in these contexts. Accordingly, the main objective of this research is to identify and systematize the factors that influence strategic decision-making in family businesses, while also advancing the conceptual delimitation of the phenomenon itself. The research is structured into three complementary studies. The first examines the determinants of strategic decision-making in small businesses, identifying structural, behavioral, and contextual elements that influence the decision-making process. The second study conducts a conceptual reassessment of what characterizes a strategic decision in family firms, using an inductive analysis of the literature and proposing a definition adapted to the specificities of this type of organization. The third study proposes a reconceptualization of the family firm as a continuous construct, arguing that family influence should be understood in varying degrees across the dimensions of ownership, governance, and management. Methodologically, the dissertation employs systematic literature review and conceptual reconstruction procedures, allowing the identification of analytical patterns and theoretical gaps in the field. The findings indicate that strategic decision-making in family businesses is characterized by the coexistence of economic and non-economic objectives, the centrality of family influence in decision processes, and the presence of organizational structures that are often informal and owner oriented. As a contribution, this dissertation organizes relevant factors for the study of strategic decision-making, proposes a conceptual definition tailored to the context of family businesses, and introduces a continuous approach to understanding family influence within organizations. These advances contribute to the theoretical development of the field and provide analytical foundations for future research.

Keywords: strategic decision-making; family businesses; strategy; family influence; small businesses.

1 INTRODUCTION

This dissertation aims to explore the interplay between family businesses and strategic decision making. In the organizational context, a decision is considered strategic when it involves the main initiatives – both planned and emergent – taken by managers on behalf of the owners, with the goal of allocating resources to improve the company's performance in its external environment (Nag et al., 2007). However, when adapting definitions and expectations of strategic management to the context of family businesses, it becomes evident that decisions are often made in other configurations, diverging from the accepted definitions (Gasperin et al., 2022; Hirigoyen et al., 2012).

Thus, definitions of strategic management for family businesses are often ignored, changed, distorted, or adjusted to reflect the particularities of these organizations or to fit within the context of studies (DiMaggio & Powell, 1983). Claiming the "strategic" description is often just a matter of superficial conformity, that is, an attempt to conform to an expectation or narrative while not entirely fitting in (Zucker, 1977). In family businesses, especially small ones, strategic decisions frequently originate from the owner or family members, but also even in structures with greater hierarchical complexity (Hirigoyen et al., 2012; Singla et al., 2023). This characteristic distinguishes the decision-making dynamics in these companies, where family influence in the decision-making process is predominant, as family members occupy top decision-making positions (Piana et al., 2012). Therefore, it is possible to consider that family businesses have their goals and strategies influenced by family dynamics (Nulleshi, 2022).

The presence of family members in key decision-making roles challenges an economic and purely rational view of organizations, which tends to align organizational performance solely with financial outcomes (Perin et al., 2004; Venkatraman et al., 1986). The literature on family businesses challenges this line of thought, indicating that many decisions in these organizations are guided by family interests and well-being (Nulleshi, 2022), as proposed by the Socioemotional Wealth (SEW) Theory (Gómez-Mejia et al., 2007).

The interdependence between family and business is evident, as both systems mutually influence each other (Habbershon & Williams, 1999). Consequently, when one of these systems undergoes a change, the other is also affected (Hirigoyen et al., 2012). Some authors have emphasized the importance of family influence in the strategic decision-making process

in family businesses (Bizri, 2022; Darabos, 2022) and have identified several key themes, including the influence of succession and generational aspects (Bammens et al., 2022; Bloemen et al., 2023; Tutar et al., 2022), the skills, aptitudes, and experiential biases of the decision-maker when the owner makes the decisions (Goyal et al., 2022; Michael, 2023; Singla et al., 2023) and family interests as a factor influencing the decision-making process (Arzubiaga et al., 2023; Bizri, 2022).

However, despite the relevance of these contributions, current literature remains fragmented. Family and business characteristics are expected to be balanced between the emotional aspects of the family and the economic aspects of the business in organizational and decision-making processes, as this balance is fundamental to the sustainability of family entrepreneurship (Wang et al., 2022). Family influence in key management positions promotes the adoption of family-centered objectives, such as authority, identity, social status, and dynastic continuity (Kotlar et al., 2014). In addition, literature indicates that family relationships and the conflicts arising from these relationships significantly influence the decision-making process in family businesses (Gasperin et al., 2022). According to some authors, one of the main sources of conflict is the transition of generational succession in decision-making, leading to discrepancies in knowledge, skills, processes, and routines (Gravic, 2021; Le Breton-Miller, Miller, & Steier, 2004). Some studies feature differences in the use and understanding of technological tools, pointing to informational asymmetries between generations (Burgel et al., 2023; Gasperin et al., 2022; Gravic, 2021).

These internal dynamics interact with another dimension frequently overlooked in the literature: the structural diversity of family businesses**.** Variations in organizational size shape decision-making processes influence the distribution of managerial authority and alter the degree of owner centrality (Jessica et al., 2021). Although many family firms are small, it is incorrect to restrict the conceptualization of family businesses to this segment. Conversely, strategic decision-making research in small businesses rarely incorporates the family dimension. This dual disconnect creates an important theoretical gap: studies on small firms often ignore family influence, while studies on family firms tend to assume size neutrality. Yet both aspects (size and family influence) shape strategic behavior in intertwined ways. Some studies have already pointed out variations in decision-making processes in companies of different sizes (Afolayan & Harpe, 2019; Rice, 1983), reinforcing the need to address this intersection explicitly.

Beyond structural variation, the field faces a deeper conceptual issue. These factors collectively suggest that the adaptation of the concept of strategic decision-making to family business contexts may have become reified. Reification occurs when "constructs become taken for granted, but researchers increasingly fail to specify the assumptions that underlie their use" (Lane, 2006, p. 833). Many authors apply strategic management theory without adapting it to the unique logic of family businesses, which can lead to misinterpretations. The lack of consideration for definitional and contextual nuances makes it difficult to assess the development of the concept of strategic decision-making in small family businesses - its growth, additions, and modifications. When a concept becomes reified, it struggles to remain relevant for long-term theoretical development due to the widening gap between theory and operationalization, as well as the difficulty of comparing studies (Lane, 2006).

Conversely, studies that do not adapt strategic decision-making to the context of small family businesses tend to analyze the scenario, data, and companies in a generic manner, without necessarily offering significant theoretical contributions (Hambrick, 2007; Van de Ven, 2007). These studies often follow the reverse path - from the field or phenomenon toward theory - without an effective conceptual connection, resembling consultancy reports more than academic research.

Taken together, these conceptual tensions indicate the need for a more integrated and carefully articulated understanding of strategic decision-making in family businesses. Rather than treating strategic decisions as extensions of conventional management theories or assuming that family influence can be captured through categorical labels, this dissertation argues that a deeper conceptual reconstruction is required. To address this need, the studies that compose this dissertation examine how strategic decision-making has been defined, interpreted, and operationalized across both small-business and family-business research; identify the factors that structure decision processes in family firms; and propose revised conceptualizations capable of capturing the variability and complexity of family influence. Through this analytical progression, the dissertation seeks to advance a more consistent theoretical foundation for understanding how strategic decisions emerge in family businesses and how the construct of "family business" itself can be more accurately conceptualized.

1.1 Research Problem

Research on strategic decision-making has been conducted from different theoretical traditions, particularly within the fields of strategy, small business studies, and family business research. However, when these perspectives are mobilized to explain the phenomenon within family firms, persistent conceptual and methodological inconsistencies appear. Although family businesses exist across all size categories, many exhibit decision-making characteristics commonly associated with small firms, such as informality (Mazzarol, 2020; Welter et al., 2018), owner centrality (Carland et al., 1984; Miller et al., 2011), and lean managerial structures (Daily & Dollinger, 1992; Stewart & Hitt, 2012). For this reason, studies on small businesses offer analytically relevant contributions for understanding certain decision patterns, but they do not replace a theoretical approach that accounts for the distinctiveness of family influence. Thus, family businesses must be examined according to their own conceptual assumptions rather than treated as a mere variation of small firms (Chrisman et al., 2005; Kotlar & De Massis, 2013).

Despite the accumulated progress over recent decades, the literature on strategic decision-making in family firms still lacks theoretical consensus regarding how strategic decisions emerge and which mechanisms shape these choices (Chua et al., 1999; Sharma et al., 2012). Existing studies typically emphasize the role of family influence (Chrisman et al., 2005; Kotlar & De Massis, 2013), emotional priorities associated with socioemotional wealth (Berrone et al., 2012; Gómez-Mejía et al., 2007), the preservation of family identity and values (Zellweger et al., 2010), and generational succession dynamics (Cabrera-Suárez et al., 2001; Le Breton-Miller et al., 2004). However, few works clearly explain how these dimensions translate into concrete decision-making processes. As a result, the field presents fragmented explanations that describe isolated components of the phenomenon but do not clarify its underlying structure.

The first gap concerns the very nature of strategic decision-making in family firms. Decisions in these organizations often arise through informal and emergent processes (Chua et al., 2009) tacit and experience-based reasoning (Nonaka & Takeuchi, 1995), and highly centralized authority patterns anchored in ownership and familial ties (Stewart & Hitt, 2012). Yet the field lacks an integrated understanding of how these elements collectively constitute a

strategic decision-making process. This leads to the question: a) *How should the strategic decision-making process be conceptually defined in family businesses?*

The second gap stems from the incomplete integration between advances produced by small business research and those originating within the family business field. Although the literature on small firms elucidates elements such as informality (Mazzarol, 2020; Welter et al., 2018) and owner-driven action (Carland et al., 1984; Jennings & Beaver, 1997), these characteristics manifest differently when embedded in a family system shaped by emotional ties (Berrone et al., 2012), socioemotional wealth (Gómez-Mejía et al., 2007), and intergenerational dynamics (Cabrera-Suárez et al., 2001; Le Breton-Miller et al., 2004). The result is a conceptual misalignment between the two fields, since traits considered structural in small firms assume different meanings, intensities, and implications when filtered through family influence. From this tension emerges the following question: b) *How can theoretical contributions from small business literature be incorporated without distorting the distinctive mechanisms of decision-making in family firms?*

The third limitation arises from the literature's emphasis on the consequences of strategic decisions - performance, growth, continuity - rather than on the processes through which decisions are formed (Eisenhardt & Zbaracki, 1992; Papadakis et al., 1998). This emphasis obscures the pathways through which strategic reasoning unfolds in family-controlled environments. Consequently, an important question arises: c) *Why has the field prioritized outcomes instead of the processes that generate strategic choices in family firms, and what are the implications of this imbalance?*

The fourth gap concerns the limited empirical investigation of the mechanisms that structure decision-making, such as routines, heuristics, emotional interactions, and negotiations between the family and business systems (Chua et al., 2009). Without clarity about these mechanisms, explanations remain partial. This leads to the question: d) *Which mechanisms structure strategic decision-making in family businesses, and how do they interact?*

The fifth limitation reflects a methodological imbalance: much of the empirical evidence in strategic management derives from large corporations or publicly traded firms, even though family firms constitute most organizations worldwide (Aldrich & Ruef, 2018). This dependence reduces the external validity of theories when applied to family firms and

motivates the question: e) *To what extent do theories derived from non-family or large corporations explain strategic decision-making in family firms?*

Taken together, these issues indicate that existing research illustrate contextual conditions surrounding decision-making (for instance, succession, emotional priorities, owner characteristics) but does not explain how strategic choices are formed in family organizations. The field lacks a conceptual structure capable of integrating mechanisms, processes, and family influences into a more complete understanding of how strategic decisions emerge.

Considering these conceptual tensions, fragmented explanations, and methodological limitations, the central question guiding this dissertation is: What factors influence strategic decision-making in family businesses?

1.2 Objectives

Strategic decision-making in family businesses emerges from organizational, behavioral, and family-related dynamics that intersect in complex ways. Given the conceptual fragmentation and methodological limitations identified in the literature, there remains a need to determine which elements consistently shape how strategic choices are formed in these firms. In this context, the present dissertation pursues the following objective:

General Objective

To identify and systematize the factors that influence strategic decision-making in family businesses.

Specific Objectives:

To address the conceptual and empirical gaps outlined in the literature, the dissertation develops the following specific objectives:

a) To examine the factors that influence strategic decision-making first in small businesses and then in family businesses, establishing how each context contributes to the conceptual understanding of the phenomenon.

b) To propose an appropriate and well-aligned definition of strategic decision-making for family businesses, informed by the conceptual inconsistencies identified in prior

research.

c) To advance a non-binary conceptualization of family influence, demonstrating that family firms vary in degree rather than category, and to develop a theoretical discussion that frames family influence as a continuous construct.

1.3 Justification

Strategic decision-making process in family businesses has attracted increasing academic attention due to its inherent complexity and the distinctive interaction between family dynamics and organizational structures. Notably, the 2020s have shown a significant acceleration in the volume of publications, with more than half of the studies examined in this dissertation published during this recent period. Foundational contributions such as Morris et al. (1997), Craig et al. (2008), Bee et al. (2014), and Arnold et al. (2023) illustrate the continuity of research efforts in the field and reinforce its enduring relevance.

This expansion in academic production parallels the global economic significance of family businesses. Across regions, these organizations represent a substantial share of the business landscape, contribute meaningfully to Gross Domestic Product (GDP), and sustain large portions of national employment. In the United States, for instance, family firms account for approximately 50% of GDP and 60% of private-sector jobs (Astrachan & Shanker, 2003). In China, family businesses play a central role in innovation and adaptability, constituting a major portion of the small and medium-sized enterprises that drive national economic growth (Zhang & Ma, 2020). In the European Union, they represent between 60% and 70% of all companies and are regarded as pillars of economic stability and social cohesion (European Family Businesses, 2019). Similar patterns emerge in emerging economies such as Brazil and India, where family firms contribute to employment creation, regional development, and the strengthening of key productive sectors (Amorós et al., 2021). These indicators attest to the practical and societal importance of advancing theoretical clarity in this domain.

Despite such practical relevance, academic literature presents conceptual and methodological inconsistencies that justify the need for further investigation (Chrisman et al., 2005). First, definitions of strategic decision-making in family businesses remain heterogeneous, resulting in inconsistent applications of the concept across studies (Chua et al., 1999; Sharma et al., 2012). Second, methodological diversity and the absence of shared

analytical criteria limit comparability and hinder cumulative theoretical development (Sharma et al., 2012). As a result, the underlying components of strategic decision-making in family firms are not yet clearly delineated, restricting progress toward an integrated understanding of the phenomenon (Kotlar & De Massis, 2013).

In light of these limitations, this dissertation aims to contribute by offering a structured examination of the factors that influence strategic decision-making in family businesses. The objective is not only to systematize existing knowledge but also to clarify conceptual boundaries, organize the elements that structure decision-making processes, and support the development of a more coherent theoretical foundation for the field. By promoting greater conceptual clarity and strengthening analytical consistency, this research provides pathways for future scholarly inquiry and offers contributions with potential practical relevance for owners, managers, and consultants working with family firms.

1.4 Structure of the dissertation

The structure of this dissertation was designed to ensure a clear, coherent, and progressive development of the research topic. Organized in an article-based format, the dissertation presents three studies that, although self-contained, collectively form an integrated examination of strategic decision-making in small and family businesses. This format aligns with contemporary academic standards and supports the dissemination of each article as an independent contribution while maintaining a unified theoretical and conceptual narrative.

Chapter 1 introduces the dissertation, presenting the research context, the central problem, the objectives, and the conceptual motivations that guide the development of the three studies. It also discusses the theoretical and practical relevance of understanding strategic decision-making in small and family-controlled firms.

Chapter 2 presents the first article, which examines how strategic decision-making has been addressed in the literature on small businesses. This chapter explores the specificities of decision processes in settings characterized by resource constraints, informality, and owner-centered structures, offering a foundation for comparing these dynamics to those found in family firms.

Chapter 3 presents the second article, which investigates what constitutes a strategic decision in family businesses and proposes a refined definition of strategic decision-making

tailored to family business contexts. By reviewing and analyzing existing conceptual approaches, this chapter discusses the role of family influence and its implications for how strategic decisions are understood, framed, and enacted in family-controlled organizations.

Chapter 4 presents the third article, which proposes a reconceptualization of family business status as a continuous - rather than binary - construct. This chapter develops a multidimensional perspective that allows for more nuanced distinctions among firms with varying degrees of family influence.

Chapter 5 integrates the findings of the three articles, offering a synthesized discussion that connects their contributions and reflects on the broader implications for theory and practice. Finally, the conclusion section synthesizes the key findings, theoretical and managerial implications, study limitations, and suggestions for future research.

With the purpose of examining the coherence of the relationships established between the dimensions and the methodological decisions of a study - thus allowing for an assessment of the consistency of scientific intervention - Mazzon (1981) developed an analytical tool that focuses essentially on verifying the adherence and compatibility between the adopted research model, its objectives, formulated hypotheses, and the planned analytical techniques for processing qualitative data. This tool provides a systematic approach to evaluating research quality, understood as the adequacy between the chosen model, the intended objectives, the formulated questions or hypotheses, and the method of data processing.

Although this instrument should not be considered the sole criterion for determining methodology, it represents a fundamental step in clarifying its structure, emphasizing its limitations and constraints, and assessing its effectiveness and efficiency. Additionally, it enables a synthetic view of the planned or conducted intervention, assisting in its review and potential adjustments based on an integrated analysis of the study (Telles, 2001). Table 1 presents the binding matrix for Study 1, Study 2, and Study 3.

Table 1.

Binding Matrix of Studies 1, 2, and 3.

	Theoretical Model	Research Questions	Analysis Techniques
Study 1	The study examines the theoretical and methodological fragmentation of strategic decision-making in small businesses, showing the absence of a cohesive core framework and the coexistence of heterogeneous lenses (including behavioral/cognitive, resource-based, and process perspectives). Rather than privileging a single theory, the review maps how different theoretical approaches are mobilized across the literature and how this fragmentation affects comparability and cumulative theorizing.	a) What patterns of theoretical grounding and methodological design characterize the strategic decision-making literature in small businesses? b) Which determining factors and decision configurations (e.g., owner-centered structures; heuristic/non-rational logics; knowledge constraints) are most recurrent, and which themes remain underexplored (e.g., diversity, generational transitions, reputation)? c) What research gaps emerge from the synthesis, and what structured agenda can advance the field?	Systematic Literature Review (SLR) based on the PRISMA protocol; Correspondence Analysis using the Reinert Algorithm (1993) to identify patterns in the 71 reviewed articles; Thematic classification and categorization, covering: • Temporal approach (1980s, 1990s, 2000s, 2010s, and 2020s). • Decision-making levels (CEO, Owner, Board, Middle Management). • Resources (financial, knowledge, and reputation). • Gender and diversity in decision-making. Comparison of methodologies (qualitative, quantitative, and mixed) used in the reviewed articles; Identification of gaps in the literature to guide future research.

Study 2	The study advances a conceptual reassessment of what makes a decision "strategic" in family business research, arguing that the construct is widely used but rarely defined in a context-appropriate way. It reconstructs the concept by integrating general strategic criteria with family-specific dynamics (e.g., socioemotional wealth, generational continuity, informal family influence), adapting Nag et al.'s (2007) aggregation procedure	a) How is "strategic decision-making" defined (explicitly or implicitly) in the family business literature, and to what extent are existing definitions coherent and context-sensitive? b) What recurrent definitional elements can be extracted and synthesized to produce a definition tailored to family business contexts? c) How can a consolidated definition reduce conceptual dilution and strengthen cumulative theorizing in family business strategy research?	Systematic literature review of 231 peer-reviewed articles on decision-making in family firms, combined with multi-dimensional classification and content coding. Thematic abstraction and definition extraction (explicit or inferred), followed by conceptual reconfiguration via an adapted Nag et al. (2007) procedure.
Study 3	The study reconceptualizes family business status as a continuous construct (familiness), arguing that family influence is an ontological structural condition rather than a binary label. • It proposes a triadic structural framework in which familiness varies across three interacting loci: Ownership (O), Governance (G), and Influence (I). • The model is operationalized as a coordinate space (O, G, I) and summarized through six ideal-type configurations along the familiness continuum (from Full Family Influence to Legacy Family), specified by estimated participation ranges and illustrative examples. • The framework also functions as a conceptual bridge that organizes major theoretical traditions (e.g., agency, RBV, SEW, institutional theory) along the familiness continuum rather than treating them as competing accounts under binary classification.	a) How can the family business be reconceptualized as a continuous construct, avoiding the limitations of binary classification and definitional fragmentation? b) To what degree, and through which structural channels, does the family participate in ownership, governance, and managerial influence? c) How can variations in O–G–I be mapped into a familiness continuum and expressed through ideal-type configurations that improve comparability across studies? d) Why should the continuum be interpreted as a space of trajectories (non-linear movement and path diversity), rather than a fixed life-cycle sequence? e) What theoretical implications follow when core mechanisms (e.g., agency, stewardship, SEW) are treated as configuration-dependent along the O–G–I continuum?	Conceptual and heuristic model development, grounded in integrative synthesis of definitional traditions and prior continuous approaches (e.g., F-PEC; multidimensional influence models), reframing continuity as an ontological premise. Triadic structuring and mapping: specification of the O–G–I loci, construction of a 3D coordinate space, and development of six ideal-type configurations with estimated ranges and illustrative examples to guide classification and comparison. Process-oriented interpretation: conceptual analysis of non-linearity, trajectories, and reconfiguration over time (succession, capital restructuring, professionalization), treating familiness as a dynamic space rather than a sequence of stages.

Source: Author

1.5 Use of AI in Research

It is important to point out that this dissertation employed artificial intelligence, specifically the ChatGPT-4o tool, to translate the original text from Portuguese into its final English version, as well as grammatical and stylistic corrections. No other procedures were done using large language model-based tools.

Additionally, the software Iramuteq was used to assist in creating the clusters applied in the systematic literature review articles.

After using these tools and services, I reviewed and edited the content as needed and take full responsibility for the content of the publication.

2 STRATEGIC DECISION-MAKING IN SMALL BUSINESSES: AN ASSESSMENT OF DETERMINING FACTORS

Abstract

Purpose: This paper examines the theoretical and methodological fragmentation surrounding strategic decision-making in small businesses. Although the topic has attracted growing scholarly attention, inconsistencies in frameworks, methods, and thematic coverage persist. This study consolidates existing knowledge and proposes a structured research agenda to advance the field.

Design/methodology/approach: We conducted a systematic literature review (SLR) of 71 peer-reviewed articles indexed in the Web of Science (WoS) database. Thematic categorization, supported by the Reinert Method and Iramuteq software, enabled the identification of theoretical, methodological, and substantive patterns.

Findings: Our review presents a fragmented field marked by a lack of cohesive theoretical foundations, significant methodological heterogeneity, and the predominance of owner-centered decision-making structures. It also shows the limited role of knowledge as a strategic resource, the frequent reliance on non-rational, heuristic-driven decisions, and the disproportionate emphasis on psychological theories without broader strategic integration. Themes such as diversity management, generational transitions, and reputational influences remain underexplored.

Research limitations/implications: The study focuses on WoS-indexed literature, excluding other databases. Future research could broaden data sources and foster more integrated theoretical models.

Originality/value: This study provides a comprehensive synthesis of strategic decision-making research in small businesses and proposes a structured agenda for future theoretical and empirical development.

Keywords: Small business. Strategic decision-making. Systematic Literature Review.

Introduction

The survival odds for small businesses (SBs) are daunting. Data from the U.S. Small Business Administration (USBLS, 2024), alongside figures from the European Union (OECD, 2024) as well as developing countries (McKenzie, 2020), paint a stark reality: a significant number do not survive the critical five-year threshold. This challenge is not confined to any single region but is a global phenomenon. Among the myriad reasons for these failures, the realm of strategic decision-making emerges a frequent explanation yet insufficiently explored. This study aims to address this critical aspect of strategic decision-making withing the context of small business.

Our research undertakes an examination of the literature on strategic decision-making within small businesses. Despite the sustained interest in small business and entrepreneurship, evidenced by numerous studies over the years (Clouse, 1991; Sahut & Peris-Ortiz, 2014; Kraus, et al., 2021, among others), a significant gap remains in our understanding of how these enterprises approach strategic decisions. This gap suggests a critical area of investigation (Hauser, et al., 2020).

Previous studies offer varied perspectives on the nature of strategic decision-making in small businesses. Some researchers argue that the complexity involved is often underestimated, as small firms frequently face volatile environments that demand rapid, intuitive, and multifactorial decision processes (Culkin & Smith, 2000; Gilbert, et al., 2006). In contrast, other scholars emphasize the inherent flexibility and adaptability of small businesses, noting that their informal structures and the close proximity between owners and operations enable more agile strategic responses (Byers & Slack, 2001; Kraus, et al., 2020).

Building on these observations, several studies recognize that strategic decision-making in small businesses often blends formal planning with emergent, intuitive processes shaped by contextual specificities. Rather than strictly following rational and linear models, small firms tend to adopt hybrid decision-making practices that reflect their limited resources, entrepreneurial orientation, and owner-manager influence (Carson & Cromie, 1990; O'Regan & Ghobadian, 2004). Research focusing on marketing strategies (e.g., Jocumsen, 2004) also suggests that strategic decisions in small businesses rarely conform to conventional frameworks but instead emerge through adaptive and situational responses to environmental dynamics.

Recent evidence (Hauser et al., 2020) further suggests that dominant strategic decision-making models, primarily developed for large corporations, only partially align with

the realities of small firms. These studies collectively demonstrate that unique decision-making patterns, shaped by size, ownership structure, resource limitations, and informal Governance - remain insufficiently theorized (Wang & Poutziouris, 2010; Wennberg, 2021). Understanding these distinctive dynamics is essential not only for advancing theoretical frameworks but also for developing strategic tools better suited to the realities of small businesses.

This evolving discourse raises several pertinent issues. The distinctive nature of small businesses, influenced significantly by the personal characteristics of their owners, plays a vital role in strategic decision-making (Rice, 1983; Jansen et al., 2013; Bernoster et al., 2020; Idris et al., 2023). Yet, many studies fail to tailor decision-making tools, artifacts, or procedures to reflect these unique attributes, presenting a challenge in technical-theoretical adequacy (Clouse, 1991; Raymond & Bergeron, 1992; Julien, 1995; Verreynne & Meyer, 2010; Najera Ruiz & Collazzo, 2021; Sipos et al., 2023). Moreover, the literature indicates that small businesses continue to grapple with survival, despite not conforming to traditional decision-making processes, underscoring their enduring significance and resilience (Clouse, 1991; Julien, 1995; Mamman et al., 2019).

The field also deals with theoretical fragmentation, with a variety of decision theories coexisting without clear consensus. This divergence raises questions about the consistency in methods and techniques employed, suggesting a potential gap in methodology preference and agreement on techniques (Storey, 1994; Anastasia, 2015; Welter et al., 2019; Kraus et al., 2020; Brinckmann & Kim, 2022). Additionally, the lack of a uniform definition of what constitutes a small business leads to variability in study findings and complicates cross-study comparisons, further hindering theoretical consolidation (Storey, 1994; Anastasia, 2015). The debate persists between those advocating for the direct application of complex strategic decision-making techniques developed for large corporations to small businesses (Dean & Sharfman, 1996; Afolayan & Harpe, 2019) and those who argue for a tailored approach that considers the distinctive characteristics and constraints of small enterprises (Rice, 1983; Arasti, 2011). Classic research already suggests that strategic decision-making processes are rarely linear or fully rational (Mintzberg et al., 1976), and this divergence becomes even more pronounced in small firms, where informality, resource scarcity, and the dominant influence of owner-managers play a critical role (Kraus et al., 2021; López-Cabarcos et al., 2020). Consequently, applying complex, formalized decision frameworks without adaptation may

fail to reflect the realities faced by small business leaders, reinforcing the need for context-sensitive strategic models.

Given these theoretical and methodological inconsistencies, a comprehensive synthesis of the existing literature is necessary to clarify the current state of knowledge and identify critical gaps. Previous studies have often focused on isolated aspects of strategic decision-making in small businesses, but a systematic overview remains lacking. Addressing this need, our research conducted a systematic literature review (SLR), guided by the PRISMA protocol, to critically analyze 71 articles and distill thematic and methodological trends.

Our contribution is threefold: we document the scarcity of systematic literature reviews on strategic decision-making in small businesses, clarify the theoretical ambiguity that characterizes the field, and uncover neglected themes that are essential to a deeper understanding of strategic decision-making processes. By demonstrating the lack of consensus regarding appropriate strategic decision-making approaches for small businesses, our research opens new avenues for theoretical refinement and future empirical investigation.

Theoretical Framework

The field of small business studies has attracted growing attention across diverse socio-economic contexts. Research spanning from underdeveloped to developed nations has examined the diverse characteristics of small businesses (Adisa et al., 2014; Gálvez Albarracín et al., 2014; Alcon Vila, 2022), with particular emphasis on the strategic role of owners in decision-making processes (Ghobakhloo & Tang, 2013; McKenzie, 2020). Additional areas of inquiry include innovation (Oakey, 1984; Link & Scott, 2018), the adoption of technological tools (Newby et al., 2014; Costa Júnior et al., 2023), and organizational diversity (Hernández-Nicolás et al., 2015). This broad academic interest reflects the sector's complexity, where individual, technological, and societal factors intersect with strategic challenges and evolving trends in small business management.

Despite the long-standing academic interest in small business research, dating back to foundational works such as Rice (1983) and extending to recent contributions like Zhou et al. (2024), a clear and consistent definition of what constitutes a small business remains elusive. Various criteria have been proposed across contexts, ranging from national regulatory

classifications to quantitative measures such as revenue, asset size, and number of employees (Brooksbank, 1991; Anastasia, 2015; Audretsch et al., 2015). This lack of definitional consensus complicates not only the comparability of empirical findings but also the theoretical accumulation of knowledge in the field (Storey, 1994; Welter, 2011). Studies often adopt divergent operationalizations depending on sector, region, or research objective, leading to fragmented evidence and limiting the development of a cohesive theoretical framework for understanding small business dynamics.

The conceptual overlap between small businesses and family-owned firms further complicates the understanding of strategic decision-making in this domain. While many small businesses are family-owned, not all family firms exhibit the same resource limitations, informal structures, or owner-manager dynamics typically associated with small enterprises (Chrisman et al., 2005; Astrachan, 2010). Moreover, family business research often emphasizes socioemotional wealth and intergenerational concerns, diverging from the market-driven and resource-constrained realities explored in general small business studies (Gómez-Mejía et al., 2007; De Massis et al., 2018). This partial overlap between the two fields creates theoretical ambiguities, as findings about strategic behavior in one context are not always transferable to the other, thereby reinforcing the need for a more precise conceptual delineation in the study of strategic decision-making in small businesses.

The critical role of small businesses in driving job creation, revenue generation, and GDP growth is well-established, alongside significant government incentives designed to support this sector (Brock & Evans, 1989; Hanna, 2003; Gale & Brown, 2013; Coolidge & Yilmaz, 2016; International Finance Corporation, 2021). However, the high and concerning mortality rate of these enterprises (Cochran, 1981; Quansah & Hartz, 2021) demonstrate the importance of focusing academic efforts on understanding the strategic decision-making processes that could enhance their resilience and long-term survival.

Given their well-established role in economic development and their structural vulnerability, examining whether existing strategic frameworks adequately capture the specific needs of small businesses - or whether new, more tailored approaches are required - becomes a necessary step to advance the understanding of strategic decision-making in this context.

This area of study is characterized by a conceptual debate: should small businesses adopt decision-making tools and processes designed for larger corporations, or should they

tailor their strategies to their unique characteristics? (Blackburn et al., 2013; Torres et al., 2018). This discussion extends to a broader issue - a lack of theoretical direction in small business research. The absence of a cohesive theoretical framework hampers the development of a robust discourse on strategic decision-making in small businesses. Reflecting this conceptual fragmentation, the empirical literature also exhibits methodological inconsistencies. Studies differ not only in how they define and categorize small businesses but also in the models they employ to examine strategic behavior. Some investigations rely on rational planning frameworks, emphasizing deliberate analysis, goal setting, and resource optimization (Brinckmann et al., 2010), while others focus on intuitive or emergent decision-making logics, such as effectuation and heuristics, which prioritize flexibility, experimentation, and adaptation to changing environments (Kraus et al., 2020; López-Cabarcos et al., 2020). This methodological heterogeneity complicates the comparability of empirical findings, as the underlying assumptions about decision processes vary significantly, ultimately making it difficult to develop integrated theoretical models that accurately reflect the strategic realities faced by small business leaders.

Beyond theoretical concerns, this fragmentation also poses practical challenges. Without a consolidated understanding of how strategic decisions are formulated in small businesses, it becomes difficult to develop support mechanisms, public policies, or managerial tools truly suited to their realities.

From a practical standpoint, the ambiguity surrounding strategic decision-making in small businesses raises significant concerns. Given their prevalence in economic ecosystems and their exposure to resource constraints, understanding how strategic decisions are made in small businesses is critical for both advancing academic knowledge and informing practical initiatives that support their long-term success. Small businesses, by evolving and scaling over time, have the potential to significantly influence broader economic dynamics.

Methodology

Building upon the theoretical and methodological fragmentation identified in previous sections, we conducted a Systematic Literature Review (SLR) to deepen the understanding of strategic decision-making processes within small businesses. To operationalize the systematic review, we designed a search strategy aligned with the conceptual concerns raised earlier.

Specifically, we started our search using the expression "small business" AND ("decision making" OR "decision-making"). This choice sought to balance breadth and focus, capturing the core literature on decision-making processes within small businesses contexts. Recognizing that not all studies explicitly frame decisions as "strategic," we included works based on their substantive relevance to strategic decision-making, irrespective of the explicit use of the term "strategic." This approach acknowledges that the strategic nature of a decision often transcends terminological conventions, ensuring that important contributions were not inadvertently excluded.

The Web of Science (WoS) database was selected as the primary source due to its comprehensive coverage of peer-reviewed journals and its recognized relevance in management and business research. WoS is widely acknowledged as a benchmark in systematic reviews and bibliometric studies, particularly in the social sciences and management fields (Falagas et al., 2008; Aghaei Chadegani et al., 2013). Furthermore, its extensive overlap with Scopus, covering approximately 95% of its content (Martín-Martín et al., 2018), reinforces the adequacy of this choice for capturing the pertinent literature on strategic decision-making in small businesses. This approach ensured a focused and replicable selection of articles while maintaining comprehensive coverage of the field.

Our initial search yielded 236 papers. To refine this pool, we applied filters available in the Web of Science database, restricting the search to the subject categories "Management," "Business," and "Business Finance," and limiting results to articles only. Additionally, only articles written in English were considered eligible for inclusion. This filtering process reduced the sample to 136 articles.

To further ensure methodological rigor, we adopted the PRISMA framework (Liberati et al., 2009) as a guide for the subsequent screening phase. Although PRISMA provides a robust structure for systematic reviews, it does not specify concrete criteria for article inclusion and exclusion. Therefore, we complemented it with additional eligibility parameters based on Liao et al. (2017).

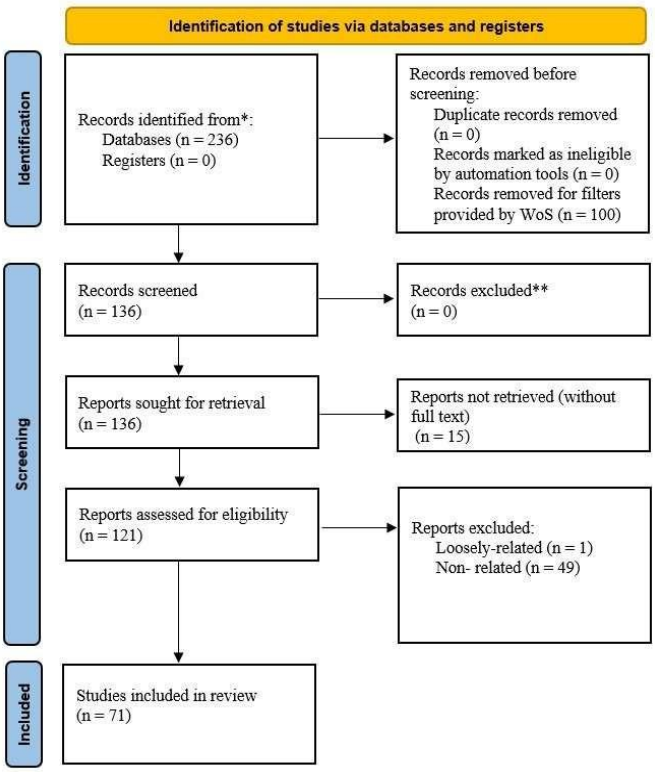
As a conceptual filter, we adopted Nag et al.'s (2007) widely cited definition of strategic management: "the major initiatives, taken by managers on behalf of owners, involving the utilization of resources to enhance firm performance in its external environment." This definition, recognized for its broad acceptance in strategic management research (e.g., Ketchen et al., 2008), served as a guiding criterion to determine the relevance

of articles to our research scope, but in a broad and conservative way lest potential results be left out of the scope. However, recognizing the specificities of small businesses (particularly small family businesses), we also considered adaptations proposed by scholars such as Hirigoyen et al. (2012) and Gasperin et al. (2022), acknowledging that in these contexts, strategic decisions are often made directly by owners, and through more informal or emergent processes.

During the screening, we conducted a detailed examination of the titles, abstracts, and keywords of the 136 articles to assess their relevance to our central research theme. Articles that directly addressed or partially engaged with strategic decision-making in small businesses, according to the conceptual lens adopted, were selected for inclusion. Ultimately, this process resulted in a final sample of 71 articles. Exclusions occurred due to thematic misalignment (50 articles; 1 loosely related and 49 unrelated) or inaccessibility of full texts (15 articles). The selection process is illustrated in the PRISMA flow diagram presented in Figure 1. The full list of the 71 selected articles is provided in the Appendix (see p. 127).

Figure 1.

Exclusion criteria Flowchart PRISMA protocol



Source: Author

The analysis of the selected articles was conducted using a dual approach: manual reading and the application of the Reinert Method (1993) through the Iramuteq software. Rooted in Correspondence Analysis, the Reinert Method offers a means of uncovering prevalent patterns within extensive textual datasets (Reinert, 1993). A fundamental aspect of this method involves the initial organization of texts into themes or categories, i.e., a "tagging" process that enhances the algorithm's capacity to detect intricate relationships among textual segments. Accordingly, the 71 articles were thoroughly examined and categorized based on both established strategic decision-making frameworks and emergent concepts from contemporary literature.

The categorization ("tagging") followed multiple analytical dimensions. Temporally, articles were distributed across five decades: the 1980s, 1990s, 2000s, 2010s, and 2020s. Thematically, articles were classified by the focus of decision-making, namely CEO-centered, Board-centered, Family-centered, Middle management-centered, and Owner-centered decisions. Regarding generational transitions and succession, studies were grouped according to first-, second- and third- generation. Diversity dimensions included age, gender, and racial diversity. Resource analyses encompassed financial, knowledge-based, and reputational resources.

The theoretical frameworks examined comprised Transaction Cost Theory, Socioemotional Wealth Theory, Decision-making Theory, Agency Theory, Conflict Theory, Family Communication Theory, Resource-based View, Dynamic Capabilities, Behavioral Decision Theory, Human Capital Theory, Attachment Theory, Effectuation Theory, Social Identity Theory, Bounded Rationality, and Prospect Theory.

Methodologically, studies were distinguished into qualitative, quantitative, and mixed-method approaches, and by research techniques such as observation, case studies, surveys, interviews, questionnaires, and systematic literature reviews.

The categorization process enabled the identification of connections among analytical categories and theoretical frameworks, contributing to a deeper understanding of strategic decision-making in small businesses. The use of the Reinert algorithm supported the organization and synthesis of textual data. Prior research has documented the capabilities of this method: Sbalchiero (2018) described its ability to extract patterns from extensive textual datasets; Bouanba et al. (2022) discussed its usefulness in identifying latent relationships among concepts; and Figura et al. (2023) examined its application in detecting hidden patterns

in large corporations. Additionally, Caloffi et al. (2023) reported its application in recognizing underexplored areas within literature sets. The use of the Reinert method contributed to the structuring of our results and informed the development of recommendations for future research.

Results and Discussion

To structure the findings and facilitate a comprehensive interpretation of the literature, our analysis is organized across seven analytical dimensions. These dimensions reflect the key thematic and methodological patterns emerging from the selected articles: Temporal Progression, Decision-making, Generational and Succession Aspects, Diversity Dimensions, Resources, Theoretical Perspectives, and Methodological Approaches.

Temporal Progression

To trace the evolution of strategic decision-making research in small businesses, we initiated our analysis with a temporal perspective. The literature was examined across five decades, starting from the 1980s, as marked by Rice (1983), through to the current 2020s. This choice reflects the significant and cumulative contributions made to small business studies over time.

In the 1980s, strategic decision-making studies were characterized by a strong theoretical emphasis on strategy. Key terms such as "adoption," "plan," and "decision-making" dominated the discourse, aligning with the propositions of Lyles (1990) and reflecting the broader strategic management literature of that era, shaped by foundational contributions from Porter (1980), Mintzberg (1980), and Rumelt (1979), now contextualized within small business settings.

Building upon the theoretical foundation of the 1980s, the 1990s introduced a transition toward more practical applications. The role of technologies, particularly information systems for small businesses, became a focal point (Raymond & Bergeron, 1992; Julien, 1995). Terminology from this period signals a growing recognition of technology as a tool for empowering decision-making. Furthermore, the advent of the Internet and the "dotcom" boom recast technology as both a wealth generator and a bridge facilitating the

global integration of small businesses (Poon & Jevons, 1997; Hanna, 2003; Roth & Morris, 2020).

In contrast to the technological emphasis of the 1990s, the 2000s witnessed a shift toward human resource-related aspects of decision-making. Ethics, group dynamics, human capital, and conflict management surfaced as primary themes (Solymossy & Masters, 2002; Lahdesmaki, 2005; Marta et al., 2008). This evolution pointed to the growing importance of human factors in shaping strategic decisions within small business contexts.

The 2010s continued this human-centered orientation but introduced a new focus on relationship dynamics and collective decision-making structures, such as boards and management teams (Machold et al., 2011; Kroon et al., 2013). Research also began to explore the impact of gender diversity, particularly the increasing participation of women in top management positions and their influence on decision-making practices (Marta et al., 2008; Hernández-Nicolás et al., 2015). These developments suggest a broadening of the strategic decision-making lens, incorporating diverse leadership styles and group-based processes.

Finally, the 2020s signal a renewed focus on core business fundamentals - management practices, firm performance, and financial outcomes (Nag et al., 2019; Sardo, et al., 2021). This reorientation toward operational viability and strategic financial management marks a departure from the more relational and behavioral themes of the previous decade, signaling a contemporary concern with resilience, efficiency, and sustainability in the strategic decision-making processes of small businesses.

Decision-Making

The literature stratifies strategic decision-making in small businesses across several organizational levels, assigning distinct roles for owners, CEOs, boards, and middle managers. Among the studies reviewed, 54% emphasized decision-making at the owner level. The frequent emergence of the term "artisanal" in this context reflects a key question in small business strategy: on what foundations are owners' strategic decisions based?

Related terms such as "activity," "challenge," "knowledge," "innovation," and "decision" often appeared in association with owner-level analyses. Research by Lahdesmaki (2005), Fassin et al. (2011), and Kroon et al. (2013) illustrates the owner-managed nature of small businesses, where strategic autonomy is shaped primarily by individual judgment rather

than by broader stakeholder accountability. The decisive role of the owner in strategic processes is further emphasized by studies such as Rice (1983), Johnston (2000), Brunetto and Farr-Wharton (2007), and Harel et al. (2020), which explore how owner-led decision-making influences not only business outcomes but also organizational culture and long-term value orientations.

From a cognitive perspective, themes emerge regarding owners' influence with corporate social responsibility (Fassin et al., 2011), human capital expertise (Honig, 2001), technical knowledge (Reynolds & Lancaster, 2007), and leadership practices (Idris et al., 2023). These elements suggest that strategic decision-making at the owner level extends beyond purely economic considerations.

Moving beyond the owner-centric view, board-level decision-making is associated with diverse themes such as technology adoption (Giotopoulos et al., 2017), gender diversity (Marta et al., 2008), and innovation strategies (Yan & Yan, 2016). Although varied, these studies indicate that boards play a critical role in framing strategic agendas and responding to external opportunities and pressures.

In contrast, CEO-level decision-making reflects a different strategic orientation. As suggested by Agency Theory (Jensen & Meckling, 1976), CEOs may exhibit goal divergence from owners, prioritizing organizational growth or personal incentives over ownership-centered interests. CEO-related studies often draw from upper echelons theory (Hambrick & Mason, 1984) and behavioral perspectives (Robbins & Judge, 2019), emphasizing leadership dynamics and decision behaviors shaped by individual managerial characteristics.

Finally, middle management decision-making, although less frequently addressed, appears in the literature in relation to operational decision domains such as conflict management, team coordination, process improvement (Ensley et al., 2002), and ethical considerations (Marta et al., 2008). This suggests that while middle managers have a more limited strategic scope, their decisions are critical for the translation of high-level strategies into operational practices.

Generations and Succession

Our analysis indicates a limited academic focus on generational transitions and succession within the small business literature. Although succession planning has attracted

some scholarly attention in the context of family enterprises (Gasperin et al., 2022; Gravic, 2021), broader investigations into how generational change affects organizational performance and culture in small businesses remain underdeveloped.

One possible explanation for this gap is the tendency to conflate small business succession with family business succession, thereby narrowing the analytical lens to explicitly familial handovers. Another factor may be the disciplinary divergence, wherein small business research and family business research often reference distinct bodies of literature, leading to fragmented treatments of generational issues.

Given the operational and relational particularities of small businesses - such as owner-dependence, informal governance structures, and resource limitations - the lack of attention to succession and generational dynamics represents a notable omission. Addressing this gap offers an opportunity for future research to better understand the strategic, cultural, and performance - related implications of generational change in the small business sector.

Diversity Dimensions

Within the reviewed literature, diversity appears as a relatively underexplored dimension of decision-making in small businesses, emerging in approximately 10% of the analyzed articles. A chronological review shows sporadic attention to the topic, with isolated contributions in 2007 and 2008, a subsequent gap until 2015, and a small cluster of publications between 2016 and 2022 (e.g., Gashi, 2022). This pattern suggests a temporal shift from human-centric themes prominent in the early 2000s toward financial and economic considerations in more recent research.

Despite the increasing prominence of diversity as a strategic organizational issue in broader management studies (Guillaume et al., 2017; Shore et al., 2018), its treatment within small business scholarship remains limited. The marginal presence of diversity-related research contrasts with contemporary discussions emphasizing diversity's role in enhancing innovation, decision quality, and organizational resilience. Given the relational nature, informal governance, and resource constraints typical of small businesses, a deeper understanding of how diversity impacts strategic decision-making represents a promising direction for future inquiry.

Resources

Strategic decision-making in small businesses frequently revolves around three key resource domains: financial, knowledge-based, and reputational assets.

Financial resources, encompassing economic outcomes and financial management practices, emerge as a primary focus. Several studies examine the relationship between improvements in decision-making practices and enhanced financial performance in small businesses (Reynolds & Lancaster, 2007; Kroon et al., 2013; Sharma & Batra, 2016). In addition, some research investigates how gender diversity in leadership influences financial decision-making and stewardship (Hernández-Nicolás et al., 2015; Sardo et al., 2021).

When considering knowledge-based resources, literature presents a more fragmented pattern. Knowledge is distributed across various sub-dimensions, including operational expertise (Jansen et al., 2013), decision-making competence (Julien, 1995), external relational knowledge (Honig, 2001), and strategic understanding derived from governance mechanisms (Machold et al., 2011). Although knowledge is frequently addressed, its integration into strategic decision-making frameworks appears inconsistent. The increasing reliance on technological tools (Raymond & Bergeron, 1992; Giotopoulos et al., 2017) also emphasizes the demand for cognitive and technical competencies, although some studies question the extent of small business leaders' proficiency in managing emerging technologies (Afolayan & Harpe, 2019).

Reputational resources, though less extensively examined, introduce important themes related to ethical conduct, stakeholder perceptions, and corporate responsibility (Solymossy & Masters, 2002; Brunetto & Farr-Wharton, 2007; Marta et al., 2008; Fassin et al., 2011). Research converges around three main areas: the construction and maintenance of reputation, the management of existing reputation, and internal and external perceptions of reputational standing.

In terms of distribution, financial resources were the most frequently discussed (29 articles), followed by knowledge-based resources (26 articles), while reputational aspects appeared in only 5 articles. In 11 cases, resource categorization was not explicitly discernible. The relatively limited attention to reputational resources contrasts with their recognized influence on stakeholder trust and long-term firm sustainability. This observation reflects the broader prevalence of owner-centered decision-making approaches in the literature, where

emotional, cognitive, and subjective factors significantly shape strategic choices alongside economic reasoning (Johnston, 2000; Solymossy & Masters, 2002; Lahdesmaki, 2005).

Theoretical Approaches

The analysis of theoretical frameworks employed in small business strategic decision-making research indicates a wide range of approaches, without the predominance of a single dominant theory. Classical Decision-Making Theory is the most frequently utilized, appearing in 33 studies. Its application, however, tends to emphasize modeling the decision-making process itself rather than evaluating decision outcomes, as evidenced in studies such as Martínez-Román and Romero (2013), Afolayan and Harpe (2019), and Najera Ruiz and Collazzo (2021).

The Resource-Based View (RBV) also features prominently, particularly in studies focusing on financial and knowledge resource management. RBV's emphasis on internal resource utilization aligns with the resource-centered challenges faced by small businesses. Although Dynamic Capabilities Theory often appears alongside RBV, their association is less integrated than might be expected, suggesting differentiated emphases on resource exploitation versus adaptation.

Human Capital Theory is consistently applied to explain the influence of individual characteristics, environmental factors, and employee development on strategic decision-making (Honig, 2001; Jansen et al., 2013; Zhao & Thompson, 2019). This perspective reinforces the significance of human resources as strategic assets, particularly within the relational and resource-constrained environment of small businesses.

Behavioral Theory, focusing on group dynamics, leadership styles, and gender influences, appears less frequently than anticipated. Nonetheless, it remains relevant to owner-centered strategic behavior, addressing the cognitive and social dimensions that influence decision processes (Clouse, 1991; Ensley & Pearson, 2001; Goldsby et al., 2021).

Agency Theory is extensively referenced, particularly in discussions surrounding governance structures, leadership roles, and ethical considerations. A complementary relationship with Transaction Cost Theory is noted, with both theories contributing to the understanding of strategic decision-making processes under conditions of informational asymmetry and contractual incompleteness. However, limited integration with Classical

Decision-Making Theory suggests conceptuais gaps in bridging procedural models with agency-related challenges.

Conflict Theory surfaces in studies related to intra-organizational conflict and industry positioning, although discussions on risk management are relatively less developed. This focus indicates a greater scholarly interest in internal relational dynamics than in external environmental threats.

Other theoretical contributions, such as Attachment Theory, Bounded Rationality, and Effectuation Theory, are less frequently employed but contribute perspectives on psychological and cognitive influences. These frameworks address issues such as emotional ties to the firm, cognitive constraints on rationality, and opportunity-driven decision-making, offering alternative angles for understanding strategic behavior in small businesses.

Methodological Approaches

The methodological approaches observed in small business decision-making research demonstrate substantial variation, reflecting the broader diversity noted in theoretical frameworks. Studies are distributed across quantitative (35 studies), qualitative (20 studies), and mixed-methods (16 studies) designs. This distribution suggests that scholars employ a wide range of methodological strategies to investigate decision-making phenomena in small business contexts.

Regarding specific research techniques, surveys are the most frequently employed, appearing in 25 studies. Interviews are utilized in 12 studies, while questionnaires and case studies each appear in 10 studies. Literature reviews and observational techniques are less commonly used, featuring in 8 and 6 studies respectively.

The diversity of methodologies and techniques raises important considerations. First, the considerable variation in methodological designs may challenge the comparability of findings across studies, particularly when different techniques yield distinct types of evidence. Second, the alignment between research objectives and methodological choices appears inconsistent in some cases, potentially limiting the development of coherent theoretical frameworks for small business decision-making.

These observations suggest that while methodological pluralism enriches the field by capturing different facets of decision-making processes, it may also introduce challenges in

synthesizing knowledge and building cumulative understanding. A more structured alignment between research questions, methodological designs, and analytical techniques could enhance the robustness and comparability of future research in this domain.

Research Agenda

Building on the findings of this study, the current state of small business decision-making research demonstrates significant theoretical and methodological diversity, alongside notable gaps that warrant further exploration. This research agenda aims to organize and prioritize key areas for future inquiry, contributing to a more coherent and cumulative understanding of strategic decision-making processes in small business contexts.

I. Decision-Making Tools and Processes in Small Businesses

The ongoing discussion regarding the necessity and appropriateness of sophisticated decision-making tools in small business contexts warrants further investigation (Rice, 1983; Honig, 2001). Existing literature reflects a tension between advocates of customized, context-specific approaches and those proposing the adaptation of more complex decision-making frameworks developed for larger organizations (Afolayan & Harpe, 2019; Najera Ruiz & Collazzo, 2021; Costa Júnior et al., 2023). Future research could critically assess whether the evolution toward a tool-centric perspective effectively supports strategic outcomes in small businesses, or if a more tailored, resource-sensitive model better aligns with their operational realities.

II. Knowledge as a Resource in Decision-Making

Given the central role of knowledge as a strategic resource in small business decision-making (Julien, 1995; Giotopoulos et al., 2017), future research should seek to identify the specific cognitive and technological factors that influence decision processes. Particular attention could be directed toward understanding how owners' cognitive capabilities (Honig, 2001; Idris et al., 2023) and their proficiency in managing technological resources facilitate or constrain strategic decision-making outcomes. Clarifying these relationships may contribute

to a more nuanced understanding of how knowledge-based assets are leveraged within small business environments.

III. Theoretical Grounding in Small Business Strategic Decision-Making

The theoretical foundations applied to strategic decision-making in small businesses are diverse but often lack depth and coherence, frequently being employed in an ad hoc manner to support empirical investigations (Martínez-Román & Romero, 2012; Afolayan & Harpe, 2019; Najera Ruiz & Collazzo, 2021). The current dispersion across psychological, resource-based, and process-oriented frameworks reflects the absence of an integrative perspective that systematically addresses the unique dynamics of strategic decision-making in small firms. Future research could prioritize the development or consolidation of theoretical models that more accurately reflect the specific organizational, cognitive, and contextual realities of small business environments.

IV. Generational Influence and Succession Planning

Succession planning and generational transitions represent underexplored dimensions in small business strategic decision-making research (Gasperin et al., 2022; Zhou et al., 2024). The limited attention to these factors has resulted in important gaps in understanding how generational change influences strategic decision-making processes, organizational culture, and long-term business sustainability. Future research could investigate the dynamics between generational transitions and strategic outcomes, providing a more comprehensive perspective on the role of succession in shaping small business trajectories.

V. Diversity Management in Decision-Making

Diversity management remains an underexplored dimension within small business strategic decision-making research, with existing studies predominantly focusing on gender-related aspects. There is a need for future research to examine how broader diversity attributes, including age, ethnicity, and socio-cultural background, affect strategic decision-making processes in small business contexts. Integrating contributions from diversity

scholarship (e.g., Ferdman & Deane, 2014) could provide a more comprehensive understanding of how heterogeneity among decision-makers shapes strategic outcomes.

Conclusions

Our research examines the decision-making processes within small businesses. Despite the accumulation of numerous studies, the field has yet to consolidate and mature in terms of its theoretical and methodological foundations. Our systematic review identifies several critical discrepancies in the existing literature: a notable absence of a cohesive theoretical framework tailored to the multidimensional nature of small business decision-making; methodological divergence that may limit the full capture of the phenomenon's complexity; and the underrepresentation of key themes such as diversity management, generational transitions in succession, and the influence of reputation on strategic choices.

This effort has enabled the identification of research gaps, fostered a critical discussion of strategic decision-making elements specific to small businesses, and laid the groundwork for a proposed research agenda.

The implications of our findings extend beyond the academic domain into practical and economic spheres. For practitioners, the identified gaps demonstrate the need for decision-making models that account for the distinctive dynamics of small businesses. Recognizing the impact of diversity, generational change, and reputation on decision-making can inform the development of more inclusive and adaptive strategic approaches. Economically, advancing this understanding may contribute to improving the sustainability and growth prospects of small businesses, which often represent a crucial component of local and global economies.

In conclusion, this review indicates the need for future research aimed at developing more comprehensive theoretical models and employing methodological approaches congruent with the complex realities of strategic decision-making in small businesses. Strengthening the theoretical foundations and methodological rigor in this field holds the potential to enhance academic knowledge and provide valuable guidance for small business owners, stakeholders, and policymakers.

Limitations

While this study provides a broader synthesis of the strategic decision-making literature in small business contexts, several limitations should be acknowledged. First, the exclusive reliance on the Web of Science (WoS) database, although justified by its extensive coverage, may have excluded a few studies indexed elsewhere. Expanding the database sources in future research could offer an improved mapping of the field.Whereas the use of the Reinert method and Iramuteq software facilitated a structured thematic categorization, the interpretation of thematic classes involves a degree of subjective judgment, which may affect replicability.

Practical Implications

This study shows critical practical challenges concerning strategic decision-making processes in small businesses, with implications extending beyond academic discussions into broader societal and economic domains. A central finding is that decision-making authority in small businesses predominantly resides with the owner, often acting as the sole or primary strategic agent. This structural concentration amplifies the influence of individual characteristics - knowledge, experience, and personal biases - on business outcomes.

Although robust decision-making tools and frameworks are available - offering mechanisms to reduce biases and improve strategic outcomes - their effective adoption is frequently hindered by technical limitations, knowledge gaps, and informal governance structures. Our analysis also indicates a direct relationship between the availability of knowledge resources and decision-making quality, showing that deficiencies in owner expertise substantially limit the effective use of sophisticated decision-support mechanisms.

Moreover, the study shows that strategic decisions in small businesses frequently deviate from rational-economic logic, being shaped by emotional, cognitive, and subjective factors inherent to the owner-manager. This pattern is intensified by the theoretical fragmentation observed in literature, where a significant cluster of studies addresses psychological aspects of decision-making - such as cognitive biases, heuristics, and bounded rationality - without systematic integration into broader strategic frameworks. Acknowledging this reality is essential: owners often navigate complex and uncertain environments relying on

intuitive processes that may not align with long-term economic sustainability. Raising awareness about these non-rational influences can encourage owners to critically reassess their decision-making practices. Furthermore, promoting the adoption of structured strategic tools and fostering the development of cognitive and technical skills among owner-managers may provide more robust foundations for decisions oriented toward business resilience, performance, and sustainable growth.

Use of artificial intelligence

This research involved the limited application of artificial intelligence tools, primarily for linguistic enhancement and analytical support. The ChatGPT-4o platform was used to aid in translating the original manuscript from Portuguese to English and to perform grammar and style adjustments. No content development or analytical operations were executed using large language model technologies.

In addition, the Iramuteq software facilitated the clustering stage during the systematic literature review. All results obtained through these tools were carefully evaluated and edited by the author, who takes full responsibility for the accuracy and integrity of the final manuscript.

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3 WHAT MAKES A DECISION STRATEGIC IN FAMILY BUSINESSES? A CONCEPTUAL REASSESSMENT GROUNDED IN INDUCTIVE LITERATURE ANALYSIS

Abstract

Purpose: This paper addresses the lack of a clear and context-appropriate definition of strategic decision-making in family business research. While many studies label themselves as strategic, few define what makes a decision strategic in the family business context. This study aims to offer a refined conceptual definition tailored to the field.

Design/methodology/approach: We analyzed 231 peer-reviewed articles on decision-making in family firms using multi-dimensional classification, content coding, and thematic abstraction. Definitions - explicit or inferred - were extracted and reinterpreted through the lens of family firm characteristics. We adapted Nag et al.'s (2007) conceptual aggregation procedure, integrating elements related to socioemotional wealth, generational continuity, and informal family influence.

Findings: Most studies do not define what constitutes a strategic decision, often relying on implicit or borrowed assumptions. When definitions are present, they rarely account for family-specific dynamics. Our analysis identifies recurring elements and proposes a concise, context-sensitive definition that combines general strategic criteria with family-centered dimensions.

Originality/value: This is the first study to systematically revise and redefine strategic decision-making in family firms.

Keywords: Family Businesses. Strategic Management. Theorization.

Introduction

Strategic decision-making is a foundational concept in the field of strategic management (Eisenhardt & Zbaracki, 1992; Nag et al., 2007), yet its definition and application remain notably unclear when transposed to the context of family businesses. While the general management literature presents a wide range of conceptualizations of strategy and strategic decisions (Chrisman et al., 2015; Ketchen et al., 2023), these frameworks are predominantly developed from studies on large, non-family firms (Gedajlovic et al., 2012). As a result, they often fail to capture the structural, relational, and motivational particularities that shape decision-making processes in family-owned enterprises.

Family businesses are commonly defined as organizations in which ownership and strategic control are concentrated within a family, and where family members are actively involved in management or governance with the intention of preserving family influence across generations (Chua et al., 1999; De Massis & Kotlar, 2012). Beyond ownership, family firms are shaped by the overlap between family and business systems, producing decision-making processes that combine economic objectives with non-economic issues and goals (Gómez-Mejía et al., 2007; Berrone et al, 2012; Miller & Le Breton-Miller, 2021).

This conceptual incongruence raises a fundamental issue: what does it mean for a decision to be "strategic" in a family business? Most studies that address strategic processes in this context either adopt definitions of strategy without questioning their theoretical fit or focus descriptively on family business dynamics without explicitly connecting them to the strategic nature of the decisions under examination. As a result, the literature tends to oscillate between two extremes: either reproducing (often misaligned) definitions derived from non-family contexts or avoiding the definitional issue altogether by treating "strategic" as an assumed and unanalyzed attribute.

The growing body of research on strategic management in family businesses, along with its application across a wide array of organizational and cultural contexts, has brought into question the conceptual consistency of the term within this specific domain. Although frequently invoked, strategic management is rarely defined in a way that reflects the distinctive characteristics, challenges, and dynamics of family firms. This is especially problematic given that constructs which expand rapidly without conceptual refinement often become reified (Lane et al., 2006). In such cases, widespread acceptance can mask a shallow understanding, weakening the construct's explanatory power and obscuring the mechanisms

through which it operates. This risk of conceptual dilution points to the need for a more context-sensitive and theoretically grounded definition of strategic management as it applies to family businesses, mitigating reification.

Further complicating this scenario is the tendency to conflate family business with small business. While many family firms are indeed small, not all small firms are family-owned, and not all family-owned businesses remain small. The interweaving of family and business logics produces decision-making dynamics that are neither fully aligned with classical economic rationality (Gómez-Mejía et al., 2007; Miller & Le Breton-Miller, 2021), nor adequately captured by existing strategic management theory. For instance, goals such as family cohesion, succession planning, or emotional well-being may carry as much weight as market share or profitability, altering both the criteria and outcomes of strategic decision-making.

Given this theoretical and empirical ambiguity, the present study aims to advance the literature by critically reassessing the concept of strategic decision-making in family businesses. We adopt a multi-step methodological approach grounded in a systematic literature review of empirical and conceptual studies along with a thematic extraction and reconfiguration from available definitions. Building on this, we assess the adequacy, coherence, and contextual alignment of these definitions with the specificities of the family business context. Through this process, we extract and analyze both explicit and implicit definitions of strategic decisions in the selected literature and from them, adapting the procedures in Nag et al. (2007), propose an improved, context-adapted definition. As such, we do not only map the definitional scope but also propose a theoretically grounded and contextually sensitive definition of strategic decision-making in family firms. In doing so, we contribute both a conceptual clarification and a more robust foundation for future research. This effort is especially timely given the increasing academic attention to family firms as a distinctive organizational form (Gedajlovic, et al., 2012) – one in which strategic intent and family logic are deeply entangled (Berrone et al., 2012; Chrisman et al., 2015), often in ways not captured by existing theory.

Ultimately, this paper argues that defining strategic decision-making in family businesses is not a peripheral concern but a central one. Without conceptual clarity, empirical research risks becoming fragmented or tautological, and theoretical development remains

constrained. By addressing this foundational gap, we hope to move the field toward a more integrated and analytically precise understanding of strategy in the context of family firms.

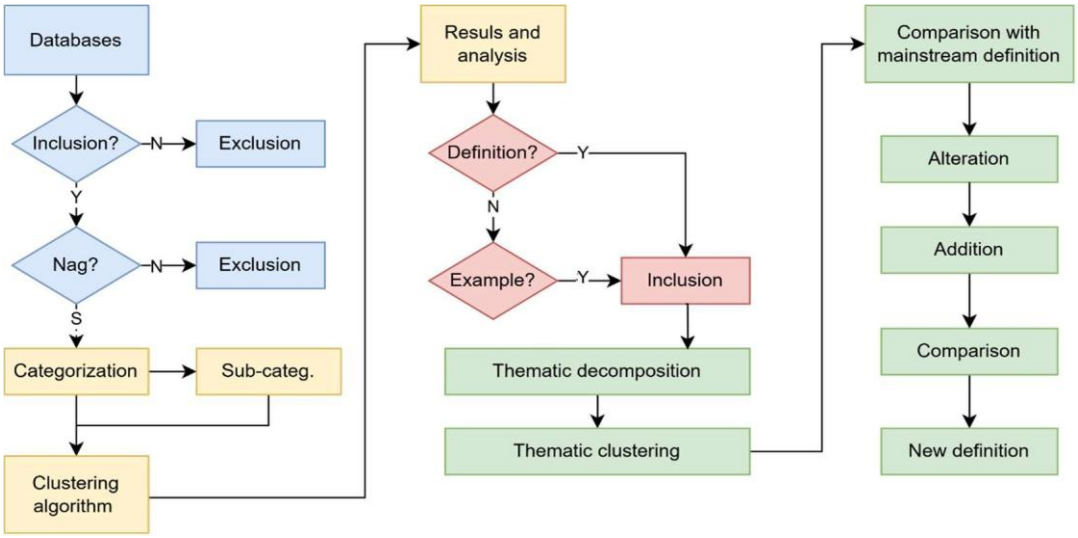
Methodology Procedures

The objective of this study is to propose a contextually appropriate definition of strategic decision-making in family businesses and to analyze how this process unfolds within the specific dynamics of these organizations. Given the conceptual and empirical gaps observed in the literature, the research design combined systematic literature review techniques with conceptual reconstruction procedures, allowing for both empirical mapping and theoretical refinement. To ensure methodological rigor, the analysis was restricted to peer-reviewed articles indexed in major academic databases.

To achieve this, we adopted a four-stage methodological approach, visually represented in the flowchart in Figure 1. The first stage involved the inclusion and exclusion of articles based on the PRISMA protocol (blue phase). This was followed by the categorization and thematic analysis of the selected studies (yellow phase). In the third stage, we identified and extracted both explicit (precise or otherwise) and implicit (examples and justifications) definitions of strategic decision-making found within the literature (red phase). Finally, building on the procedure proposed by Nag et al. (2007), we inductively adapted and extended their conceptual aggregation logic to the specificities of family firms, creating a context-sensitive definition tailored to the field (green phase).

Figure 1.

Methodological Procedures Flowchart



Source: Author

We first conducted a systematic literature review to analyze the strategic decision-making process in family businesses. This method enabled the organization and synthesis of different approaches, ideas, and conceptualizations based on studies published in high-impact academic databases (Igarashi et al., 2015).

The review was performed using the search expression: “family business” AND (“decision making” OR “decision-making”). To ensure comprehensive coverage, we included studies where the relevance to strategic decision-making could be inferred from the context, even if the term “strategic” was not explicitly stated – this is why terms like strategy or strategic were not included (to avoid leaving potential studies out of the final scope).

The Web of Science and Scopus databases were selected due to their recognized indexing rigor and comprehensive coverage of management and business fields. Web of Science is known for its strict quality control (Baltzar et al., 2023), while Scopus offers interdisciplinary breadth across areas relevant to our topic (Metsola et al., 2021). The search yielded 318 articles from Web of Science and 297 from Scopus, totaling 615 results.

Given the results yielded, we applied filters to include only peer-reviewed journal articles written in English and classified within relevant fields such as *Business*, *Management*, *Economics*, *Business Finance*, *Social Sciences Interdisciplinary*, *Psychology Multidisciplinary*, *Ethics*, *Sociology*, *Family Studies*, *Psychology Applied*, *Computer Science*

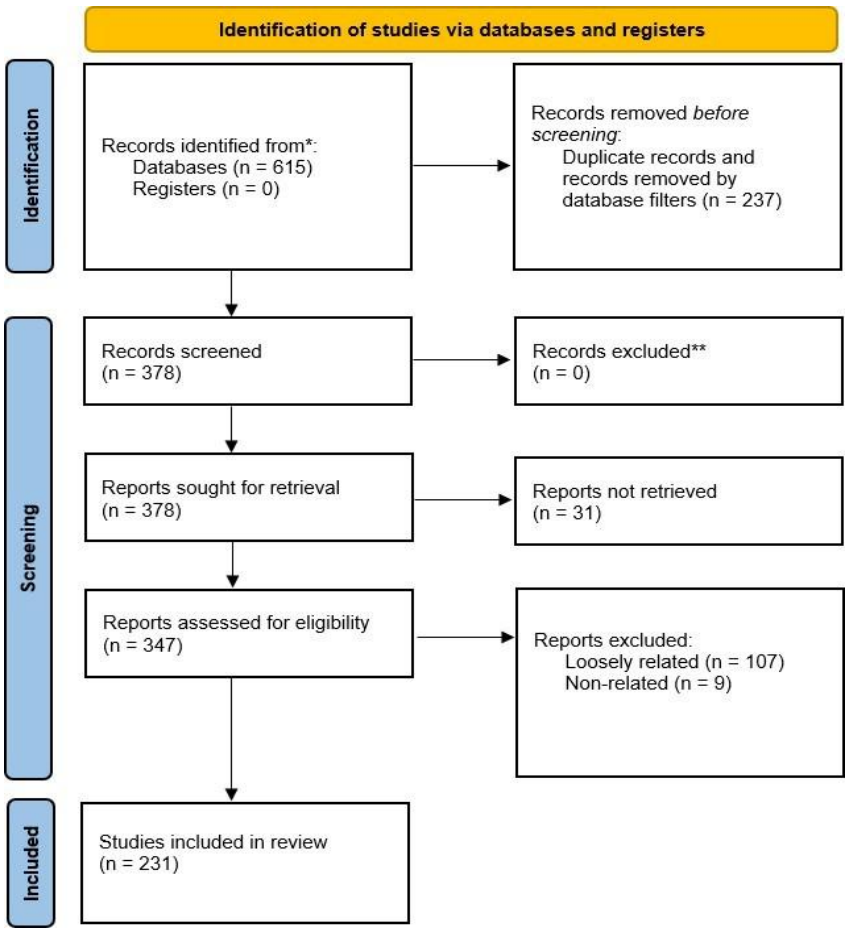
Artificial Intelligence, and *Computer Science Theory Methods*. These fields were selected to capture the wide nature of strategic decision-making in family businesses, encompassing strategic, organizational, psychological, social, ethical, and technological perspectives. After removing duplicates, 378 unique articles remained for manual screening. Titles, abstracts, and keywords were analyzed to determine alignment with the research focus, following PRISMA protocol guidelines (Liberati et al., 2009), supplemented by additional inclusion/exclusion criteria based on Liao et al. (2017).

As a conceptual filter, we adopted Nag et al.'s (2007) widely recognized definition of strategic management, whose relevance as a foundational framework in strategic research has been reaffirmed by several influential studies (Ketchen et al., 2008; Furrer et al., 2008). This definition - "the major initiatives, taken by managers on behalf of owners, involving the utilization of resources to enhance firm performance in its external environment" - guided the exclusion of articles clearly unrelated to the strategic domain. The criterion was applied broadly, loosely and conservatively to avoid disregarding studies that could offer valuable perspectives.

The screening process led to the exclusion of 147 articles - 107 that were clearly unrelated to the research topic, 9 that lacked sufficient connection to the strategic decision-making focus, and 31 whose full texts were inaccessible. The final sample consisted of 231 articles, forming the empirical basis for the thematic categorization and definitional extraction procedures, as illustrated in the PRISMA flowchart (Figure 2). The full list of the 231 selected articles is provided in the Appendix (see p. 129).

Figure 2.

PRISMA protocol flowchart



Source: Author

In the second stage, the selected articles were analyzed both manually and with the assistance of the Reinert Method (1993), using the Iramuteq software. Rooted in Correspondence Analysis, this method enables the exploration of textual data and the identification of thematic patterns. The 231 articles were *ex ante* categorized according to established frameworks in strategic decision-making literature and emerging topics included later in the analysis.

Temporal categorization spanned five decades: the *1980s*, *1990s*, *2000s*, *2010s*, and *2020s*. Spatial categorization identified countries from North America (*USA*, *Canada*, *Mexico*), Asia (*China*, *Japan*, *South Korea*, *Taiwan*, *Vietnam*, *Indonesia*, *Bangladesh*,

Malaysia, the *Philippines*, *Thailand*, *Kuwait*, *UAE*, *Lebanon*), Europe (*France*, *United Kingdom*, *Germany*, *Italy*, *Spain*, *Sweden*, *Switzerland*, *Finland*, *Denmark*, *Belgium*, *Portugal*, *Ireland*, *Greece*, *Turkey*, *Slovakia*, *Bosnia*, *Montenegro*, *Kosovo*), Latin America (*Brazil*, *Colombia*), Africa (South Africa, *Ghana*, *Morocco*, *Kenya*), and Oceania (*Australia*).

We categorized possible theoretical frameworks in a diverse range of fields in order to cover most probable scenarios. Economic and organizational foundations included *Transaction Cost Theory*, *Agency Theory*, *Resource-Based View Theory*, and *Capital Structure Theory*. Behavioral and psychological approaches encompassed *Decision-Making Theory*, *Cognitive Theory*, *Behavioral Decision Theory*, *Prospect Theory*, *Regret Theory*, *Bounded Rationality Theory*, *Dual-Process Theory*, and *Affect Infusion Theory*. Emotional and relational dimensions were captured through *Socioemotional Wealth Theory*, *Family Roles and Intergenerational Conflict Theory*, *Family Communication Theory*, and *Emotion Boundary Management Theory*. Family-specific frameworks included *Family Business Theory*, *Family Business Succession Theory*, *Leadership and Succession Theory*, and *Work-Family Interdependence Theory*. Social and institutional perspectives were represented by *Institutional Theory*, the *Theory of Institutional Pluralism*, and *Social Exchange Theory*. Additional frameworks included *Strategic Reference Point Theory*, *Organizational Goal Theory*, *Human Capital Theory*, *Attachment Theory*, *Effectuation Theory*, *Social Identity Theory*, *Social Capital Theory*, *Stakeholder Theory*, *Game Theory*, *Gender Theory*, *Conflict Theory*, *Women's Agency Theory*, *System Theory*, and *Social Systems Theory*.

Other classification axes included generational categorizations (*first-*, *second-*, and *third-generation*), resource-related analyses (focusing on *financial*, *knowledge-based*, and *reputational resources*), diversity dimensions (*age*, *gender*, and *race*), firm size (*Small and Medium Enterprises [SMEs]*, *Large Companies*, *Very Large Companies*), scope of operations (*local*, *national*, *international*), decision-making loci (CEO *[Chief Executive Officer]*, *board of directors or top management team [TMT]*, *family*, *middle management*, *owner(s)*), and industry sectors *(retail*, *services*, *rural*, and *manufacturing*). Methodologically, studies were classified as *qualitative*, *quantitative*, or *mixed methods*, with techniques including *observation*, *literature review*, *surveys*, *questionnaires*, *case studies*, *interviews*, and *statistical analyses*.

Having categorized the corpus across multiple analytical dimensions, we subsequently focused on definitional aspects. We selected studies that provided either a precise or an

implicit definition of strategic decision-making or a justification for their inclusion within the strategic domain. Adapting the conceptual aggregation logic proposed by Nag et al. (2007), we conducted a thematic decomposition of these definitions/examples/scenarios to extract the conceptual elements underlying the term "strategy" in the family business context.

Finally, we compared the extracted components with Nag et al.'s (2007) original framework and, through context-specific adaptations, proposed a revised definition of strategic decision-making tailored to the unique dynamics of family firms, presented in the following section.

Results and discussion

This section presents the main findings from our analysis, organized into key dimensions that structure how strategic decision-making has been approached in the family business literature. We begin with a combined view of *temporal*, *spatial*, and *theoretical trends*, followed by categories such as *generational dynamics*, *resources*, *diversity dimensions*, *firm size*, *scope of operations*, *decision-making loci*, *industry sectors*, *methodological approaches*, and *research techniques*. Together, these dimensions offer a structured view of how the concept of strategic decision-making has been developed, applied, and interpreted in the context of family firms. This framework not only maps prevailing patterns and conceptual gaps but also lays the empirical foundation for the definitional refinement proposed in the final section of this study.

Temporal, Spatial, and Theoretical Trends

Academic interest in strategic decision-making within family businesses began to take shape in the early 1990s, with the earliest publication in our dataset dating back to 1991 (Wicker et al., 1991). Although our framework includes the 1980s, no articles from that decade were identified, positioning the 1990s as the true starting point for scholarly production in this area.

From a temporal perspective, two main patterns emerge. First, the number of publications has grown steadily, with a sharp increase in the 2010s and especially the 2020s. This expansion follows a broader trajectory observed in many fields of the social sciences,

where increased scholarly output often signals maturity and academic legitimacy (Podsakoff et al., 2008). The 2020s stand out as the most prolific period to date, further emphasizing the sustained relevance of the topic in ongoing scholarly debates.

Second, a shift in theoretical orientation became visible around 2007, following the publication of the Socioemotional Wealth (SEW) framework (Gómez-Mejía et al., 2007). Prior to this point, the literature was marked by conceptual dispersion, with little coherence across studies. The SEW perspective introduced a shared reference point, fostering greater alignment and anchoring subsequent research. This shift contributed to a more unified theoretical direction in the field and can be considered a milestone that distinguishes early exploratory studies from the more theory-driven work that followed.

Unexpectedly, the COVID-19 pandemic did not lead to a significant increase in research output within this domain. Only a small portion of the studies analyzed explicitly addressed the pandemic's impact, which may reflect either a delay in publication or the slower integration of crises into strategic management research. Given the well-documented effects of the pandemic on small and family-owned firms (Carter & Jones-Evans, 2020; Berkes et al., 2021; Prasetyo & Siregar, 2021), this gap in the literature is particularly noteworthy.

Another consistent pattern is the time lag between developments in mainstream strategic management and their application to family firms. Many theoretical models are first developed for large, non-family firms and only later adapted to the family business context (Daspit & Chrisman, 2025). This creates a recurring delay in the field, where strategic frameworks are gradually adjusted to accommodate the specificities of family enterprises - often after their relevance has already been established elsewhere.

From a geographical perspective, the literature on family businesses remains predominantly concentrated in economically developed countries. The United States, the United Kingdom, France, Spain, Australia and Italy, have consistently led academic production in this domain, maintaining dominance throughout the decades. More recently, China has emerged as a key contributor to the field, particularly since the 2010s. This growing presence reflects not only the increasing prominence of family firms in China's economy but also the country's greater investment in academic research output (Guo et al., 2019).

Despite some participation from developing economies such as Brazil, India, and South Africa, their representation remains limited and fragmented. Contributions from these

regions often appear in isolation and are rarely part of sustained, large-scale research agendas. While occasional studies from countries like Pakistan and certain African nations offer valuable perspectives, they are generally outliers in a field still predominantly shaped by the Global North.

This geographical imbalance poses significant challenges for the generalizability of findings. Theoretical frameworks and empirical conclusions are often rooted in contexts that differ markedly from those in emerging economies. As a result, key aspects of strategic decision-making in family firms - especially those shaped by cultural, institutional, and developmental differences - remain underexplored. In many developing countries, family businesses are not only a dominant economic force but also central to the cultural and social fabric (Sanguino et al., 2016). The lack of sufficient research into how cultural norms, institutional frameworks, and socioeconomic conditions affect family business decision-making in these contexts represents a critical gap that needs to be addressed in the academic literature.

Generational Dynamics

Generational transition is a central theme in studies on strategic decision-making in family businesses. Among the various generational stages, the shift from the first to the second generation receives the most attention, often depicted as a decisive point for the firm's survival, the continuity of family control, and the restructuring of decision-making processes (Wu et al., 2020; James et al., 2021)

This phase is frequently linked to the professionalization of the business (Finkelstein & Hambrick, 1996; Chua et al., 2003), marking a shift from founder-centered governance to more participatory structures that involve professional managers, external advisors, or formal boards. These changes often lead to the adoption of structured planning routines and management tools (Zellweger et al., 2012; Miller & Le Breton-Miller, 2021).

The literature also emphasizes generational gaps in technical knowledge - especially in areas like digital tools and strategic planning. The second generation is typically portrayed as better educated and more familiar with contemporary technologies (Tutar & Keskin, 2022). However, these advantages are rarely presented as the result of planned succession efforts, but rather as incidental outcomes of generational change.

Studies tend to overlook failed or problematic transitions. Cases involving unprepared successors, internal resistance, or reluctant leadership are underrepresented, contributing to a biased view that favors narratives of continuity and success. Similarly, discussions about the legitimacy or merit of successors are limited, often reduced to individual capability concerns, without challenging inheritance-based leadership models.

Research on later generations remains scarce and generally focuses on large, established firms, offering little understanding of businesses that do not persist beyond the second generation. Furthermore, the connection between generational transition and changes in strategic decision-making is often assumed but rarely examined in depth. Comparative analyses across generations and studies on knowledge transfer, role negotiation, or conflict management are limited.

In short, although the literature acknowledges the importance of generational change - especially the second generation - it tends to neglect failure, conflict, and alternative succession paths. Addressing these blind spots is key to advancing a more realistic and complete understanding of strategic transformation in family firms.

Resources

Resources play an important role in shaping strategic decision-making in family businesses. Our initial framework identified three main categories: knowledge, financial capital, and reputation. During the coding process, a fourth category - social capital - emerged inductively. Although mentioned less frequently, its conceptual relevance in the family business context justifies separate consideration.

Knowledge is the most commonly referenced resource in the literature. It includes technical expertise, digital fluency, managerial skills, and absorptive capacity. Although not explicitly tied to firm size, the predominance of studies focused on small and medium-sized enterprises likely contributes to its emphasis. Knowledge is often linked to the second generation, typically portrayed as more professionally trained and technologically fluent than the founders (Tutar & Keskin, 2022; Gasperin et al., 2022). However, few studies explore whether this advantage results from intentional succession planning or simply from generational shifts. Still, knowledge consistently appears as a driver of innovation, agility, and professionalization in strategic processes.

Financial capital is more frequently examined in the context of larger family firms. Common topics include capital structure, investment decisions, credit access, and the trade-offs between maintaining family control and attracting external funding (Stommel & Müller, 2024). This emphasis is likely due to both theoretical and empirical factors. Conceptually, financial resources align with frameworks such as the Resource-Based View and Agency Theory, which are often applied to larger organizations. Empirically, more professionalized governance structures in mature firms tend to elevate the role of financial performance and investor expectations in strategic decisions.

Reputation stands out as a relevant resource across firms of all sizes. It encompasses both the business's public image and the family's legacy (Xian et al., 2021). In many cases, the family name is directly tied to the brand, making reputation both a strategic concern and a deeply personal issue. Unlike financial capital, reputation does not vary significantly by firm size. It is consistently associated with strategic decisions involving transparency, stakeholder trust, and long-term orientation.

Social capital refers to relationship-based assets such as trust with clients, suppliers, communities, and peers - often developed across generations. Although cited less often, it offers strong explanatory value, especially in contexts where formal resources are scarce. In such settings, informal networks and relational trust become strategic levers. In family firms, where personal and professional ties frequently overlap, social capital provides resilience and adaptability in navigating uncertain or institutionally fragile environments (Shi et al. ,2015)

Diversity Dimensions

Diversity in strategic decision-making - encompassing gender, age, race, and cultural background - is often linked to improvements in learning, innovation, and decision quality. Theoretical frameworks such as those proposed by Shore (2011) and Ferdman and Deane (2014) emphasize the strategic value of diverse teams, especially in uncertain and dynamic environments. Given the complexity of family firms - where business and family logics intersect - diversity would appear to be a relevant factor. However, our findings indicate that this theme remains largely overlooked.

Despite its conceptual importance, diversity is rarely addressed in the literature on strategic decision-making in family businesses. The vast majority of studies in our sample

make no mention of diversity. None focus explicitly on racial or ethnic dimensions, and only a small number briefly reference gender, often limited to acknowledging the presence or absence of women in strategic roles (Muhumed et al., 2017; Daovisan & Li, 2020).

Even within discussions of gender, most studies adopt an advocacy tone, emphasizing inclusion without providing empirical analysis of its effects. The few papers that do engage with the topic tend to be descriptive or normative, lacking the methodological depth needed to assess how gender diversity influences strategic outcomes. As a result, diversity often appears more as a symbolic concern than as an operational variable.

This marginal treatment reflects a broader gap in the literature. While general management research increasingly incorporates diversity into models of strategy and leadership, family business studies have yet to do so systematically. There is limited attention to how diverse perspectives within leadership teams, boards, or ownership structures might shape strategic thinking or improve decision-making.

Firm Size

The literature often categorizes family firms by size, typically distinguishing small (often grouped with medium-sized) Small and Medium Enterprises (SMEs), large, and giant (very large) firms. This dimension is analytically relevant, as firm size influences not only the strategic issues explored, but also the theoretical approaches and types of resources emphasized across studies.

SMEs family firms dominate the empirical field. Most articles in our sample focus on this group, reflecting both their global prevalence and greater accessibility for researchers. These firms are generally portrayed as close-knit, founder-driven organizations, where decision-making tends to be informal and strongly influenced by the founder, often into the second generation.

Studies on SMEs frequently center on succession (Khosa, 2020; Gavric, 2021), particularly the first-to-second-generation transition, and the resulting shifts in decision-making, professionalization, and technological adaptation (Saura et. al, 2023). Strategic choices in this group are often associated with knowledge-based resources, generational learning, and new decision-making structures that seek to reconcile family legacy with emerging managerial needs.

In contrast, large and giant family firms are more commonly analyzed through lenses such as financial performance, capital structure, corporate governance, and board composition (Avrichir & Lazo, 2016; Galizzo & Hérnandez, 2017). Here, decision-making is framed in terms of economic rationality, control systems, and stakeholder management.

Notably, the literature lacks structured comparative studies that directly examine how strategic decision-making varies across firms of different sizes. While the reviewed studies show distinct emphases depending on firm size, few works engage in systematic comparisons. This gap limits a deeper understanding of how organizational scale shapes not only the context but also the very nature of strategic decisions in family firms.

Scope of Operations

The scope of a firm's market presence - whether local, national, or international - is another important dimension influencing both strategic decision-making and the type of challenges a family business faces. In our analysis, firms were classified according to their operational reach into three categories: local, national, and international. The distribution of firms across these categories aligned closely with expectations based on firm size and maturity.

Local scope was most commonly observed, particularly among small family businesses. These firms tend to operate within regional markets, rely heavily on relational ties, and maintain customer bases that are geographically proximate. Their strategic decisions often prioritize community reputation, interpersonal trust, and sustainability over aggressive expansion (Madanoglu & Koç, 2020; Browne et al., 2021). Consequently, the scope of decision-making remains relatively constrained, focusing on issues such as succession, product consistency, and local partnerships.

Nationally operating family firms are more frequently found among large enterprises, where expansion beyond a single locality has required the development of more formal structures, broader distribution systems, and diversified customer bases (Avabruth et al., 2023). These firms often face more complex governance and competition challenges, leading to a more formalized and structured approach to strategic decision-making.

At the highest end of the spectrum, international scope was generally limited to giant family firms, which have scaled operations across borders. These firms exhibit high levels of

organizational maturity and professionalization and are subject to global competition, regulatory complexity, and cross-cultural management dynamics (Ding, 2024). Strategic decisions at this level typically emphasize capital investment, governance alignment, international partnerships, and risk diversification. In these contexts, economic rationality and financial optimization tend to overshadow the more emotional or socioemotional dimensions often associated with family firms.

Decision-Making Loci

One of the dimensions analyzed in this study concerns the organizational level at which strategic decisions are made within family firms. The literature was categorized into five potential levels of decision-making: owner, family (as a collective), CEO, top management team (TMT), and board of directors. The findings indicate meaningful patterns that correlate closely with firm size and governance complexity.

The owner is the most frequently analyzed decision-maker in the reviewed literature. This is particularly evident in studies focused on small family firms, where the owner often holds multiple overlapping roles - as founder, manager, financier, and strategist (Rodriguez & Pacheco, 2023; De Tommaso & Roncalli, 2024). In these firms, decision-making tends to be highly centralized, informal, and guided by the owner's personal goals, values, and relational ties.

This concentration of decision authority around the owner reflects not only the structural simplicity of smaller firms but also the emotional and symbolic role that the founder often plays. In such contexts, owner decisions are frequently indistinguishable from “family decisions,” raising important conceptual questions about whether and how scholars differentiate between decisions made by the individual owner and those made collectively by the family.

The concept of “family-level” decision-making appears frequently but is often under-defined. In many studies, the “family” is referenced as a decision-making entity without clarifying whether this refers to formal governance arrangements (e.g., family councils), informal consensus-building, or shared values shaping the owner’s choices. The lack of conceptual clarity between owner-driven and family-driven decisions creates ambiguity in how strategic agency is attributed in family firms.

In studies focusing on larger or more complex family firms, a broader range of decision-making levels is observed. These include the CEO, the top management team (TMT), and board of directors - roles that tend to emerge only in firms that have achieved a degree of organizational maturity and professionalization (Campopiano et. al, 2020). In these contexts, decisions are more likely to be formalized, rationalized, and subject to governance mechanisms, aligning more closely with mainstream strategic management literature. However, even in these cases, family influence is often still present - either through board membership, ownership structures, or informal influence over professional executives. This raises questions about how family logic and professional logic coexist at upper levels of governance.

Industry Sectors

Another analytical dimension explored in this study was the type of business activity or sector in which family firms operate. For classification purposes, companies were grouped into four broad categories: retail, manufacturing, services, and rural or agricultural enterprises. While this categorization was useful for organizing the sample, the findings indicate that sectoral affiliation is largely under-theorized in the literature.

Across the studies reviewed, there is no consistent academic rationale for selecting firms from specific sectors. Nor is there evidence that the type of business activity is considered to meaningfully influence strategic decision-making in family firms. The strategic practices, challenges, or priorities discussed in the literature appear to be treated as largely sector-neutral, suggesting an implicit assumption that the family nature of the firm is a more important explanatory variable than its industry context.

Moreover, authors rarely justify their sector choices. In most cases, the selection of firms from a particular industry seems to be driven by data availability or researcher access, rather than theoretical intent. This pattern raises concerns about convenience sampling, which may limit the generalizability of findings and obscure potentially important differences. This lack of attention to sectoral variation constitutes a notable gap in literature. Given that strategic decision-making is often influenced by industry structure, regulatory environment, market dynamics, and capital intensity (Ampenberger & Schmid, 2009), it is surprising that the family business field has not engaged more deeply with sectoral contingencies. For

instance, the strategic imperatives of a rural agricultural business - often shaped by seasonality, land tenure, and informal labor - are likely to differ significantly from those of a family-owned tech startup or a professional services firm.

Methodological Approaches

The methodological profile of the literature on strategic decision-making in family businesses offers a window into epistemological tendencies and evidentiary standards shaping this field. To assess this dimension, all reviewed articles were classified according to their dominant methodological approach: quantitative, qualitative, or mixed methods.

Mixed methods studies are notably scarce in the dataset. They appear in only a handful of cases, indicating that this approach remains marginal in family business research. Although often recognized for their potential to combine depth and generalizability (Reilly & Lambert, 2017), mixed methods seem to face barriers in this field - possibly due to perceived complexity, disciplinary traditions, or constraints related to researcher training and publishing space.

Quantitative approaches dominate the literature. This prevalence reflects a growing emphasis on methodological rigor, replicability, and statistical generalizability, particularly in journals with higher impact and stricter peer-review processes. Quantitative studies are especially common in research involving large or very large family firms, where regression-based models are often used to explore relationships among governance structures, financial performance, and succession outcomes (Fang & Zhang, 2021; Liao & Chan, 2021). However, these studies rarely engage with the limitations of quantification, particularly when addressing relational, emotional, or informal dynamics - core elements of family business behavior that are not easily captured through standardized measures.

Qualitative research ranks second in methodological prevalence. Most of these studies adopt single or multiple case designs and draw on interviews, documents, or observational techniques (Browne et. al, 2021). However, many lack clear justification for case selection, sectoral focus, or geographical scope. In several instances, access to firms appears to determine the sample more than theoretical framing, which constrains the scope and relevance of findings. While qualitative approaches are well-suited to explore themes such as succession, conflict, identity, and socioemotional wealth, many studies fail to articulate how

their empirical material contributes to broader theoretical debates. As a result, much of the qualitative work tends to emphasize rich narrative over conceptual development.

Research Techniques

In addition to categorizing the methodological approach (quantitative, qualitative, or mixed), this study also assessed the specific analytical techniques employed across the reviewed literature. Understanding the tools and techniques used clarifies the research practices and analytical depth of the field.

In studies categorized as quantitative, the dominant technique by far is the use of statistical analysis, typically involving regression models, structural equation modeling (SEM), or panel data methods. These techniques are often used to test hypotheses related to firm performance, governance, succession outcomes, or decision-making efficiency (Basco, 2013; Sastre & López 2022).

In contrast, qualitative studies exhibit a greater diversity of techniques, offering a broader range of empirical engagement. Among these, the case study approach is the most frequently employed method, with both single-case and multiple-case designs present. Case studies often involve semi-structured or open-ended interviews, sometimes complemented by document analysis or participant observation.

While interviews are widely used, many studies do not fully clarify their sampling rationale, data saturation thresholds, or analytic procedures, such as coding frameworks or triangulation. This lack of transparency can weaken the replicability and credibility of findings, even when the evidence generated is rich and contextually nuanced.

Some papers, particularly those with conceptual or exploratory orientation, utilize literature reviews as their primary technique.

Questionnaires appear across both quantitative and qualitative studies but are more commonly found in quantitative research as instruments for survey-based data collection. However, their design and validation are not always clearly reported, raising questions about instrument reliability in some cases.

Definitions extraction

The next step of this review concerns how the selected articles define strategic decision-making and how they justify their inclusion within the field of strategic management. This category examines two related questions:

(1) Do the studies provide a clear definition of what constitutes a "strategic" decision?;

(2) Do the authors justify their work as part of the strategy field?

The findings here point to a significant theoretical and conceptual gap. The vast majority of studies fail to provide an explicit definition of strategy or strategic decision-making. In these works, the strategic nature of the decisions being examined is either taken for granted, vaguely implied, or left entirely undefined. This absence of definitional clarity creates a critical weakness, as it becomes difficult to assess whether the decisions under analysis genuinely meet the conceptual criteria for strategic relevance - such as long-term orientation, resource allocation, performance impact, or alignment with organizational goals.

Where definitions are provided, they are typically borrowed directly from mainstream strategic management literature, often without reflection on their applicability to family business contexts. Rarely do these definitions account for the unique socioemotional, familial, or informal dynamics that shape strategy in family firms. Even fewer studies attempt to produce a working or situational definition grounded in the specifics of their empirical setting.

Paradoxically, although most articles lack a clear definition of strategy, many still make an explicit attempt to justify their research as being part of the strategy field. Authors frequently cite foundational strategic management literature or include keywords like “strategic decision-making” in their titles, abstracts, or conceptual framing. However, these justifications often appear retrospective and superficial - as though the decision to position the article within the strategy domain was made after the empirical analysis was complete, rather than being guided by an a priori theoretical commitment to the field.

This pattern suggests a reverse logic in research design: scholars begin by studying family firms or family-related issues and only later seek to retrofit their work into the strategic management discourse, often without deep engagement with the strategy literature itself. This may be due to a number of factors - ranging from a lack of training in strategic theory among family business scholars, to publication strategies that seek alignment with high-impact, strategy-focused journals.

The result is a body of literature that often labels itself as strategic but lacks internal coherence around what "strategic" actually means in the context of family businesses. This ambiguity limits the cumulative development of theory, the ability to compare findings across studies, and the formulation of practical implications. It also reinforces the theoretical reification (Lane et al., 2006) discussed earlier in this study, wherein strategy is treated as a static yet loose label.

Conceptual Reassessment of Strategic Management for Family Business

Following the completion of our review, we sought to address the absence of a contextually grounded and theoretically coherent definition of strategic decision-making as it applies specifically to family businesses. To address this issue, we adopted and adapted the procedural logic proposed by Nag et al. (2007) for constructing conceptual definitions from a broad and fragmented literature base. Nag et al. 's (2007) methodology was originally designed to clarify the definition of "strategic management" as a field of inquiry by systematically aggregating definitional elements across publications, identifying core dimensions, and constructing an integrative definition. In our study, we applied a similar aggregative logic, but redirected it toward defining strategic decision-making in family businesses, with necessary adjustments to accommodate the specificities of our object of study.

We used the following procedures to propose a context-oriented definition. First, we manually identified explicit or inferred definitions across the 231 articles, including operational criteria, thematic justifications, and theoretical framing, in order to capture how authors define or characterize strategic decisions within the literature. Then, we extracted core conceptual components (e.g., decision scope, resource commitment, time horizon, risk, family influence, external context, etc.), isolating relevant dimensions for semantic and functional analysis. The next step was the grouping of concrete elements into higher-order categories (such as "family ties" or "socioemotional dimensions of decision-making") to synthesize empirical content into analytical constructs for comparison. Subsequently, we reassessed the coded elements in light of family business characteristics (such as family influence, generational continuity, and socioemotional wealth) with the goal of avoiding definitions rooted in the context of large, non-family firms and enhancing contextual relevance. Finally,

we integrated the abstracted and filtered elements into a context-specific definition aligned with both strategic management theory and the realities of family firms, aiming to offer a usable, theory-informed definition for future conceptual and empirical work.

We then selected, from our sample, the articles that explicitly proposed a definition of what constitutes a strategic decision within the context of family businesses. From these selected definitions, we identified and classified terms and expressions specific to the family business context that were not present in the original definition by Nag et al. (2007). Among these recurring terms are the following expressions: “family ties or owners,” “economic and non-economic objective,” “family interests and well-being,” and “family firms.” These elements, emphasized in the reviewed definitions, are summarized in Table 1. It is worth mentioning to note that the authors do not use all the expressions categorized in their definitions.

Table 1.

Coding Family Business Aspects

Author, year	Family ties or owners	Economic and non-economic objective	Family interests and well-being	Family firms
Basco, 2013	family-oriented	Ø	Ø	Firm
Bee et. al, 2014	Ø	Emotions	Ø	family business
Camblanne, 2013	Owners	Ø	Ø	family firms
Hanisch et. al, 2014	Ø	Ø	Ø	Firms
Kotlar et. al, 2014	Ø	economic and non-economic goals	Ø	family firms
Penney et. al, 2014	family decision	Ø	opportunities for their children	Ø
Glover et. al, 2015	Ø	Ø	affect the family	family business
Priem et. al, 2016	Ø	Ø	Ø	Ø
Rutherford et. al, 2016	Ø	aspirations and goals	Ø	Ø
Galizzo et. al, 2017	Ø	Ø	socioemotional wealth	Ø
Molly et. al, 2019	Ø	goal orientation	socioemotional wealth	family firms
Penney et. al, 2019	Ø	Ø	socioemotional wealth	family business

Carr et. al, 2021	family decisions	Ø	Ø	family business
Fang et. al, 2021	Ø	economic and non-economic endowments	Ø	family firms
Bizri, 2022	family influence	Ø	Ø	family business
El Shoubaki et. al, 2022	family involvement	Ø	Ø	Ø
Wei wt. al, 2022	Ownership	goal preference	Ø	Ø
Hoekx et. al, 2023	Ø	organization goals	Ø	Ø
Goyal et. al, 2023	Ø	business performance	Ø	family businesses
Kupangwa et. al, 2023	family plays	Ø	Ø	family business
Yu, et. al, 2023	entrepreneurs	Ø	affective responses	Ø
Harris et. al, 2020	Ø	Ø	Ø	Ø
Ibrahim et. al, 2004	family members	Ø	Values	family firms

Source: Author

Following this tabulation, we developed a new comparative table that integrates the definitional elements originally proposed by Nag et al. (2007) with those identified in the definitions retrieved from the family business literature. While many of Nag et al.'s (2007) core concepts are reflected in these definitions, our aim was to accentuate the presence of additional, recurring elements that are not included in the original framework. These family business-specific terms appear with notable frequency and point to the need for a revised definition that incorporates such elements and is better aligned with the realities of family enterprises. This comparative synthesis is presented in Table 2.

Table 2.

Indexed Terms and Expressions for Adapting Nag et al.'s (2007) Definition to the Family Business Context

Original Category (Nag et al., 2007)	Terms from mainstream Strategic Management Literature	Terms from Family Business Literature	Interpretation / Proposed Adaptation

The major intended and emergent initiatives	Strategy; Innovation; Acquisition; Investment; Operation; Diversification; Learning; Entry; Activity; Alliances; Transaction	Strategic direction; Competitive positioning; Create opportunities; Initiate strategic actions; Coordinate decisions; Strategic management; Acquisitions	No changes stemming from the family business literature
Taken by general managers	Top; Incentives; Board; Director; Compensation; CEO; Succession; Agency; General	Family decision process; Family perception; Family roles; Entrepreneurs	**Adapt to**: "taken by general managers, family ties or owners"
Involving utilization of resources	Stock; Capability; Assets; Technology; Competency; Financial; Product; Ties; Slack; Knowledge; Resources	Economic and non-economic goals; Endowments; Substantial resource; Major capital; Financial decisions; SEW; Logo; Financing	**Adapt to**: "involving utilization of resources with economic and non-economic objectives"
To enhance the performance	Growth; Advantage; Returns; Decline; Dominance; Performance	Performance; Goals; Endowments; Successors; Children; Future generations; Emotional comfort	**Adapt to**: "to enhance the performance, family interests and well-being"
Of firms	Firm; Business; Company; Corporate; Enterprise; Multibusiness; SBU; Subsidiary	Firms; Family business; Family firms; Family organizations	**Adapt to**: "of family firms"
In their external environments	Industry; Competition; Market; Environment; Contingency; Uncertainty; Threats; Risk	Environmental factors; International strategy; Internal family dynamics; Internal structures	**Adapt to**: "in their internal and external environments"

Source: Author

Following the steps, we identified recurring conceptual elements related to strategic decision-making in family firms, which informed the reconfiguration of the original

framework. Rather than simply transposing theoretical categories to a new setting, our adaptation reinterprets them in light of the unique characteristics of family businesses - such as the overlap between family and organizational systems, the emotional ties among decision-

makers, and the frequent presence of non-economic goals guiding strategic choices. This effort results in an analytical structure that is more tuned to the lived reality of family firms, contributing to the development of a theoretical lens better aligned with their specific dynamics: “Strategic management, in family firms, refers to the major intended and emergent initiatives, taken by general managers, family ties or owners, involving utilization of resources with economic and non-economic objectives to enhance the performance, family interests and well-being of family firms in their internal and external environments”.

This definition builds upon the framework proposed by Nag et al. (2007), which conceptualizes strategic management as the set of commitments, decisions, and actions that determine the long-term performance of an organization through the alignment of internal resources with external opportunities. While preserving the core elements of this framework - such as the interplay of deliberate and emergent strategies, the focus on resource allocation, and the importance of environmental alignment - our adapted definition introduces modifications necessary to capture the distinct dynamics of family firms. Specifically, it redefines the strategic actor as not merely “managers” but as individuals or groups with familial ties, reflecting the pervasive and often informal influence of family members in decision-making. It also expands the outcome of strategy beyond firm performance to include family continuity and socioemotional goals, acknowledging the dual logic that often governs family businesses. These adjustments aim to preserve the analytical clarity of Nag et al.’s, (2007) definition while embedding it within the socio-relational and identity-laden context that characterizes family enterprises.

Conclusions

This study set out to address a persistent conceptual gap in the family business literature: the absence of a clear, theoretically grounded, and context-sensitive definition of strategic decision-making. Drawing on a comprehensive analysis of 231 articles, we demonstrated that although many studies refer to strategy, few provide a consistent or explicit conceptualization - especially one that reflects the unique characteristics of family firms.

By adapting the conceptual aggregation approach proposed by Nag et al. (2007), we were able to reconstruct the strategic decision-making construct in a way that incorporates both established strategic management criteria and elements specific to family enterprises,

such as socioemotional goals, family continuity, and the informal participation of family members in decision processes.

The proposed definition not only responds to a gap identified in the literature but also offers a foundation for greater theoretical coherence and cross-study comparability. It enables future research to better distinguish strategic from non-strategic decisions and to evaluate the role of family-specific dynamics in shaping strategic behavior.

Ultimately, we argue that conceptual clarity is a necessary condition for advancing empirical and theoretical knowledge in the field. By refining what makes a decision strategic in family firms, this study contributes to building a more robust and context-aware foundation for future research.

Limitations

While this study provides an important conceptual contribution to the understanding of strategic decision-making in family firms, it is not without limitations. First, the analysis is restricted to peer-reviewed articles indexed in academic databases, which may exclude relevant perspectives found in non-indexed journals, books, theses, or practitioner literature. As such, the scope of the review reflects academic discourse but may not capture the full breadth of strategic practices in family businesses.

Second, although the conceptual reassessment is grounded in a rigorous analytical process, the resulting definition has not yet been empirically tested. We do not evaluate its applicability across different types of family firms, sectors, or cultural contexts. Thus, the practical generalizability and operational validity of the definition remain open for further empirical investigation.

Third, our coding and interpretation of definitional content, while systematic, involve subjective judgments. Decisions regarding the inclusion, categorization, and abstraction of terms were based on our analytical criteria and may be interpreted differently by other scholars.

Finally, while our approach builds on Nag et al. (2007), the adaptation process introduces simplifications as well as conceptual shifts that may require further theoretical debate. We invite future research to refine, validate, or challenge the framework we propose.

Directions for future research

This study lays the groundwork for several avenues of future research in the field of strategic decision-making in family businesses. There is a need to empirically test the proposed definition across diverse organizational contexts. Comparative studies involving different firm sizes, generational stages, and governance structures can help assess the operational validity and explanatory power of the definition.

The influence of firm size remains insufficiently explored in a structured way. Future research could compare how strategic decision-making processes differ across small, medium, and large family businesses, considering variations in resource availability, governance complexity, and managerial formalization.

Further investigations may examine how strategic decisions evolve under different environmental pressures, such as economic crises, digital transformation, or leadership transitions. Longitudinal research could trace shifts in strategic logic across generations or contexts.

Another relevant theme involves the interplay between family and market logic. Research could explore how firms balance growth and continuity goals, and how such tensions affect strategic priorities.

Cross-cultural perspectives may also contribute to clarifying how institutional and cultural environments shape strategic behavior in family firms, enhancing the global applicability of the conceptual framework proposed here.

Use of artificial intelligence

This study made limited use of artificial intelligence tools to support language refinement and data analysis. Specifically, ChatGPT-4o was employed to assist in the translation of the original manuscript from Portuguese to English, as well as for grammar and style editing. No content generation or analytical procedures were conducted using large language model-based tools.

Additionally, the Iramuteq software was utilized to support the clustering process in the systematic literature review. All outputs generated with the aid of these tools were critically reviewed and revised by the author, who assumes full responsibility for the final content of this publication.

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4 BEYOND BINARY: RECONCEPTUALIZING FAMILY BUSINESS AS A CONTINUOUS CONSTRUCT

Abstract

Purpose: This article addresses definitional fragmentation in family business research driven by binary classification (family vs. non-family). It reconceptualizes the family firm as a continuous construct, defined by the degree of family participation across three structural dimensions: ownership, governance, and managerial influence.

Design/methodology/approach: This is a conceptual and heuristic study grounded in integrative theoretical synthesis. It critically reviews structural, behavioral, and intentional definitional traditions and shows how their coexistence generates non-equivalent samples and weak cumulative knowledge. The article then develops a triadic framework that operationalizes familiness through graded, proportional indicators (e.g., family equity/voting rights, family representation in decision-making bodies, and family presence in key executive roles), replacing arbitrary thresholds. Six ideal-type configurations are proposed as comparative anchors (rough guidelines), not universal cutoffs.

Findings: The core argument is that dichotomization systematically removes within-group variation, amplifies classification error, and produces a "comparability crisis," so empirical inconsistencies often reflect definitional choices rather than substantive differences in family influence. A continuous framework accommodates hybrid cases, captures generational and temporal change, and reframes results as effects of specific ownership–governance–influence configurations, enabling equifinal and process-oriented explanations.

Research limitations/implications: The framework is not empirically tested, and the proposed ranges are approximations. Future research should validate and refine measures across contexts and examine which configurations and trajectories are associated with particular outcomes.

Originality/value: By treating continuity as the construct's ontological premise, the article offers an integrative architecture that improves validity and comparability and provides practical diagnostic value for governance design, succession planning, and policy.

Keywords: Family Influence. Family Ownership, Family Business. Ownership–Governance–Influence.

Introduction

The question of what constitutes a family business remains one of the most persistent and consequential debates in the field. Over four decades of research have produced diverse definitions emphasizing ownership concentration, managerial participation, transgenerational intentions, or behavioral attributes (Chua et al., 1999; Gersick et al., 1997; Shanker & Astrachan, 1996). Each perspective is theoretically plausible, yet their coexistence has prevented the emergence of a shared conceptual foundation. As Chrisman, Chua, and Sharma (2005) argue, the field has evolved into a definitional quagmire - rich in perspectives but lacking coherence. This ambiguity extends beyond terminology. Because definitions determine sample inclusion, construct operationalization, and theoretical assumptions, the absence of conceptual clarity undermines comparability, reproducibility, and cumulative theorizing (Astrachan, Klein & Smyrnios, 2002).

A central source of this fragmentation is the persistent treatment of the family business as a binary category. Most studies classify firms as family or non-family based on criteria such as majority equity ownership, the presence of relatives in management, or the pursuit of family-oriented goals (Chua et al., 1999; Sharma, 2004). Although such criteria simplify data collection, they impose rigid boundaries on a phenomenon that is inherently variable. Family influence can be strong, moderate, or weak; it may take economic, governance, or managerial forms; and it evolves across generations (Gersick et al., 1997). A binary lens collapses this heterogeneity into mutually exclusive categories, obscuring the gradations through which familiness actually manifests - an issue already implied by studies showing that family influence varies substantially in intensity, form, and locus (Anderson & Reeb, 2003; Miller & Le Breton-Miller, 2005).

The limitations of binary classification become evident when observing real-world cases. LVMH Moët Hennessy Louis Vuitton, for example, is simultaneously a publicly traded global conglomerate and a firm in which the Arnault family maintains substantial ownership, board representation, and leadership positions. Whether LVMH qualifies as a “family

business" depends entirely on the criterion adopted. Under a majority-ownership definition, its status is ambiguous; under a governance-based interpretation, it reflects clear family influence; and under a continuity-oriented lens, it aligns with the long-term horizon typical of business families. The same ambiguity appears in thousands of smaller firms in which ownership, governance, and influence intersect in diverse and evolving ways - a phenomenon repeatedly noted by research showing that family influence is multidimensional and contingent (Schulze et al., 2001; Villalonga & Amit, 2006).

Recognizing this variability clarifies the core problem: existing definitions capture only fragments of the phenomenon because they treat familiness as a categorical state rather than as a multidimensional structure. Ownership, control, and influence - the principal channels through which families influence organizational behavior - have been widely discussed in the literature (Anderson & Reeb, 2003; Gersick et al., 1997), yet rarely integrated into a unified conceptual architecture. As a result, studies grounded in different criteria examine distinct empirical realities, and theoretical contributions accumulate without converging toward a common construct (Chrisman et al., 2005).

This paper addresses this gap by reconceptualizing the family business as a continuous construct, shaped by the degree of family participation across three fundamental dimensions: ownership, governance, and influence. These dimensions represent distinct loci through which families exercise authority, transmit preferences, and embed identity within organizations. Rather than determining whether a firm is or is not a family business, we propose that its position along these dimensions defines its structural familiness. This approach aligns with classical distinctions between ownership and control in organizational theory (Anderson & Reeb, 2003) and directly responds to long-standing calls for greater definitional clarity in family business research (Astrachan et al., 2002; Chua et al., 1999).

The contribution of this article is threefold. Conceptually, it offers an integrative framework that organizes existing definitional traditions within a coherent multidimensional space, enabling comparison and synthesis across studies that historically operate with incompatible assumptions. Methodologically, it replaces arbitrary categorical thresholds with continuous indicators, improving construct validity and enabling more precise empirical analysis. Practically, it provides a diagnostic vocabulary that reflects the structural diversity of family enterprises, supporting more coherent governance design, succession planning, and policy development.

The Definitional Dilema and the Comparability Crisis

Research on family businesses has long been shaped by a fundamental conceptual impasse: despite decades of investigation, there is still no agreement on what rigorously constitutes a "family business." This issue is more than a matter of terminology. It directly affects internal validity, distorts empirical comparisons, and undermines the field's ability to accumulate knowledge in a consistent and reliable manner (Chrisman, Chua & Sharma, 2005; Gedajlovic et al., 2012).

Early definitions relied on straightforward structural criteria, typically based on ownership shares or the presence of family members in managerial positions (Shanker & Astrachan, 1996; Lansberg et al., 1988). Although these criteria offered operational simplicity, they soon proved insufficient. Families may exert decisive influence without holding majority ownership, while formally family-controlled firms may function much like non-family corporations when management is highly professionalized (Gersick et al., 1997; Villalonga & Amit, 2006). Structural thresholds therefore impose rigid boundaries that fail to reflect the varied and sometimes subtle ways in which family influence actually unfolds.

As these limitations became clear, the literature progressively shifted toward behavioral and intentional perspectives. By emphasizing shared values, long-term orientation, and collective identity, this line of research deepened the theoretical understanding of family influence (Dyer, 1986; Litz, 1995). However, it also introduced methodological challenges. Constructs based on intention or transgenerational vision are difficult to observe directly, rely heavily on self-reports, and increase the subjectivity involved in classifying firms (Chua, Chrisman & Sharma, 1999). In addition, behavioral criteria risk conflating cause and effect: the very behaviors used to define family firms are often the same behaviors scholars seek to explain, creating a circular logic that weakens theoretical inference.

The emergence of the socioemotional wealth (SEW) perspective further expanded the field by emphasizing noneconomic goals such as identity preservation and dynastic continuity Berrone et al., 2012; Gómez-Mejía et al., 2007). While SEW advanced explanations for behaviors that traditional economic models could not account for, it still depends on inferred behaviors that may serve both as definitional markers and explanatory variables (Gómez-Mejía et al., 2011). This dual use brought the problem of circularity back to the center of the debate

and introduced additional conceptual heterogeneity (Chrisman, Chua, Pearson & Barnett, 2012). Despite their contributions, none of the existing approaches has provided observable and comparable criteria capable of consistently delimiting the phenomenon.

The cumulative effect of these divergent criteria is a field in which studies ostensibly examining "family firms" often analyze substantially different organizational realities. Depending on the definition adopted, the same firm may be included in or excluded from empirical samples, producing non-equivalent observation sets and patterns that are difficult to reconcile (Rau, Astrachan & Smyrnios, 2018). Consequently, differences in findings across studies often reflect definitional choices rather than genuine variation in family influence.

In sum, the definitional dilemma in family business research stems not merely from the coexistence of multiple perspectives but from the absence of a framework capable of capturing, in a comparable and theoretically coherent manner, the diverse ways in which family influence manifests within organizations. As long as this gap persists, the field will continue to generate unstable constructs, inconsistent categories, and empirical evidence that struggles to cumulate - representing a central obstacle to theoretical progress.

Consequences of definitional fragmentation

The absence of a shared definitional foundation permeates every level of inquiry. Conceptually, it blurs the line between what is and is not a family business. This ambiguity weakens theoretical propositions because scholars cannot ascertain whether observed outcomes stem from family influence or from contextual factors such as ownership concentration, managerial tenure, or founder imprinting (Miller, Le Breton-Miller, Lester, & Cannella, 2007). A study attributing superior performance to "family ownership," for example, might actually capture the effect of long-term investment horizons or strong stakeholder relationships - characteristics that also appear in non-family enterprises (Anderson & Reeb, 2003; Villalonga & Amit, 2006). Without a stable referent, theory becomes self-referential: definitions shift post hoc to fit empirical results, while empirical findings are interpreted through idiosyncratic definitions.

Methodologically, definitional heterogeneity creates incompatible samples and incomparable results. Researchers working with archival data often classify firms by arbitrary ownership thresholds - 25 percent, 50 percent, or 75 percent - simply because those are

observable (Anderson & Reeb, 2003). Others rely on self-identification surveys that ask respondents whether they "consider" themselves a family firm (Astrachan & Shanker, 2003). The resulting variation explains why meta-analyses of performance outcomes reach contradictory conclusions (Rau et al., 2018). The field risks what Lane, Koka, and Pathak (2006) called *conceptual reification*: the uncritical use of a label whose meaning is assumed rather than demonstrated.

The consequences extend beyond academia. In practice, family-business centers, consultants, and policymakers adopt scholarly definitions to allocate resources or design training programs. When those definitions diverge, implementation becomes inconsistent. A policy crafted to encourage intergenerational succession might exclude firms planning to professionalize leadership, while a tax incentive for "family-controlled" companies might benefit conglomerates with minimal familial engagement. The absence of definitional coherence thus undermines legitimacy both within the scholarly community and in the public sphere (Sharma, 2004).

The roots of inconsistency

Definitional fragmentation stems not from negligence but from the complexity of the phenomenon itself. As Tagiuri and Davis (1996) observed, family and business constitute overlapping systems governed by different logics - the affective, identity-driven logic of kinship and the rational, efficiency-driven logic of the market. Their intersection creates hybrid organizations whose forms resist simple categorization. Family influence manifests through multiple channels: equity ownership, governance participation, managerial influence, succession planning, and symbolic presence. Each scholarly tradition privileges one of these channels according to its theoretical orientation. Economists emphasize control rights; psychologists, emotional attachment; sociologists, kinship legitimacy (Litz, 1995; Dyer, 2003). This disciplinary pluralism, while intellectually fruitful, has hindered conceptual integration.

A second source of inconsistency lies in methodological pragmatism. Definitions are often dictated by data availability rather than theoretical reasoning. Ownership data are accessible for listed firms, so researchers studying them gravitate toward ownership-based definitions; studies of small and medium enterprises, reliant on interviews, lean toward

behavioral criteria (Astrachan & Shanker, 2003). Over time these pragmatic shortcuts have ossified into conventions, reproduced even when theoretical consensus is lacking. The problem, therefore, is institutional as much as intellectual: a path dependence in which measurement precedes meaning.

Finally, the definitional dilemma reflects deeper epistemological divides in management research. Some scholars adopt a *nominalist* stance, viewing "family business" as a social label whose meaning arises from collective agreement; others adopt a *realist* stance, treating it as an empirical entity with intrinsic properties awaiting discovery. The coexistence of these ontological positions ensures that debate persists. For nominalists, definitions are tools; for realists, they are truths. The field's inability to choose between them explains its persistent ambiguity (Sharma, 2004; Chrisman et al., 2005).

The Comparability Crisis

The cumulative effect of these inconsistencies is a comparability crisis that threatens the field's cumulative progress (Rau et al., 2018). Because every study defines its population differently, cross-study synthesis becomes tenuous. Regression analyses linking family ownership to performance, for example, are difficult to reconcile when "family ownership" refers to majority control in one context and minimal stake in another (Anderson & Reeb, 2003; Villalonga & Amit, 2006). The same confusion affects studies of innovation, risk, or governance professionalization, where measurement diversity obscures causal mechanisms (De Massis, Frattini, Kotlar, Petruzzelli, & Wright, 2016).

The crisis also manifests in longitudinal research. As firms evolve, ownership disperses, governance professionalizes, and managerial roles shift across generations. A binary classification cannot capture these dynamics. Scholars are forced to recode firms as family or non-family at arbitrary points, masking gradual transformations central to understanding succession and identity change (Handler, 1990; Gersick, Davis, McCollom Hampton, & Lansberg, 1997). The resulting discontinuities make it difficult to trace the processes through which familiness adapts to environmental pressures.

More broadly, inconsistent definitions weaken the field's legitimacy within management science. When studies report contradictory findings on fundamental questions—

whether family ownership enhances or constrains performance, whether it fosters innovation or conservatism - external observers attribute the inconsistency to theoretical weakness rather than definitional confusion (Miller & Le Breton-Miller, 2005). Progress toward a cumulative science depends on resolving this foundational issue.

Toward conceptual resolution

Although recent contributions have attempted to move beyond dichotomous thinking, the field has yet to resolve its foundational conceptual problem. Continuous approaches such as the F-PEC scale (Astrachan, Klein & Smyrnios, 2002) and multidimensional models combining capital control and generational intention (Vallejo Martos, 2007) represented important departures from binary logic, but they did not eliminate the underlying definitional instability. Their indicators - power, experience, culture, or succession intention - expanded the measurement repertoire, yet each framework remained anchored in partial dimensions of family influence. As a result, continuity was treated as a technical adjustment to existing definitions rather than as a reconceptualization of the phenomenon itself.

What remains unresolved is not the absence of measurement tools but the absence of a theoretical architecture capable of explaining *why* family influence varies, *how* its loci interact, and *what* constitutes the underlying construct that these tools attempt to capture. Without such architecture, continuous models become add-ons to an unchanged conceptual core, producing finer-grained metrics but not conceptual clarity.

The central issue, therefore, is ontological rather than operational: family influence is not an either–or attribute but a structural condition that fluctuates across ownership, governance, and managerial domains. Treating continuity merely as a methodological refinement ignores this fundamental point and perpetuates the definitional fragmentation that has characterized the field for four decades. A genuine conceptual resolution requires embracing continuity as the constitutive property of family influence - not as an empirical convenience, but as the theoretical starting point for understanding the phenomenon.

Recognizing this premise opens the path toward a cumulative science of family business. It shifts the question from "*Is this firm a family business?*" to "*To what degree, and through which structural channels, does the family shape the organization?*". Only through this

reframing can the field move beyond incompatible definitions and toward a unifying construct that situates family influence along a theoretically coherent continuum.

Why the Binary Lens Fails

The persistence of binary classification in family-business research reflects an enduring epistemological comfort with categories. Classifying firms as either "family" or "non-family" provides analytical clarity, facilitates statistical modeling, and aligns with the positivist inclination toward discrete variables (Chrisman, Chua, & Sharma, 2005; Sharma, 2004). Yet this apparent precision conceals more than it reveals. The dichotomy rests on the assumption that family influence can be cleanly separated from non-family control, an assumption that collapses under empirical scrutiny. Family influence, as multiple scholars have observed, is not a yes-or-no condition but a matter of degree, intensity, and configuration (Astrachan, Klein, & Smyrnios, 2002). Treating family business as a binary construct therefore imposes artificial boundaries on a phenomenon characterized by gradation and fluidity.

The illusion of categorical clarity

Binary definitions promise objectivity by assigning firms to mutually exclusive categories. They appear to facilitate measurement - one firm is coded "family," another "non-family." Early empirical work in corporate governance adopted this logic, equating family ownership with majority shareholding or board control (Lansberg, Perrow, & Rogolsky, 1988; Shanker & Astrachan, 1996). The same logic was perpetuated in large-scale econometric studies relying on archival data (Anderson & Reeb, 2003; Villalonga & Amit, 2006). However, as scholars quickly realized, such thresholds are arbitrary. Why should 51 percent ownership constitute "family control" while 49 percent does not? The problem is compounded by complex ownership structures, such as pyramids or cross-shareholdings, where effective control far exceeds nominal equity (Villalonga & Amit, 2006). The categorical boundary thus becomes more a matter of convenience than of conceptual rigor.

Moreover, the binary model fails to capture the dynamic nature of family influence. Firms evolve: ownership dilutes, management professionalizes, and governance structures formalize (Gersick, Davis, McCollom Hampton, & Lansberg, 1997). A company

may qualify as a family business in one decade and not in the next, even though its strategic culture and identity remain deeply family-shaped. Conversely, professionalized corporations may retain symbolic family imprints long after direct control has vanished (Zellweger, Nason, Nordqvist, & Brush, 2013). The binary framework cannot account for these trajectories without repeatedly reclassifying firms, producing temporal discontinuities that obscure the processes of adaptation central to understanding family enterprises (Handler, 1990).

A further conceptual flaw lies in the assumption of mutual exclusivity between family and non-family categories. Many organizations embody both logics simultaneously. Large conglomerates such as Ford, Samsung, or LVMH combine professional management with enduring family control and identity (Gómez-Mejía, Haynes, Núñez-Nickel, Jacobson, & Moyano-Fuentes, 2007). At the opposite end of the spectrum, small and medium-sized firms often mix kin and non-kin in management and ownership, generating hybrid governance structures (Tagiuri & Davis, 1996). By forcing these hybrids into binary categories, researchers lose the opportunity to analyze how family and non-family elements coexist and coevolve.

Methodological distortions and measurement error

Beyond its conceptual weaknesses, the binary lens introduces systematic methodological distortions. When family influence is coded dichotomously, substantial variation within each group is lost. A firm with 10 percent family ownership is treated the same as one with 90 percent, despite the evident differences in control, incentives, and culture (Astrachan et al., 2002). This aggregation produces measurement error and weakens statistical inference. It also contributes to the contradictory results observed in meta-analyses linking family ownership to performance (Rau, Astrachan, & Smyrnios, 2018). Because each study employs different thresholds, comparisons across samples become unreliable, and theoretical conclusions appear inconsistent.

Arbitrary cutoffs further undermine external validity. Definitions based on majority ownership exclude firms in which families exercise control through minority stakes or voting agreements, while including firms that meet numeric thresholds but are effectively governed by professionals. Such inconsistencies are particularly acute in cross-country research, where corporate-law regimes and ownership norms differ substantially (Anderson & Reeb, 2003; Villalonga & Amit, 2006). What qualifies as “family control” in one jurisdiction may not in

another, yet the binary variable treats them as equivalent. Continuous measures would mitigate this distortion by reflecting relative rather than absolute degrees of family participation.

The binary approach also amplifies the consequences of classification error. Because many datasets lack explicit information on kinship ties, researchers rely on proxies such as shared surnames or self-identification surveys (Astrachan & Shanker, 2003). These proxies are imperfect: common surnames or cultural naming practices can lead to false positives, while complex family holdings generate false negatives. Once dichotomized, such errors become absolute - cases are either in or out - whereas a continuous scale would absorb uncertainty more proportionally.

Empirical mismatch and theoretical impoverishment

Empirically, the binary model fails to capture the multidimensionality of family influence. Familiness manifests through ownership, governance, and management influence, each of which varies independently (Vallejo Martos, 2007). A firm may be fully family-owned but professionally managed, or only partially family-owned yet dominated by family members on its board. Treating all these configurations as equivalent disregards the heterogeneity that constitutes the field's richness (Sharma, 2004). As a consequence, research questions tend to reduce to binary comparisons - do family firms perform better or worse? - yielding repetitive and inconclusive results (Miller, Le Breton-Miller, Lester, & Cannella, 2007). The categorical frame thus narrows theoretical imagination to differences in *outcomes* rather than in *mechanisms*.

The mismatch becomes even more evident when examining cross-cultural variation. In emerging economies, extended kinship structures often replace formal corporate governance, while in Western economies families exert control through legal and financial instruments (De Massis, Frattini, Kotlar, Petruzzelli, & Wright, 2016; Dyer, 2003). The intensity and mode of family influence differ, yet binary classification erases these nuances, leading to superficial generalizations. The field's growing emphasis on context-sensitive theorizing signals how inadequate the binary model has become (Sharma & Chua, 2013).

Theoretically, dichotomization encourages essentialism. By assuming that all family firms share inherent traits - such as long-term orientation, conservatism, or altruism - it conflates category membership with behavior (Chrisman, Chua, Pearson, & Barnett, 2012). Deviations

are treated as anomalies rather than opportunities for refinement. This essentialism limits theory development because it obscures the causal pathways linking structure to behavior. Only by treating familiness as continuous can researchers examine how incremental variations in ownership, governance, and influence generate distinct behavioral outcomes (Gómez-Mejía et al., 2007; Habbershon & Williams, 1999).

Temporal and generational dynamics

Another dimension that exposes the limits of binary thinking is time. Family influence evolves as firms pass from founders to successors, ownership disperses among heirs, and managerial roles professionalize (Gersick et al., 1997). These shifts alter the balance between family and business logics, but a categorical framework cannot depict gradual transitions. Firms oscillate between family and non-family labels depending on the generation studied, even though the underlying processes are continuous (Handler, 1990). Such temporal blindness impedes understanding of succession, professionalization, and continuity - the very phenomena that make family firms unique.

By contrast, a continuous framework accommodates temporal change. It allows scholars to track how the relative weight of ownership, governance, and influence evolves across generations and how these shifts affect strategic behavior (Astrachan et al., 2002). Longitudinal analysis becomes feasible, linking micro-level family dynamics with macro-level organizational trajectories. This dynamic view moves the field from static typologies toward evolutionary explanations, aligning family-business theory with broader models of organizational change (Fama & Jensen, 1983).

The binary trap and its consequences

Beyond methodological shortcomings, the binary lens has profound theoretical consequences. It sustains the illusion that family firms constitute a homogeneous category distinct from non-family firms. This assumption fosters a stream of research searching for universal "family effects" instead of examining context-dependent configurations (Miller & Le

Breton-Miller, 2005). The result is an accumulation of studies producing inconsistent or contradictory findings. When scholars attribute these inconsistencies to cultural or institutional factors rather than to definitional error, the binary trap deepens, perpetuating a cycle of confusion.

The dichotomous framing also reinforces disciplinary divides. Economists employing quantitative datasets tend to favor ownership-based definitions, while sociologists and psychologists emphasize behavioral dimensions (Chrisman et al., 2005). Because binary variables cannot express gradation, integrating these perspectives becomes nearly impossible. A continuous conceptualization, by contrast, provides common ground. It allows family influence to function as a variable - one that moderates or mediates relationships among governance, behavior, and performance - rather than as a categorical label.

Ultimately, the failure of the binary lens stems from asking the wrong question. The key issue is not whether a firm *is* a family business but *to what extent* and *in what ways* the family participates in its ownership, governance, and management (Sharma, 2004). By reframing the inquiry from classification to configuration, the field can move beyond typologies toward genuinely explanatory models.

Rationale for a dimensional approach

The dimensional approach emerges from both empirical observation and theoretical necessity. Empirically, family influence rarely conforms to the rigid thresholds implied by categorical definitions. Firms differ in how shares are distributed among relatives, how family members participate in boards, and how many hold executive roles. Theoretically, these loci correspond to distinct mechanisms of control and influence. Ownership provides the legal authority to appropriate residual profits; governance determines who participates in strategic decision-making; and influence translates these rights into day-to-day managerial behavior. Each dimension represents a domain in which the family's presence can be strong or weak, and their interaction produces the overall configuration of family influence (Chua, Chrisman, & Sharma, 1999; Litz, 1995).

Viewing familiness through these dimensions enables a continuous, rather than dichotomous, representation. A company wholly owned, governed, and managed by family members occupies one extreme of the continuum; a professionally managed corporation with

dispersed ownership and no family representation lies at the opposite pole. Most organizations fall between these endpoints, exhibiting varying balances among the three dimensions (Vallejo Martos, 2007). Conceptualizing familiness as gradational rather than categorical allows the field to reconcile the structural and behavioral perspectives that have long been treated as incompatible (Gómez-Mejía et al., 2007; Habbershon & Williams, 1999).

Ownership: The foundation of control

Ownership constitutes the economic and symbolic foundation of family influence. It defines who possesses residual claims and who ultimately controls the allocation of resources. Family ownership has been the dominant criterion in empirical research because shareholding is observable and quantifiable (Anderson & Reeb, 2003; Villalonga & Amit, 2006). Yet ownership alone seldom captures the family's real authority. Through voting agreements, dual-class shares, or pyramidal structures, families can maintain decisive influence with minority stakes (Villalonga & Amit, 2006). Conversely, they may hold majority ownership but delegate management to professionals, thereby reducing direct impact on operations.

From an economic standpoint, concentrated ownership aligns incentives and reduces classic principal–agent problems (Jensen & Meckling, 1976), but it can also generate *principal–principal* conflicts among family shareholders pursuing divergent objectives (Gómez-Mejía et al., 2007). Symbolically, ownership anchors family identity in the enterprise, reinforcing long-term commitment and socioemotional attachment (Berrone, Cruz, & Gómez-Mejía, 2012). Treating ownership as a continuum—ranging from negligible to total control - permits analysis of how incremental changes in equity concentration influence governance style, succession planning, and risk orientation (Habbershon & Williams, 1999). It also clarifies that ownership is a necessary but not sufficient condition for familiness; its impact depends on how it is translated into governance authority and managerial influence.

Governance: The arena of strategic control

Governance constitutes the formal and informal infrastructure through which ownership rights are exercised. It encompasses representation on boards of directors, family councils, or

advisory committees, as well as the social mechanisms that sustain accountability and legitimacy (Fama & Jensen, 1983; Tagiuri & Davis, 1996). The degree of family participation in governance determines how strategic decisions are framed and how the family's long-term orientation interacts with market imperatives. High family representation may enhance cohesion and commitment but risk entrenchment and groupthink (Miller & Le Breton-Miller, 2005). Introducing independent directors can counterbalance these tendencies, yet excessive externalization may erode the family's influence over strategic direction (Vallejo Martos, 2007).

Governance thus mediates between ownership and management. It translates financial stakes into strategic voice and ensures that family objectives are articulated within organizational structures (Chrisman, Chua, & Sharma, 2005). Because governance mechanisms vary across cultural and institutional contexts - family councils in Southern Europe, holding companies in Latin America, trusts in Anglo-Saxon economies - a dimensional measure is essential for comparative research (De Massis, Frattini, Kotlar, Petruzzelli, & Wright, 2016). Assessing governance influence continuously, rather than dichotomously, captures how incremental adjustments - adding an external chair or creating a family assembly
- alter the equilibrium between family control and professional oversight.

Influence: The domain of managerial participation

The third dimension, influence, represents the family's operational participation in management and daily decision-making. It is the behavioral expression of ownership and governance structures. Family members may occupy executive positions, supervise key functions, or act as informal advisors influencing strategic choices (Dyer, 2003; Handler, 1990). Intensity of influence shapes firm culture, communication patterns, and risk preferences. High family influence often reinforces stewardship behavior, trust, and long-term orientation (Davis, Schoorman, & Donaldson, 1997), while excessive concentration of managerial roles may foster nepotism or resistance to innovation (Miller et al., 2007).

Operational influence is also central to the socioemotional-wealth logic, since daily participation heightens the overlap between family identity and organizational outcomes (Gómez-Mejía et al., 2007). As families professionalize, managerial influence typically declines even if ownership and governance control persist (Gersick et al., 1997). Measuring

influence as a continuum - rather than a binary presence or absence - allows scholars to analyze how partial professionalization affects performance, innovation, and succession dynamics (Astrachan et al., 2002).

Interdependence and configuration

Although analytically distinct, ownership, governance, and influence are interdependent. Changes in one dimension reverberate through the others. Dilution of ownership through external investors may lead the family to reinforce governance participation to maintain control; conversely, reduced managerial influence can be offset by stronger board oversight or the creation of family offices (Vallejo Martos, 2007). These compensatory mechanisms reflect a systemic equilibrium among dimensions. Familiness, therefore, cannot be treated as the additive sum of attributes but as an emergent configuration (Habbershon & Williams, 1999). Distinct combinations may yield similar outcomes - a principle of equifinality consistent with configurational theory in management research (Fiss, 2011).

The interdependence among dimensions also explains why empirical results often appear inconsistent. Studies focusing on ownership alone capture only one axis of familiness; those emphasizing management or governance observe others. Apparent contradictions arise not because findings are incompatible but because each addresses a partial manifestation of a multidimensional construct (Chrisman et al., 2005). The triadic framework provides a unifying architecture in which diverse results can be interpreted as points within a shared conceptual space.

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Degrees of familiness

Within this triadic structure, *familiness* can be understood as the composite intensity of family presence across the three dimensions. A firm's position within this space defines its structural profile of family influence. At one end lies the archetypal family enterprise—wholly owned, governed, and managed by the family. At the other stands the fully professionalized corporation devoid of family participation. Between them stretches a continuum populated by hybrid forms. Over time, firms may move along this continuum as ownership disperses, governance formalizes, and influence professionalism (Gersick et al., 1997). Familiness is thus not a static state but a trajectory shaped by life-cycle stages and strategic choices (Handler, 1990).

Conceptualizing familiness as a degree rather than a category provides analytical precision without sacrificing realism. It retains the ability to differentiate family from non-family firms while recognizing internal variation and evolution (Astrachan et al., 2002). It also facilitates cross-contextual comparability: researchers can express family influence in proportional rather than absolute terms, aligning with diverse legal and cultural environments (Vallejo Martos, 2007).

Analytical and practical utility

Beyond its theoretical coherence, the ownership–governance–influence model offers concrete advantages for research and practice. Empirically, it can be operationalized through measurable indicators - equity shares, board composition, and managerial participation ratios - scaled continuously to capture subtle differences (Astrachan et al., 2002; Klein et al., 2005). This facilitates quantitative testing and longitudinal analysis without relying on arbitrary thresholds. Practitioners can use the framework diagnostically to assess the balance of familiness within their firms. Families with concentrated ownership but weak governance may strengthen formal oversight to mitigate risk; those with dispersed ownership but strong managerial presence may need clearer equity arrangements to prevent conflict (Vallejo Martos, 2007). Policymakers can likewise tailor support programs to degrees of family influence rather than categorical labels, improving policy precision.

A dynamic perspective

Finally, the dimensional framework foregrounds the evolutionary nature of family enterprise. Familiness changes as families grow, diversify, and adapt to external pressures. Succession, professionalization, and generational transitions alter the configuration of ownership, governance, and influence. Over time, firms may progress from founder-centric structures toward professionally managed yet family-controlled organizations, or vice versa during re-familization processes (Gersick et al., 1997; Vallejo Martos, 2007). The continuous model accommodates these transformations, portraying family influence as fluid rather than fixed. This dynamic view aligns the study of family business with broader theories of organizational change, emphasizing adaptation and recombination instead of categorical stability (Fama & Jensen, 1983; Habbershon & Williams, 1999).

Integrating the Model with Existing Theories

The ownership–governance–influence framework offers not only a structural definition of the family business but also a conceptual bridge among the principal theoretical traditions that have shaped the field. Most major perspectives - agency, stewardship, the resource-based view, socioemotional wealth, and institutional theory - contain implicit assumptions about the

extent and configuration of family influence. When family business is treated as a binary category, these theories appear to compete. When it is conceived as a continuous construct, they become complementary lenses that illuminate different regions of the familiness continuum (Chrisman, Chua, & Sharma, 2005; Habbershon & Williams, 1999).

Agency theory and the structural logic of control

Agency theory (Jensen & Meckling, 1976) remains foundational for understanding how ownership and control interact in family firms. The classical agency problem arises when the interests of managers diverge from those of owners. Family ownership, by concentrating these roles within one social unit, appears to reduce such conflicts through aligned incentives and superior monitoring (Anderson & Reeb, 2003). Yet this relationship is not uniform. Within the dimensional framework, agency costs depend on the relative intensity of ownership, governance, and managerial influence. When the family holds both equity and executive authority, traditional principal–agent conflicts may diminish, but new *principal–principal* conflicts can emerge among family shareholders with different goals or temporal horizons (Gómez-Mejía, Haynes, Núñez-Nickel, Jacobson, & Moyano-Fuentes, 2007). As ownership disperses and professional managers enter, agency problems resurface, moderated by the family's continuing role in governance (Villalonga & Amit, 2006). Treating family participation as a continuum thus refines agency theory, showing that control and opportunism vary not by category but by configuration.

Stewardship and the relational dimension of trust

Stewardship theory (Davis, Schoorman, & Donaldson, 1997) complements agency logic by emphasizing pro-organizational behavior grounded in trust, commitment, and identification. Family members often act as stewards because their personal and familial welfare is tied to the firm's long-term success (Miller & Le Breton-Miller, 2005). The framework clarifies when such stewardship tendencies are most likely to appear. High ownership and managerial influence create structural and emotional conditions for stewardship, while low influence or diluted governance weakens them. When control is exercised mainly through governance rather than day-to-day participation, stewardship may coexist with formal

monitoring mechanisms, blending altruism with professionalism (Chrisman, Chua, & Sharma, 2005). By locating stewardship along the familiness continuum, the model converts what was often treated as an essential trait of all family firms into a contingent behavior that depends on the configuration of structural dimensions.

Resource-based view and familiness as capability

The resource-based view (Barney, 1991) frames firms as bundles of resources that can yield sustained competitive advantage when they are valuable, rare, inimitable, and non-substitutable. Habbershon and Williams (1999) applied this logic to family enterprises by coining the term *familiness* - the unique synergy between family and business resources. The dimensional framework grounds this idea in structure. Ownership concentration facilitates patient capital and long-term investment horizons; family-dominated governance enhances relational trust and tacit knowledge sharing; and managerial influence fosters firm-specific human capital and cultural cohesion (Vallejo Martos, 2007). Yet excessive familiness can also produce rigidity and path dependence (Miller & Le Breton-Miller, 2005). By allowing each resource to vary with structural intensity, the model explains why familiness is a potential rather than an inherent advantage: its benefits depend on the balance among ownership, governance, and influence and on the firm's ability to recombine them dynamically (Habbershon & Williams, 1999).

Socioemotional wealth and the emotional logic of control

The socioemotional-wealth (SEW) perspective (Gómez-Mejía et al., 2007) shifted attention from economic efficiency to the noneconomic goals that families pursue - preserving identity, influence, and continuity. Within the dimensional model, SEW becomes not a definitional criterion but an outcome that varies with structural familiness. High ownership and governance control intensify identification between family and firm, heightening SEW concerns. When family members also manage operations, emotional attachment peaks, often generating risk aversion or reluctance to dilute control (Gómez-Mejía et al., 2011). As ownership disperses or governance professionalizes, SEW persists symbolically but exerts weaker behavioral influence. Anchoring SEW in structural dimensions avoids circular

reasoning: family firms do not exist *because* of SEW; rather, SEW arises *because* of specific configurations of family influence (Chrisman, Chua, Pearson, & Barnett, 2012).

Institutional theory and legitimacy of hybrid forms

Institutional theory situates family firms within broader fields of norms and expectations. These organizations operate at the intersection of two logics: the familial logic of loyalty and continuity and the market logic of efficiency and transparency (Tagiuri & Davis, 1996). The balance between them depends on the degree of family participation. When ownership and governance are family-dominated, legitimacy derives from tradition and personal reputation; when professional directors and managers enter, legitimacy increasingly stems from conformity to market and regulatory standards (Vallejo Martos, 2007). The dimensional framework maps these tensions structurally, showing how hybrid organizations negotiate institutional pressures by adjusting degrees of family influence. It also clarifies cross-national differences: in contexts where kinship networks hold institutional legitimacy, high familiness may enhance credibility, whereas in highly formalized economies, the same configuration may invite scrutiny (De Massis, Frattini, Kotlar, Petruzzelli, & Wright, 2016).

Bridging theoretical fragmentation

By linking the major theories through the structural coordinates of ownership, governance, and influence, the dimensional framework transforms apparent contradictions into complementarities. Agency and stewardship theories address control and trust; the resource-based view and SEW perspective explain resources and motivation; institutional theory contextualizes legitimacy. Each describes mechanisms that vary with degrees of familiness rather than across mutually exclusive firm types (Chrisman et al., 2005). The framework thus reframes the field as an inquiry into *variable familiness* - how combinations of structural conditions produce distinct behavioral and performance outcomes.

Configurational and processual implications

Because the three dimensions interact, their effects are nonlinear and often equifinal: different configurations can yield similar outcomes (Fiss, 2011). A firm with high ownership and governance but professional management may achieve comparable stewardship and long-term orientation to one with moderate ownership and intense managerial influence. Recognizing equifinality encourages the use of configurational methods - such as qualitative comparative analysis or cluster modeling - to identify patterns of familiness linked to success or decline. Equally important, the continuous construct invites a processual view. As families evolve, the relevance of each theoretical mechanism shifts: agency conflicts intensify with ownership dispersion; stewardship weakens with reduced influence; SEW concerns fade with professionalization. The framework thus provides a temporal logic connecting micro-level family dynamics with macro-level organizational trajectories (Gersick, Davis, McCollom Hampton, & Lansberg, 1997).

An integrative synthesis

In summary, the ownership–governance–influence model does not supplant existing theories but organizes them within a shared architecture. It situates economic, behavioral, and institutional explanations along a continuum of family influence, thereby resolving the fragmentation that has long characterized the field. By moving from categorical to continuous reasoning, the framework repositions family-business research as a bridge between economic rationality and social embeddedness - a domain uniquely suited to exploring how families and firms co-constitute each other across time and context (Gómez-Mejía et al., 2007; Vallejo Martos, 2007).

Discussion

This article has addressed a long-standing conceptual problem in family business research: the tendency to treat the label “family firm” as a binary category. Prior reviews have shown that the coexistence of multiple structural, behavioral, and intentional definitions, without a common underlying construct, has produced a definitional “quagmire” that undermines comparability and cumulative theorizing (Astrachan, Klein, & Smyrnios, 2002; Chua, Chrisman, & Sharma, 1999; Chrisman, Chua, & Sharma, 2005; Rau, Astrachan, &

Smyrnios, 2018). When firms are simply coded as family or non-family, substantial variation in ownership, governance, and managerial influence is lost, and differences in empirical findings often reflect definitional choices rather than substantive variation in family influence (Gedajlovic et al., 2012; De Massis et al., 2013).

Building on this critique, the article proposes an alternative view of the family business as a continuous construct, in line with prior attempts to conceptualize family influence in terms of degree, such as the F-PEC scale (Astrachan et al., 2002) and multidimensional models of family influence (Vallejo, 2007). Rather than asking whether a firm is or is not a family business, the central question becomes: to what extent, and through which structural channels, does the family participate in ownership, governance, and managerial influence? This shift responds directly to calls for greater conceptual and operational clarity (Chrisman et al., 2005; Sharma, 2004) and moves the focus from categorical membership to configurations of familiness that vary in intensity and form across cases, contexts, and time.

The familiness continuum and six configurations

The proposed framework translates this conceptual move into a concrete structural mapping. Building on literature that treats family influence as continuous (Astrachan et al., 2002; Vallejo, 2007) and explicitly distinguishes between ownership, control, and management (Anderson & Reeb, 2003; Villalonga & Amit, 2006), the article defines familiness along three dimensions: a) Ownership – the proportion of equity and voting rights held by the family; b) Governance – the extent to which the family occupies or controls formal decision-making bodies (boards, councils, committees) and c) Influence – the degree of family participation in managerial and operational roles.

This triadic decomposition is consistent with the view that ownership, governance, and management are distinct but interdependent channels through which families exert influence (Fama & Jensen, 1983; Gersick et al., 1997; Chua et al., 1999).

Table 1.

Categories along the familiness continuum (ownership – governance – influence)

Category	Family ownership (estimated range)	Family governance (estimated range)	Family involvement / influence (estimated range)	Structural description	Illustrative examples
1. Full Family Influence	90–100% of equity held by the founding family (e.g., Astrachan & Shanker, 2003; Gersick et al., 1997)	90–100% of decision rights concentrated in family hands; no formal board or a purely family board (Gersick et al., 1997)	90–100% of key managerial and operational roles occupied by family members (Handler, 1990; Dyer, 2003)	Strong overlap between family and firm; centralization of decisions; no clear separation between family and business wealth; survival and family name preservation are key	Small local shops, family restaurants, neighborhood bakeries, repair shops and service firms owned and managed by a nuclear or extended family
2. Partial Professionalization	90–100% family ownership, occasionally with small minority partners (<10%) (Astrachan & Shanker, 2003)	80–100% of governance instances (formal or informal) controlled by the family, even if some external advisors are present (Tagiuri & Davis, 1996)	50–80% of managerial positions held by family; entry of non-family managers in finance, operations or marketing (Dyer, 2003; Miller et al., 2007)	Growth leads to initial formalization; family still dominates strategic decisions but shares operational tasks with professionals; emerging distinction between family owners and non-family managers	A growing neighborhood supermarket chain, a regional logistics company, or a mid-sized local manufacturer (e.g., the fictional firm "Loja Silva & Filhos") that retains full family equity but hires non-family functional managers
3. Structured Governance	Family holds a majority stake >50–90% of equity, often via holding companies or shareholder agreements (Vallejo, 2007; Anderson & Reeb, 2003)	60–100% of board seats or family councils occupied by family members, with some independent directors (Astrachan, Klein, & Smyrnios, 2002; Vallejo, 2007)	20–60% of executives are family members; mixed top management teams combining family and non-family managers (Villalonga & Amit, 2006; Miller et al., 2007)	More formal structures, with boards and family governance bodies; strategic decisions strongly influenced by the family, while implementation is progressively professionalized	Regional industrial or service groups with formal boards dominated by the family (e.g., the fictional "Grupo Almeida"), mid-sized family-owned manufacturers or multi-unit service companies
4. Professional Governance	Family is a relevant blockholder with ~20–50% of voting rights and often the largest single shareholder (Anderson & Reeb, 2003; Villalonga &	30–60% of board seats held by family members or their direct representatives; family presence in key committees such as strategy or nomination (Astrachan et al.,	0–30% of executives are family members; day-to-day management is predominantly in the hands of professional managers (Gersick et al., 1997; Gómez-Mejía et al., 2007)	Listed or large private corporations with robust corporate governance; the family defines long-term orientation, appoints and monitors top executives and retains veto power over strategic moves; clear separation between ownership,	Itaú Unibanco (Setúbal and Moreira Salles families), Suzano (Feffer family), JBS (Batista family), LVMH (Arnault family), Samsung (Lee family), Ford in phases with strong family board presence and

	Amit, 2006)	2002; Klein et al., 2005)		governance and management	professional management
5. Residual Family	Family holds a minority yet relevant stake of ~5–20% of equity or voting rights, below typical control thresholds but	0–30% of board seats for family members (e.g., one family director, honorary chair, or participation in an	0–20% of family presence in management, often in symbolic or boundary-spanning roles (brand ambassador, special projects)	Structurally, the firm operates largely as a non-family corporation in terms of governance and management, but the founding family still plays a role as minority shareholder and symbolic	BMW (Quandt family as significant but not fully dominant shareholder), Ford in later generational stages, retail or industrial groups where the founding family retains a minority

Category	Family ownership (estimated range)	Family governance (estimated range)	Family involvement / influence (estimated range)	Structural description	Illustrative examples
	still visible (Rau, Astrachan, & Smyrnios, 2018)	advisory board) (Vallejo, 2007; Klein et al., 2005)	rather than full-time executive positions (Zellweger et al., 2013; Dyer, 2003)	reference; family name, identity and legacy remain part of the firm's positioning	stake and a limited role in governance, while professional management predominates
6. Legacy Family	Family holds a very small stake ~0–5% of equity, often below common thresholds used to classify controlling or relevant owners (Rau et al., 2018; De Massis et al., 2013)	0–10% of formal governance positions held by family members; possible honorary roles or sporadic participation in advisory structures (Vallejo, 2007)	0–5% of direct managerial influence; family influence is expressed mainly through reputation, brand name or legacy narratives rather than structural control (Zellweger et al., 2013; Habbershon & Williams, 1999)	The company remains symbolically and historically a family firm, as the family's name, legacy and identity are embedded in the brand and organizational narratives, but structural familiness is minimal; from the perspective of ownership, governance and involvement, the position is close to the lower end of the continuum	Brands acquired by large groups where the founding family keeps only a very small stake or honorary governance presence (e.g., legacy brands integrated into multinational portfolios), companies where the family name remains in the brand but effective control has been almost fully transferred

Source: Author

Table 1 summarizes this structural perspective by presenting six categories along the familiness continuum - *Full Family Influence*, *Partial Professionalization*, *Structured Governance*, *Professional Governance*, *Residual Family*, and *Legacy Family*. Each category is specified by estimated ranges of family participation in ownership, governance, and influence, together with structural descriptions and illustrative examples.

Figure 1 provides a geometric representation of the same structural perspective summarized in Table 1 by rendering ownership, governance, and influence as three dimensions of a single continuous space.

In this reading, any organization can be described as a point (O, G, I), where O denotes the *degree of family participation in ownership*, Gdenotes the *degree of family participation in governance*, and Idenotes the *degree of family participation in influence*. This makes the six categories in Table 1 more than descriptive labels: they become regions within the (O, G, I) space. The labeled markers (Categories 1–5) should therefore be interpreted as illustrative reference points - consistent with the estimated ranges and structural descriptions - rather than as fixed empirical positions or universally precise cutoffs.

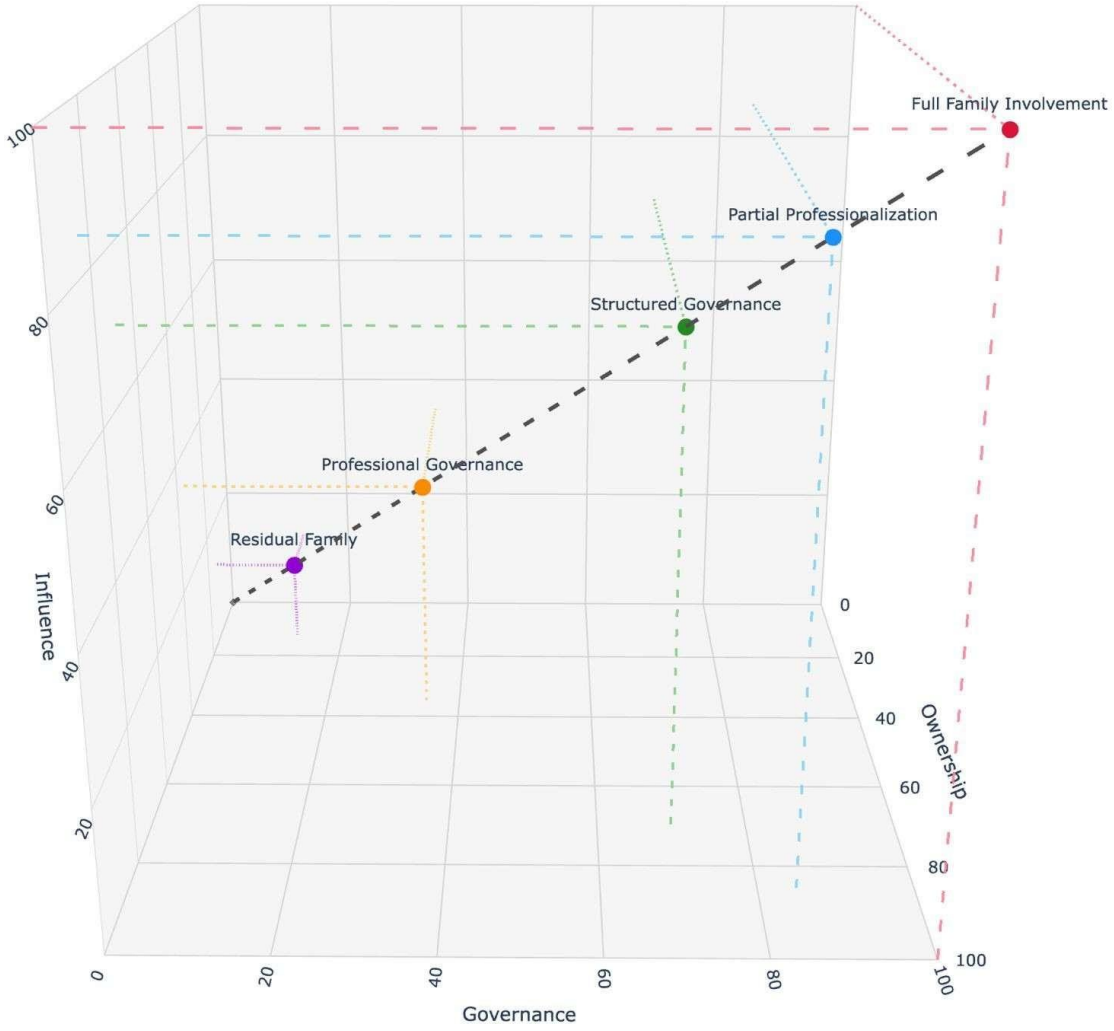
This representation also clarifies a key interpretive principle underlying the paper's argument: proximity to the origin $(0,0,0)$denotes a simultaneous reduction of family participation across all three loci. At the lower bound of the continuum, the configuration converges on Legacy Family (Category 6) - a situation in which family ownership is residual, family presence in governance is minimal, and direct managerial influence is nearly absent.

At the opposite end lies the pole of maximal familiness, corresponding to Full Family Influence (Category 1), where family participation is high and jointly concentrated across ownership, governance, and influence.

More than an illustration, Figure 1 is integral to the conceptual contribution of the discussion for three reasons. First, it shifts the debate from binary labeling to a positioning problem in a continuous space, reducing reliance on arbitrary thresholds and making intermediate cases analytically tractable. Second, it shows that familiness does not increase (or decline) as a single scalar quantity; what varies is the configuration among ownership, governance, and influence, such that firms with similar levels of family ownership may occupy very different positions depending on how family participation is distributed across the other loci. Third, by turning the construct into a coordinate space, the figure provides an analytic language for treating change as reconfiguration—that is, as differentiated movements among O, G, and I - which directly grounds the next section's argument about non-linearity, trajectories, and path diversity along the continuum

Figure 1.

Mapping Six Familiness Configurations in the Ownership–Governance–Influence Space



Source: Author

Empirical validation

To ensure empirical validation happened on the results of the mode, a couple of experts were invited to evaluate the model (see Appendix 4). The evaluation of the proposed family business model was conducted across two primary dimensions: the Theoretical Model (Written)

and the Visual Representation. The following analysis summarizes the feedback from six expert reviewers, translated and categorized for academic reporting.

The overall reception of the model is positive, with a particularly strong consensus regarding the visual aids. However, the theoretical framework shows some divergence in expert opinion that warrants further refinement. Exceptional Visual Clarity and Alignment: The "Visual Representation" section was the strongest aspect of the evaluation. All three statements ("The visualization is clear", "The visualization adds value to the written model", and "The visualization correctly reflects the written model") received a unanimous 100% "Strongly Agree" rating (6 out of 6 responses). This indicates that the graphical depiction of the model is highly effective in communicating the intended concepts and serves as a vital complement to the text.

Strong Foundation with Minor Theoretical Divergence: The statement "The model is adequate" also performed well, with 4 "Strongly Agree" and 2 "Partially Disagree" responses. While the majority of experts find the model reflects current theory and is parsimonious (3 "Strongly Agree" for each), there is a notable split in these categories, suggesting that some experts may require more explicit links to specific theoretical frameworks.

Areas for Refinement (Weakest Points): The statements "The model adequately explains the phenomenon" and "The model contributes to theory development" were identified as the weakest points. Both received 1 "Strongly Disagree" and 1 "Partially Disagree" alongside 3 "Strongly Agree" responses. This suggests that while the model is visually and structurally sound, its explanatory depth and specific contribution to the existing body of knowledge could be more clearly articulated, see Table XX.

Table 2 - Frequency Distribution of Responses

Evaluation Statement	Strongly Agree	Partially Agree	Partially Disagree	Strongly Disagree
Theoretical Model (Written)				
The model is adequate	4	0	2	0
The model reflects current theory development	3	1	2	0
The model is parsimonious	3	1	2	0

The model adequately explains the phenomenon	3	1	1	1

Evaluation Statement	Strongly Agree	Partially Agree	Partially Disagree	Strongly Disagree
The model contributes to theory development	3	1	1	1
Visual Representation				
The visualization is clear	6	0	0	0
The visualization adds value to the written model	6	0	0	0
The visualization correctly reflects the written model	6	0	0	0

The high level of agreement on the visual components suggests that the model's structure is intuitive. To strengthen the doctoral thesis, focus should be placed on addressing the concerns of the dissenting experts regarding the model's explanatory power and its specific theoretical contributions.

Non-linearity, trajectories, and path diversity

At first glance, Table 1 may suggest a linear progression from Full Family Influence to Legacy Family, echoing life-cycle models of family firms that describe sequential stages of founding, growth, professionalization, and potential ownership dispersion (Gersick et al., 1997; Handler, 1990). Indeed, many large, long-lived family corporations currently located in configurations such as Professional Governance, Residual Family, or Legacy Family are likely to have passed at some point through arrangements resembling Full Family Influence, Partial Professionalization, or Structured Governance. This pattern is consistent with evidence that, as firms grow and move across generations, ownership tends to dilute, boards become more formalized, and management becomes increasingly professionalized (Miller & Le Breton-Miller, 2005; De Massis, Frattini, Kotlar, Petruzzelli, & Wright, 2016).

However, linearity is not a necessary condition. Empirical studies show that some family firms remain for extended periods in configurations akin to founder- or family-centered structures, especially in institutional environments that support relationship-based governance and concentrated control (Dyer, 2003; Sharma & Chua, 2013). Others may be

created directly in more advanced configurations, when business families set up new ventures from the outset with institutional investors, formal boards, and external executives (De Massis et al., 2013). There are also cases of “re-familization,” in which families repurchase shares or

reassert control after periods of greater dispersion, repositioning the firm toward higher levels of structural familiness (Zellweger, Nason, Nordqvist, & Brush, 2013).

The familiness continuum proposed here therefore represents a space of trajectories, not a fixed sequence of stages. It enables scholars to describe how firms enter, move within, and occasionally exit different regions of this space over time, and to link such movements to events such as succession, capital restructuring, strategic renewal, or changes in family cohesion. This perspective brings family business research closer to process-oriented views of succession, professionalization, and organizational change (Gersick et al., 1997; Habbershon & Williams, 1999).

Theoretical implications

Conceptualizing the family business as a continuous construct has several implications for theory development. First, it clarifies the ontological status of the construct. Rather than treating "family firm" as a nominal label that depends solely on definitional conventions (Sharma, 2004), the framework reconstructs it as a variable structural condition shaped by specific combinations of ownership, governance, and influence. This helps explain why studies using different criteria often report seemingly contradictory findings (Chrisman et al., 2005; Gedajlovic et al., 2012): they are frequently observing substantially different configurations of familiness while using the same categorical term.

Second, the triadic framework provides a common architecture for integrating the major theoretical traditions in the field. Agency theory can be linked to patterns of ownership concentration and board control, showing how different configurations of familiness affect principal–agent and principal–principal conflicts (Jensen & Meckling, 1976; Anderson & Reeb, 2003; Gómez-Mejía, Haynes, Núñez-Nickel, Jacobson, & Moyano-Fuentes, 2007). Stewardship theory is more applicable to configurations with strong family participation in ownership and management, where identification and trust are reinforced (Davis, Schoorman, & Donaldson, 1997; Miller & Le Breton-Miller, 2005). The resource-based view and the concept of familiness interpret particular combinations of patient capital, tacit knowledge, and idiosyncratic relationships as potential sources of competitive advantage, but also of rigidity and path dependence (Barney, 1991; Habbershon & Williams, 1999). The socioemotional wealth perspective shows how concerns with identity, influence, and continuity become more

intense in high-control configurations, shaping risk-taking, diversification, and succession decisions (Gómez-Mejía et al., 2007; Berrone, Cruz, & Gómez-Mejía, 2012). Institutional theory, in turn, helps explain how different arrangements of familiness gain legitimacy or face pressure to conform in particular organizational fields (De Massis et al., 2016; Tagiuri & Davis, 1996).

Rather than treating these perspectives as competing explanations applied to a single undifferentiated category, the familiness continuum allows researchers to ask which combinations of ownership, governance, and influence activate which mechanisms, and under what contextual conditions.

Third, the framework encourages a more configurational and processual orientation. Recent work has emphasized that the effects of familiness are unlikely to be linear and that different combinations of conditions may lead to similar outcomes (equifinality) (Fiss, 2011; De Massis et al., 2013). By positioning firms in a three-dimensional structural space, the proposed model opens the way for equifinal explanations and for the use of configurational methods, such as qualitative comparative analysis, which are increasingly employed in family business research (De Massis et al., 2016). At the same time, by emphasizing trajectories along the continuum, the framework aligns with process perspectives that treat succession, professionalization, and institutionalization as ongoing reconfigurations of familiness over time (Gersick et al., 1997; Sharma & Chua, 2013).

Methodological implications

Methodologically, the framework reinforces longstanding critiques of binary classification in family business research (Astrachan et al., 2002; Rau et al., 2018). Table X suggests replacing simple dichotomies with continuous or multi-level measures of family influence that combine indicators of ownership, governance, and management. This recommendation is consistent with existing tools such as the F-PEC, which already operationalize family influence on continuous scales (Astrachan et al., 2002; Klein et al., 2005).

In survey-based studies, these indicators can be measured directly through questions on equity shares, board composition, and the presence of family members in top management. In archival research, they can be approximated using ownership disclosures, board data, and

executive biographies extracted from annual reports and governance databases (Anderson & Reeb, 2003; Villalonga & Amit, 2006). Rather than treating firms with 51% and 10% family ownership as equivalent "family firms," the familiness continuum allows researchers to test how incremental differences in ownership, governance, and influence relate to performance, innovation, risk, or strategic behavior (Gómez-Mejía et al., 2007).

The six ideal-type categories in Table X can also serve as ordered qualitative anchors in comparative case studies and configurational analyses. Researchers can code firms into the closest ideal type, acknowledging that real cases will rarely match these profiles perfectly but will be located in their vicinity (Fiss, 2011; De Massis et al., 2013). This approach preserves qualitative richness while increasing transparency and comparability in classification decisions.

Practical and policy implications

For business families and practitioners, the framework offers a diagnostic vocabulary to reflect on the current configuration of their firms. By locating their businesses along the three dimensions and identifying which category in Table X best approximates their situation, families can discuss—using concepts grounded in the literature—whether the degree of ownership concentration, the composition of boards, or the level of family managerial influence is aligned with their long-term objectives (Miller & Le Breton-Miller, 2005; Sharma & Chua, 2013).

Consultants and family business centers can use the continuum to design tailored interventions, recognizing that typical challenges differ across configurations. Firms closer to Full Family Influence may primarily face succession and basic governance issues, whereas those closer to Residual Family or Legacy Family may deal with shareholder coordination, legacy management, and the symbolic role of the family in corporate identity (Gersick et al., 1997; Dyer, 2003). Policy-makers, in turn, can design support programs that acknowledge that family businesses do not form a homogeneous block but are distributed along a structural continuum with distinct needs and behaviors (De Massis et al., 2016; Gedajlovic et al., 2012).

Limitations and avenues for future research

This article is primarily conceptual and heuristic. The percentage ranges proposed in Table 1 do not claim to describe empirical distributions with precision; rather, they provide transparent approximations grounded in existing measurement practices and theoretical arguments (Astrachan et al., 2002; Anderson & Reeb, 2003; Villalonga & Amit, 2006). Future research can refine, test, and, if necessary, revise these ranges through large-scale empirical studies comparing countries, sectors, and generations (Rau et al., 2018; De Massis et al., 2013).

Moreover, the framework focuses on three structural dimensions—ownership, governance, and influence. Although these axes capture core channels of family influence, they do not exhaust the phenomenon. Future work could incorporate additional elements such as family cohesion, generational dispersion, or intra-family conflict, which have been identified as critical aspects of the family–business system (Tagiuri & Davis, 1996; Gersick et al., 1997), either as moderators of the structural dimensions or as supplementary axes.

Finally, the familiness continuum proposed here is normatively neutral. A firm located in Full Family Influence is not inherently better or worse than one in Legacy Family; each configuration may be appropriate depending on goals, institutional context, and life-cycle stage (Miller & Le Breton-Miller, 2005; De Massis et al., 2013). Subsequent empirical studies can investigate which configurations are associated with which outcomes, under which conditions, thereby turning the conceptual mapping presented here into a foundation for a more cumulative, comparable, and context-sensitive science of family business (Chrisman et al., 2005; Rau et al., 2018).

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5 DISCUSSION

This dissertation was designed to address a central question: what factors influence strategic decision-making in family businesses? Beneath this formulation, however, lies a set of deeper conceptual tensions: uncertainties about what qualifies as a strategic decision in family firms, ambiguities regarding the extent to which existing theories, often developed for small businesses or large corporations, remain valid in this context, and limited attention to the mechanisms through which decisions actually emerge when families and businesses are structurally intertwined. The three articles that compose the dissertation were conceived as sequential steps to address these tensions. Taken together, they do not present isolated findings but rather an integrated response to the research problem and to the five guiding questions introduced in Chapter 1.

The first guiding question asked how the strategic decision-making process should be conceptually defined in family businesses. Evidence gathered across the three articles indicates that this process cannot be reduced to the generic strategic management models developed for large corporations, nor can it be described solely in terms of "who decides" or "what outcomes follow." In *Strategic Decision-Making in Small Businesses: An Assessment of Determining Factors*, we observe that in small organizations, strategic decisions typically emerge through informal and owner-centered processes that blend strategic and operational dimensions (Mintzberg & Waters, 1985). In *What Makes a Decision Strategic in Family Businesses? A Conceptual Reassessment Grounded in Inductive Literature Analysis*, these structural characteristics are shown to be further shaped by family in, socioemotional priorities, and intergenerational projects (Berrone et al., 2012; Gómez-Mejía et al., 2007). In *Beyond Binary: Reconceptualizing Family Business as a Continuous Construct*, the evidence demonstrates that the intensity and configuration of these influences vary across firms and evolve over time, depending on the firm's position along a continuum of family influence in ownership, governance, and management.

Bringing together these contributions, the dissertation argues that the strategic decision-making process in family businesses can be defined as a set of recurrent patterns through which owners and family decision-makers frame issues, evaluate alternatives, and commit resources in ways that simultaneously shape the firm's long-term trajectory and the structure of family influence. This definition emphasizes three elements that were often implicit but rarely

articulated in existing literature: the hybrid nature of strategic reasoning (where economic and family logics coexist), the centrality of family-oriented objectives (identity, continuity, socioemotional wealth) in defining what counts as "strategic," and the embedding of decisions in informal, owner-centered structures. In this sense, decisions in family firms are strategic not only because they affect long-term performance but also because they reorder, explicitly or implicitly, the relationship between the family and the business systems (Habbershon & Williams, 1999).

The second guiding question concerned the relationship between research on small businesses and research on family businesses: how can contributions from the former be incorporated without distorting mechanisms unique to the latter? *Strategic Decision-Making in Small Businesses: An Assessment of Determining Factors* deliberately begins outside the family business field, mapping five decades of studies on strategic decision-making in small firms. It identifies determinants such as resource constraints, owner centrality, informality, experiential learning, and local embeddedness (Carland et al., 1984; Jennings & Beaver, 1997; Welter et al., 2018). These elements clearly resonate with the reality of many family firms. Ignoring them would mean discarding a substantial body of knowledge about how strategy emerges in noncorporate organizational structures.

However, *What Makes a Decision Strategic in Family Businesses? A Conceptual Reassessment Grounded in Inductive Literature Analysis* demonstrates that when these determinants are transferred directly to family business contexts without conceptual adaptation, they offer only partial explanations. Owner centrality in a non-family small firm, for instance, may accelerate decision-making; in a family firm, the same centrality also reflects family power structures, dynastic expectations, and intrafamily negotiations (Cabrera-Suárez et al., 2001). Informality in small firms may arise from administrative constraints; in family firms, it may express trust, loyalty, or reluctance to formalize relationships among relatives. *Beyond Binary: Reconceptualizing Family Business as a Continuous Construct* provides a conceptual bridge by showing that the relevance and meaning of "small business determinants" in family firms depend on where the firm is situated along the continuum of family influence.

Thus, the dissertation does not reject the contributions of small business research; instead, it argues that these contributions must be reinterpreted through the lens of family influence, recognizing that similar structures may be driven by different underlying logics. Only

under this condition can theories from small business research be incorporated without diluting what is analytically distinctive about family firms.

The third guiding question examined why the field has prioritized outcomes over processes when studying strategic decision-making in family businesses, and what the implications of this imbalance are. Across the three articles, a consistent pattern emerges: empirical studies frequently test associations between the "family business" condition and outcomes such as performance, growth, innovation, or continuity, often relying on binary classifications and cross-sectional designs (Chrisman et al., 2005). In doing so, much of the literature treats the decision-making process as a black box, inferring the nature of strategic reasoning from results rather than examining the process itself. The small business literature, as explored in *Strategic Decision-Making in Small Businesses: An Assessment of Determining Factors*, shows a similar pattern, where processes are condensed into broad categories such as "intuitive decision" or "entrepreneurial judgment." In the family business field, as shown in *What Makes a Decision Strategic in Family Businesses? A Conceptual Reassessment Grounded in Inductive Literature Analysis*, the ambiguity is compounded by inconsistent criteria for classifying decisions as "strategic."

This outcome-oriented bias has three major implications. First, it obscures the mechanisms through which family influence shapes decisions, making it difficult to explain why firms with similar structures may reach different outcomes. Second, it encourages the reification of constructs such as "family business" or "strategic decision," which are repeatedly used as explanatory variables without critical examination of their meaning (Lane, 2006). Third, it constrains cumulative development, since studies lacking explicit process models are harder to compare and integrate. By emphasizing definitional clarity, mechanisms, and degrees of family influence, the dissertation contributes to rebalancing the field: outcomes remain important, but they are interpreted as products of specific decision-making patterns.

The fourth guiding question focused on mechanisms: which mechanisms structure strategic decision-making in family firms, and how do they interact? While the articles do not empirically test mechanisms, they systematically extract, organize, and conceptually articulate them. *Strategic Decision-Making in Small Businesses: An Assessment of Determining Factors* identifies mechanisms related to owner cognition (tacit reasoning, bounded rationality), organizational routines (incrementalism, informal planning), and environmental embeddedness (local networks, contextual sensitivity). *What Makes a Decision Strategic in Family*

Businesses? A Conceptual Reassessment Grounded in Inductive Literature Analysis adds mechanisms specific to family contexts, including socioemotional wealth preservation, identity work, intergenerational bargaining, affective commitment, and norms of loyalty (Berrone et al., 2012; Gómez-Mejía et al., 2007). *Beyond Binary: Reconceptualizing Family Business as a Continuous Construct* shows that the salience and configuration of these mechanisms depend on the degree and locus of family influence: in firms with strong family presence in governance and management, emotional and identity mechanisms tend to be more pronounced; in firms with professionalized management, formal routines may moderate the role of family logics.

The fifth guiding question explored whether theories developed for large corporations or non-family firms can adequately explain strategic decision-making in family firms. The findings suggest that such theories are neither fully transferable nor entirely irrelevant. Core strategic management ideas, such as resource allocation, environmental alignment, and dynamic capabilities, remain useful, but only when their assumptions are made explicit and confronted with the realities of family control. The dissertation shows that some studies imported these theories without revisiting foundational assumptions, leading to conceptual misalignments. However, when theories are reinterpreted through the lens of family influence, for example, combining resource-based views with socioemotional wealth considerations, they can illuminate relevant facets of decision-making. The continuous model proposed in *Beyond Binary: Reconceptualizing Family Business as a Continuous Construct* is crucial here, as it provides criteria to determine when and how theories from corporate contexts are applicable to family firms.

Considering these analyses, the dissertation's general objective, to identify and systematize the factors that influence strategic decision-making in family businesses, can be reframed. The findings show that these "factors" encompass not only structural and behavioral variables but also definitional choices, conceptual boundaries, and configurations of family influence that shape how decision processes are understood. *Strategic Decision-Making in Small Businesses: An Assessment of Determining Factors* fulfills the first specific objective by identifying structural, behavioral, and contextual determinants in small firms and distinguishing which of them resonate with family firm dynamics. *What Makes a Decision Strategic in Family Businesses? A Conceptual Reassessment Grounded in Inductive Literature Analysis* addresses the second objective by proposing a definition of strategic decision-making adapted to family business realities. *Beyond Binary: Reconceptualizing Family Business as a Continuous*

Construct accomplishes the third objective by demonstrating that family influence is more accurately understood as a continuous construct rather than a binary condition.

Together, the articles propose an integrated structure in which strategic decisions emerge from the interaction between structural characteristics typical of small firms, family-specific mechanisms, and the degree and locus of family influence in ownership, governance, and management. For researchers, this structure reinforces the importance of specifying which layer of the phenomenon is being examined, organizational structure, family mechanisms, or influence configuration, and how these layers interact. For practitioners, the framework suggests that strategic decisions in family firms are neither purely technical nor merely familial matters; they represent arenas where economic, emotional, and identity considerations intersect.

In summary, the three articles collectively shift the field from fragmented explanations toward a more integrated and theoretically explicit understanding of strategic decision-making in family businesses. They show that progress depends not only on adding new variables to existing models but also on revisiting foundational constructs, clarifying what constitutes a "strategic decision," and situating theories within frameworks that recognize the continuous and multilayered nature of family influence.

6 CONCLUSIONS

This dissertation examined how strategic decision-making occurs in family businesses by analyzing the interplay between organizational structures, family influence, and the mechanisms through which decisions take shape. Across the three articles, the findings show that strategic choices in family firms result from the combination of characteristics often associated with smaller organizations, the influence of family goals and relationships, and variations in how families participate in ownership, governance, and management. These elements help explain why conventional frameworks from corporate or small-business settings only partially account for decision-making dynamics in family firms.

The dissertation addressed its guiding questions by clarifying how strategic decision-making can be conceptually defined in family businesses; by discussing how contributions from small-business research can be incorporated without obscuring family-specific mechanisms; by examining the field's emphasis on outcomes rather than processes; by identifying the mechanisms that shape decision formation; and by considering the conditions under which theories developed for non-family or large firms remain applicable. The results also respond to the specific objectives by organizing relevant decision-related factors, proposing a definition of strategic decision-making suitable for family firms, and presenting a continuous approach to understanding family influence.

Overall, the dissertation contributes to a more structured view of how decisions emerge in family firms and indicates paths for future research. Further empirical work may deepen the examination of how the mechanisms identified here interact in practice and how different configurations of family influence shape decision-making over time. By clarifying conceptual boundaries and consolidating key elements that structure strategic choices, this study offers a basis for advancing cumulative inquiry into decision-making in organizations owned and controlled by families.

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Appendix 1 – Small business studies included (with inclusion criteria)

Authors	Year	Partially related (PR)	Closely related (CR)
RICE, GH	1983	0	1
CLOUSE, GH	1991	0	1
RAYMOND, L; BERGERON, F	1992	0	1
JULIEN, PA	1995	1	0
Mack, RW	1999	0	1
Johnston, MA	2000	0	1
Ensley, MD; Pearce, CL	2001	1	0
Sonfield, M; Lussier, RN; Corman, J; McKinney, M	2001	1	0
Maznevski, ML; Kemp, RS; Overstreet, GA; Crook, JN	2001	1	0
Honig, B	2001	0	1
Pearson, AW; Ensley, MD; Amason, AC	2002	1	0
Solymossy, E; Masters, JK	2002	0	1
Ensley, MD; Pearson, AW; Amasone, AC	2002	1	0
Lahdesmaki, M	2005	0	1
Lepoutre, J; Heene, A	2006	0	1
Ndemo, B; Maina, FW	2007	1	0
Reynolds, PL; Lancaster, G	2007	0	1
Brunetto, Y; Farr-Wharton, R	2007	1	0
Verreynne, ML; Meyer, D	2008	0	1
Ulubasoglu, MA; Akdis, M; Kok, SB	2009	1	0
Brush, CG; Ceru, DJ; Blackburn, R	2009	1	0
Zhang, Z; Arvey, RD	2009	1	0
Fassin, Y; Van Rossem, A; Buelens, M	2011	0	1
Machold, S; Huse, M; Minichilli, A; Nordqvist, M	2011	1	0
Kroon, B; Van de Voorde, K; Timmers, J	2012	1	0
Martínez-Román, J; Romero, I	2012	1	0
Jansen, RJG; Curseu, PL; Vermeulen, PAM; Geurts, JLA; Gibcus, P	2013	0	1
Hernandez-Nicolas, CM; Martín-Ugedo, JF; Mínguez-Vera, A	2015	1	0
Yan, J; Yan, L	2015	1	0
Ongena, S; Popov, A	2016	1	0
Batra, S; Sharma, S	2016	0	1
He, W; Wang, FK; Chen, Y; Zha, SH	2016	0	1
Laine, I; Galkina, T	2016	0	1
Giotopoulos, I; Kontolaimou, A; Korra, E; Tsakanikas, A	2017	1	0
Igwe, PA; Madichie, NO; Newbery, R	2019	1	0

Traczynski, J	2019	1	0
Mamman, A; Bawole, J; Agbebi, M; Alhassan, AR	2019	0	1
Zhao, YX; Thompson, P	2019	0	1
Afolayan, AO; de la Harpe, AC	2019	1	0
Bernoster, I; Mukerjee, J; Thurik, R	2020	0	1
Nag, R; Neville, F; Dimotakis, N	2020	0	1
Burgos, JAM; Kitticr, M; Walsh, M	2020	0	1
Temel, S; Durst, S	2020	0	1
Harel, R; Schwartz, D; Kaufmann, D	2020	0	1
Ruiz, TN; Collazzo, P	2020	0	1
Mole, K	2021	0	1
Quansah, E; Hartz, DE	2021	0	1
Goldsby, M; Bishop, J; Goldsby, E; Neck, CB; Neck, CP	2021	1	0
Kim, S	2021	1	0
Luederitz, C; Caniglia, G; Colbert, B; Burch, S	2021	0	1
Demiroglu, C; Ozbas, O; Silva, RC; Ulu, MF	2021	1	0
Sardo, F; Vieira, ES; Serrasqueiro, Z	2021	0	1
Stewart, WH Jr; Peake, WO; Ingram, AE	2021	0	1
da Costa, JC; Nascimento, LD; Jerônimo, TD; de Andrade, JA; Primo, MAM; Granja, BCA	2021	1	0
Mello, JAVB; Pinto, BGJ; Mello, AJR	2022	1	0
Barroso-Castro, C; Domínguez-CC, M; Rodríguez-Serrano, MA	2022	0	1
Cortes, AF; Kiss, AN	2022	0	1
Uzhegova, M; Torkkeli, L	2022	1	0
Osuigwe, UUS; Eresia-Eke, C	2022	0	1
Didonet, SR; Fearne, A	2022	0	1
Lizote, SA; Batista, MA; da Luz, J; Felipe, CPS	2022	1	0
Nouri, P	2022	1	0
Salles, S; Fischer, B; Juk, Y; Feitosa, P; Colugnati, FAB	2023	0	1
Ribeiro, GWL; Bianchi, M; Venturini, LD	2023	0	1
Vizcaíno, FV; Martin, SL; Jaramillo, F	2023	0	0
Soni, H; Chitta, S; Pathak, D	2023	0	1
Rankin, RJ; Henderson, CD; England, TK; Opara, ME	2023	0	0
Bhardwaj, S; Sharma, S	2023	1	0
Sipos, N; Bányai, E; Venczel-Szakó, T	2023	0	1
Idris, B; Saridakis, G; Georgellis, Y; Lai, YQ; Johnstone, S	2023	0	1
Zhou, Y; Huang, DF; Chen, MZ; Wang, YL; Yang, XG	2024	1	0

Appendix 2 – Family business studies included (with inclusion criteria)

Authors	Year	Partially related (PR)	Closely related (CR)
WICKER, AW; BURLEY, KA	1991	**1**	**0**
ERRINGTON, A; GASSON, R	1994	**0**	**1**
MAROTZBADEN, R; MATTHEIS, C	1994	**1**	**0**
Weidenbaum, M	1996	**1**	**0**
Pant, PN; Rajadhyaksha, VG	1996	**0**	**1**
Morris, MH; Williams, RO; Allen, JA; Avila, RA	1997	**0**	**1**
Romano, CA; Tanewski, GA; Smyrnios, KX	2001	**0**	**1**
Athanassiou, N; Crittenden, WF; Kelly, LM; Marquez, P	2002	**0**	**1**
Steier, L	2003	**0**	**1**
Kellermanns, FW; Eddleston, KA	2004	**1**	**0**
Nagata, ML	2004	**1**	**0**
Feltham, TS; Feltham, G; Barnett, JJ	2005	**1**	**0**
Wijaya, Y	2008	**0**	**1**
Craig, JB; Dibrell, C; Davis, PS	2008	**0**	**1**
Huang, YC; Ding, HB; Kao, MR	2009	**0**	**1**
Morris, MH; Allen, JA; Kuratko, DF; Brannon, D	2010	**1**	**0**
Fassin, Y; Van Rossem, A; Buelens, M	2011	**1**	**0**
Jakimow, T	2011	**1**	**0**
Chang, SI	2012	**0**	**1**
Woods, JA; Dalziel, T; Barton, SL	2012	**0**	**1**
Kidwell, RE; Kellermanns, FW; Eddleston, KA	2012	**1**	**0**
Hirigoyen, G; Labaki, R	2012	**0**	**1**
Blumentritt, T; Mathews, T; Marchisio, G	2013	**1**	**0**
Basco, R	2013	**0**	**1**
Overbeke, KK; Bilimoria, D; Perelli, S	2013	**1**	**0**
Camblanne, L	2013	**0**	**1**
Monti, A; Salvemini, S	2014	**1**	**0**
Hanisch, DN; Rau, SB	2014	**0**	**1**
Kellermanns, FW; Dibrell, C; Cruz, C	2014	**1**	**0**
Bee, C; Neubaum, DO	2014	**0**	**1**
Kotlar, J; De Massis, A; Fang, HQ; Frattini, F	2014	**0**	**1**
Kotlar, J; Fang, HQ; De Massis, A; Frattini, F	2014	**0**	**1**
Murphy, L; Lambrechts, F	2015	**1**	**0**
Liu, CW; Eubanks, DL; Chater, N	2015	**1**	**0**
Glover, JL; Reay, T	2015	**0**	**1**
Mathews, T; Blumentritt, T	2015	**1**	**0**
Basco, R; Voordeckers, W	2015	**1**	**0**
Cheong, KC; Lee, PP; Lee, KH	2015	**0**	**1**
Pindado, J; Requejo, I; de la Torre, C	2015	**1**	**0**
Hatak, I; Kautonen, T; Fink, M; Kansikas, J	2016	**1**	**0**
Priem, RL; Alfano, F	2016	**1**	**0**
Chrisman, JJ; Chua, JH; De Massis, A; Minola, T; Vismara, S	2016	**0**	**1**
Rutherford, MW; Kuratko, DF	2016	**1**	**0**
Gallizo, JL; Mar-Molinero, C; Moreno, J; Salvador, M	2017	**0**	**1**

Jakobsen, M	2017	**0**	**1**
Basco, R	2017	**0**	**1**
Brumana, M; Minola, T; Garrett, RP; Digan, SP	2017	**0**	**1**
Newbert, S; Craig, JB	2017	**1**	**0**
Gomez-Mejia, LR; Patel, PC; Zellweger, TM	2018	**0**	**1**
Kupp, M; Schmitz, B; Habel, J	2019	**1**	**0**
Razzak, MR; Abu Bakar, R; Mustamil, N	2019	**1**	**0**
Szymanska, I; Blanchard, A; Kuhns, K	2019	**0**	**1**
Penney, C; Vardaman, J; Marler, L; Antin-Yates, V	2019	**0**	**1**
Razzak, MR; Jassem, S	2019	**0**	**1**
Sreih, JF; Lussier, RN; Sonfield, MC	2019	**0**	**1**
Gomez-Mejia, LR; Neacsu, I; Martin, G	2019	**1**	**0**
Woods, JA; Danes, SM; Uhalt, J	2019	**0**	**1**
Molly, V; Uhlaner, LM; De Massis, A; Laveren, E	2019	**0**	**1**
Carlsson-Wall, M; Hirner, P; Kraus, K; Lewinski, A	2019	**1**	**0**
Hirigoyen, G; Basly, S	2019	**1**	**0**
Priede-Bergamini, T; Lopez-Cozar-Navarro, C; Benito-Hernandez, S	2020	**1**	**0**
Beech, N; Devins, D; Gold, J; Beech, S	2020	**1**	**0**
Astrachan, JH; Astrachan, CB; Campopiano, G; Baù, M	2020	**1**	**0**
Michel, A; Ahlers, O; Hack, A; Kellermanns, FW	2020	**0**	**1**
Madanoglu, M; Memili, E; De Massis, A	2020	**0**	**1**
Migliori, S; De Massis, A; Maturo, F; Paolone, F	2020	**1**	**0**
Carr, JOC; Vardaman, JM; Marler, LE; McLarty, BD; Blettner, D	2021	**0**	**1**
Campopiano, G; Calabrò, A; Basco, R	2020	**1**	**0**
Hernandez-Perlines, F; Ribeiro-Soriano, D; Rodríguez-García, M	2021	**0**	**1**
Wu, MY; Coleman, M; Rahaman, ARA; Edziah, BK	2020	**1**	**0**
Daovisan, H; Chamaratana, T	2020	**1**	**0**
Khosa, RM	2020	**0**	**1**
Brinkerink, J; Rondi, E; Benedetti, C; Arzubiaga, U	2020	**0**	**1**
Craig, JB; Newbert, SL	2020	**0**	**1**
Fang, HQ; Memili, E; Chrisman, JJ; Tang, LJ	2021	**0**	**1**
Firfiray, S; Gomez-Mejia, LR	2021	**0**	**1**
Liao, XY; Lyu, B; Fan, JY	2021	**0**	**1**
Degravel, D; Tun, CHM	2021	**0**	**1**
Leopizzi, R; Pizzi, S; D'Addario, F	2021	**0**	**1**
Comino-Jurado, M; Sánchez-Andújar, S; Parrado-Martínez, P	2021	**0**	**1**
Browne, M; Balan, P; Lindsay, N	2021	**1**	**0**
Gavric, T	2021	**1**	**0**
Tiwari, A; Sharma, RR; Sharma, T	2021	**0**	**1**
Arzubiaga, U; Diaz-Moriana, V; Bauweraerts, J; Escobar, O	2021	**1**	**0**
Duran-Encalada, J; Werner-Masters, K; Paucar-Caceres, A	2021	**1**	**0**
Darby, JL; Fugate, BS; Murray, JB	2022	**0**	**1**
Tiberius, V; Stiller, L; Dabic, M	2021	**1**	**0**
Randerson, K	2022	**1**	**0**
James, A; Hadjielias, E; Guerrero, M; Cruz, AD; Basco, R	2021	**1**	**0**
Bulut, C; Kahraman, S; Ozeren, E; Nasir, S	2021	**0**	**1**
Sastre, CG; Benavides-Espinosa, MD; Ribeiro-Soriano, D	2022	**1**	**0**
Bammens, Y; Hünermund, P; Andries, P	2022	**1**	**0**

Tutar, H; Erdem, AT; Karademir, Ö	2022	**0**	**1**
Darabos, KATALIN	2022	**0**	**1**
Samanta, I	2022	**1**	**0**
Montenegro, TM; Bras, FA	2022	**1**	**0**
Bendell, BL	2022	**1**	**0**
Bizri, RM	2022	**0**	**1**
Shukla, H; Teraiya, V	2022	**0**	**1**
Zapata-Cantu, L; Sanguino, R; Barroso, A; Nicola-Gavrila, L	2023	**0**	**1**
Jain, A; Thukral, S; Paul, J	2023	**0**	**1**
Avabruth, SM; Padhi, SK	2023	**1**	**0**
Shi, XF; Tui, ZJ; Zhou, XY	2022	**1**	**0**
Anggadwita, G; Permatasari, A; Alamanda, DT; Profityo, WB	2023	**0**	**1**
Chen, SH; Wu, BD; Liao, ZJ; Chen, L	2022	**1**	**0**
Melovic, M; Baynazoglu, ME; Seric, N	2023	**1**	**0**
Nulleshi, SG	2024	**1**	**0**
Nulleshi, SG; Kalonaityte, V	2023	**1**	**0**
Zhang, Q; Xiong, L; Yan, YL; Song, ZJ; Wen, ZZ	2022	**1**	**0**
Blanzo-Mazagatos, V; Delgado-García, JB; Barrero, JP	2024	**1**	**0**
He, JJ; Liu, JS; Li, TT; Song, LR	2022	**1**	**0**
Gasperin, D; Ganzer, PP; Faoro, RR; Santinon, AC	2022	**1**	**0**
Graves, C; Seet, PS; Michiels, A	2022	**0**	**1**
Yu, XD; Zhang, YY; Cheng, XR; Li, H; Chen, YJ; Zhou, WZ	2022	**1**	**0**
Goyal, L; Kiran, R; Bose, SC	2023	**0**	**1**
Sfeir, SE	2023	**1**	**0**
Villéger, A	2023	**1**	**0**
Liu, H	2023	**1**	**0**
Yin, Q; Liu, G	2023	**0**	**1**
Schell, S; Wolff, S; Moog, P	2023	**1**	**0**
Bressan, A; Alonso, AD; Vu, OTK; Borer, D	2023	**1**	**0**
Michael, SC	2023	**1**	**0**
Goyal, L; Kiran, R; Bose, SC	2024	**1**	**0**
Arnold, T; Kleve, H; Roth, S	2023	**1**	**0**
Hoekx, L; Lambrechts, F; Vandekerkhof, P; Voordeckers, W; Frank, H	2023	**0**	**1**
Frank, H; Kessler, A; Beck, S; -Reyes, JS; Fuetsch, E	2023	**0**	**1**
Ginesti, G; Ossorio, M; Dawson, A	2023	**0**	**1**
Ben-shahar, D; Carmeli, A; Sulganik, E; Weiss, D	2023	**1**	**0**
Gandrita, DM	2024	**0**	**1**
Kupangwa, W; Farrington, SM; Venter, E	2023	**0**	**1**
Yu, XY; Liu, T; He, L; Li, YJ	2023	**0**	**1**
Barredy, C; Caspersz, D	2023	**1**	**0**
Wagner, E; Pernsteiner, H; Riaz, A	2024	**1**	**0**
Koladkiewicz, I; Wojtyra-Perlejewska, M	2023	**0**	**1**
Nakpodia, F	2023	**0**	**1**
Sawang, S; Kivits, RA	2023	**1**	**0**
Jayantilal, S; Jorge, SF; Alcarva, P	2023	**0**	**1**
Llach, J; Sanchez-Famoso, V; Danes, SM	2023	**0**	**1**
Kuang, XW; Luo, CY; Xu, JM	2023	**0**	**1**
Liu, PCY; Zhu, F; Wang, J	2024	**1**	**0**

Huang, LY; Chen, AY	2024	**0**	**1**
Yang, YW; Kuo, A; Kao, MS; Chang, YC; Chen, YT	2024	**0**	**1**
Gómez, JM; Rodríguez, YE	2024	**1**	**0**
Michiels, A; Astrachan, CB	2024	**1**	**0**
Ernst, F; Bendig, D; Puechel, L	2024	**1**	**0**
Chrisman, JJ; Fang, HQ; Vismara, S; Wu, ZY	2024	**1**	**0**
Lu, J; Chen, YX; Wu, MY; Zhang, XG	2024	**1**	**0**
Stommel, E; Gottschalck, N; Hack, A; Eddleston, KA; Kellermanns, F; Kraiczy, N	2024	**0**	**1**
Gomez-Mejia, LR; Mendoza-Lopez, A; Cruz, C; Duran, P; Aguinis, H	2024	**0**	**1**
Umans, I; Corten, M; Steijvers, T	2024	**1**	**0**
Ding, H	2024	**0**	**1**
Song C., Yang Y., Song Z.	2024	**1**	**0**
Jayantilal S., Jorge S.F., Alcarva P.	2024	**1**	**0**
De T., Nandana S., Ghosh D., Dikkatwar R.	2024	**1**	**0**
Kryeziu L., Krasniqi B.A., Bağış M., Hajrullahu V., Zhushi G., Bytyçi D., Ismajli M.	2024	**1**	**0**
Taki I., Habba B., Berrada El Azizi T.	2024	**0**	**1**
Soler-Porta M., Rodríguez Díaz B.	2024	**1**	**0**
Huang L., Chen A.	2024	**1**	**0**
Mosquera W.K., Vergara M.P.L., Cortés D.L.	2024	**1**	**0**
Alnoor A., Atiyah A.G.	2024	**1**	**0**
Carbone E., Campopiano G., Cirillo A., Mussolino D.	2024	**0**	**1**
Memon U., Waseem M., Zain ul Abidin M., Junejo Z., Ali M.	2024	**1**	**0**
Moser T., de Villiers Scheepers M.J., de Klerk S	2024	**1**	**0**
D'Allura G.M., Mariasole B., Filippi E.	2024	**0**	**1**
Gutiérrez-Broncano S., Rubio-Andrés M., Linuesa Langreo J., Sastre-Castillo M.A	2024	**0**	**1**
Li W., Bei N., Cao L.	2024	**0**	**1**
De Tommaso S.F.N., Correa R., Borini F.M.	2024	**0**	**1**
Glowka G., Eller R., Peters M., Zehrer A.	2024	**0**	**1**
Burgel T.R., Hiebl M.R.W.	2023	**1**	**0**
Schell S., de Groote J.K., Richard S., Hack A., Kellermanns F.W.	2023	**1**	**0**
Brundin E., Languilaire J.-C.	2023	**0**	**1**
Pires V., Dourado Cotta de Mello R., Secches Kogut C.	2023	**0**	**1**
Rodriguez Serna L., Bowyer D.M., Gregory S.K.	2023	**0**	**1**
Putritamara J.A., Hartono B., Toiba H., Utami H.N., Rahman M.S., Masyithoh D.	2023	**0**	**1**
Saura J.R., Palacios-Marqués D., Barbosa B.	2023	**0**	**1**
Perez Perez J.E.	2023	**0**	**1**
Shah S., Meghrajani I.J., Thanki H.	2023	**0**	**1**
Padmalia M., Ihalauw J.J.O.I., Adhi Nugraha A.K.N., Harijono	2023	**1**	**0**
Ulrich P., Frank V., Buettner R.	2023	**1**	**0**
Mantos T., Layon H.L., Beduya N., Gulbe I., Layon H., Layon L.R., Ocampo L.	2023	**0**	**1**
Lee C.-W., Chen H.C., Peng C.L., Chen S.H.	2023	**0**	**1**
Santos E., Tavares V., Tavares F.O.	2022	**0**	**1**
Molly V., Michiels A.	2021	**1**	**0**
Wei X., Chen L.	2022	**0**	**1**
Mundi H.S., Kaur P., Murty R.L.N.	2022	**0**	**1**

Cano-Rubio M., Sanchez-Famoso V., Fuentes-Lombardo G.	2022	**0**	**1**
El Shoubaki A., Laguir I., Stekelorum R., Hnilica J.	2022	**0**	**1**
Muigai S.W., Mungai E	2022	**0**	**1**
Bulut C., Kahraman S., Ozeren E., Nasir S.	2021	**1**	**0**
Qureshi J.A., Shaikh A.M., Seaman C.	2021	**0**	**1**
Firfiray S., Gomez-Mejia L.R.	2021	**1**	**0**
Arzubiaga U., Diaz-Moriana V., Bauweraerts J., Escobar O.	2021	**1**	**0**
Xian H., Jiang N., McAdam M.	2021	**1**	**0**
Carr J.C., Vardaman J.M., Marler L.E., McLarty B.D., Blettner D.	2021	**0**	**1**
Mucci D.M., Jorissen A., Frezatti F., Bido D.S.	2021	**1**	**0**
Hernandez-Perlines F., Ribeiro-Soriano D., Rodríguez-García M.	2021	**1**	**0**
Abdala R.G., Binotto E., Borges J.A.R.	2021	**0**	**1**
Do Paço A., Fernandes C., Nave E., Alves H., Ferreira J.J., Raposo M.	2021	**1**	**0**
Parra-Domínguez J., David F., Azevedo T.	2021	**1**	**0**
Saleem I., Siddique I., Ahmed A.	2020	**0**	**1**
Cioca A., Wehbe K., Popescu D., Popescu C.	2020	**1**	**0**
Kleve H., Köllner T., von Schlippe A., Rüsen T.A.	2020	**1**	**0**
Harris P., Ozdemir O	2020	**1**	**0**
Ruf P.J., Moog P.M., Rius I.B.	2020	**1**	**0**
Marachly G., Bodolica V., Spraggon M.	2019	**1**	**0**
Brenk S., Lüttgens D., Diener K., Piller F.	2019	**1**	**0**
Kupp M., Schmitz B., Habel J.	2019	**0**	**1**
Saleem I., Khalid F., Nadeem M.	2019	**1**	**0**
Nicotra M., Schillaci C.E., Romano M.	2019	**0**	**1**
D'Costa D., Bodolica V., Spraggon M.	2018	**0**	**1**
Pendrian O., Karnen K.A., Rachmawati R., Kusumastuti R.D.	2018	**0**	**1**
Pimentel D., Scholten M., Couto J.P.	2018	**0**	**1**
Broekaert W., Henssen B., Lambrecht J., Debackere K., Andries P.	2018	**1**	**0**
Tsai F.-S., Lin C.-H., Lin J.L., Lu I.-P.	2018	**0**	**1**
Núñez-Cacho P., Molina-Moreno V., Corpas-Iglesias F.A., Cortés-García F.J.	2018	**1**	**0**
Brück C., Ludwig J., Schwering A.	2018	**1**	**0**
Dos Santos J.P.F., Pires A.M.M., Fernandes P.O.	2018	**0**	**1**
Prevolsek B., Rozman C., Pazek K.	2017	**1**	**0**
Souder D., Zaheer A., Sapienza H., Ranucci R.	2017	**0**	**1**
Muhumed Z., Bodolica V., Spraggon M.	2017	**0**	**1**
Schwab L., Gold S., Kunz N., Reiner G.	2017	**0**	**1**
Bodolica V., Spraggon M., Naeem M.	2017	**1**	**0**
Arshad Y., Zakaria S.F., Ibrahim S.N.S.	2017	**0**	**1**
Avrichir I., Meneses R., dos Santos A.A.	2016	**1**	**0**
Gentry R., Dibrell C., Kim J.	2016	**0**	**1**
Boyd B., Botero I.C., Fediuk T.A.	2014	**0**	**1**
Ye J., Parris M.A.	2013	**1**	**0**
Cicellin M., Mussolino D., Martinez M., Iacono M.P.	2013	**1**	**0**
Colarossi F., Giorgino M., Steri R., Viviani D.	2008	**0**	**1**
Kelly L., Lewa P.M., Kamaria K.	2008	**0**	**1**
Harcar T., Spillan J.E., Kucukemiroglu O.	2005	**1**	**0**
Ibrahim A.B., McGuire J., Soufani K., Poutziouris P.	2004	**0**	**1**
Mustakallio M., Autio E., Zahra S.A.	2002	**0**	**1**

Appendix 3 – Development code for Figure 1 included in the article "Beyond Binary: Reconceptualizing Family Business as a Continuous Construct"

```
import plotly.graph_objs as go
from plotly.offline import plot
import plotly.io as pio

axis_range = [0, 100]
full = {'x': 100.0, 'y': 100.0, 'z': 100.0}
structured = {'x': 70.0, 'y': 70.0, 'z': 70.0}
partial_mid = {
    'x': (full['x'] + structured['x']) / 2.0,
    'y': (full['y'] + structured['y']) / 2.0,
    'z': (full['z'] + structured['z']) / 2.0,
}
cases = {
    'Full Family Involvement': {
        'x': full['x'],
        'y': full['y'],
        'z': full['z'],
        'color': 'rgba(220,20,60,1)'
    },
    'Partial Professionalization': {
        'x': partial_mid['x'],
        'y': partial_mid['y'],
        'z': partial_mid['z'],
        'color': 'rgba(30,144,255,1)'
    },
    'Structured Governance': {
        'x': structured['x'],
        'y': structured['y'],
        'z': structured['z'],
        'color': 'rgba(34,139,34,1)'
    },
    'Professional Governance': {
        'x': 35.0,
        'y': 35.0,
        'z': 35.0,
        'color': 'rgba(255,140,0,1)'
    },
    'Residual Family': {
        'x': 12.5,
        'y': 12.5,
        'z': 12.5,
        'color': 'rgba(148,0,211,1)'
    }
}
traces = []
```

```
def make_pastel_darker(color_rgba_str, alpha=0.9,
lighten_factor=0.4):
    vals = color_rgba_str.replace('rgba(', '').replace(')',
'').split(',')
    r = int(float(vals[0]))
    g = int(float(vals[1]))
    b = int(float(vals[2]))
    r_p = int(r + (255 - r) * lighten_factor)
    g_p = int(g + (255 - g) * lighten_factor)
    b_p = int(b + (255 - b) * lighten_factor)
    return 'rgba(' + str(r_p) + ',' + str(g_p) + ',' + str(b_p) +
',' + str(alpha) + ')'
for label, vals in cases.items():
    traces.append(go.Scatter3d(
        x=[vals['x']],
        y=[vals['y']],
        z=[vals['z']],
        mode='markers+text',
        text=[label],
        textposition='top center',
        marker=dict(size=7, color=vals['color']),
        name=label
    ))
def dotted_segment(x_start, y_start, z_start, x_end, y_end, z_end,
n_dots=25):
    xs = []
    ys = []
    zs = []
    for i in range(n_dots):
        t0 = float(i) / float(n_dots)
        t1 = float(i + 0.4) / float(n_dots)
        if t1 > 1.0:
            t1 = 1.0
        xs.extend([
            x_start + (x_end - x_start) * t0,
            x_start + (x_end - x_start) * t1,
            None
        ])
        ys.extend([
            y_start + (y_end - y_start) * t0,
            y_start + (y_end - y_start) * t1,
            None
        ])
        zs.extend([
            z_start + (z_end - z_start) * t0,
            z_start + (z_end - z_start) * t1,
            None
```

```
        ])
    return xs, ys, zs
for label, vals in cases.items():
    x0 = vals['x']
    y0 = vals['y']
    z0 = vals['z']
    pastel_color = make_pastel_darker(vals['color'])
    line_style = dict(color=pastel_color, width=4)
    xs, ys, zs = dotted_segment(0, y0, z0, x0, y0, z0)
    traces.append(go.Scatter3d(
        x=xs,
        y=ys,
        z=zs,
        mode='lines',
        line=line_style,
        showlegend=False
    ))

    xs, ys, zs = dotted_segment(x0, y0, 0, x0, y0, z0)
    traces.append(go.Scatter3d(
        x=xs,
        y=ys,
        z=zs,
        mode='lines',
        line=line_style,
        showlegend=False
    ))

    xs, ys, zs = dotted_segment(x0, 0, z0, x0, y0, z0)
    traces.append(go.Scatter3d(
        x=xs,
        y=ys,
        z=zs,
        mode='lines',
        line=line_style,
        showlegend=False
    ))

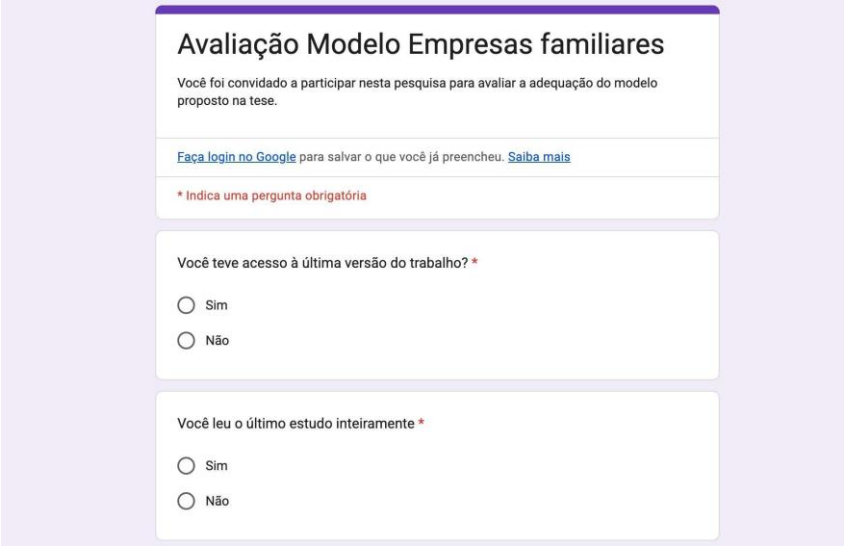
xs_arrow, ys_arrow, zs_arrow = dotted_segment(0, 0, 0, full['x'],
full['y'], full['z'], n_dots=30)
traces.append(go.Scatter3d(
    x=xs_arrow,
    y=ys_arrow,
    z=zs_arrow,
    mode='lines',
    line=dict(color=arrow_color, width=6),  # slightly thicker
    showlegend=False
```

```
))
# Arrowhead-like markers at both ends
traces.append(go.Scatter3d(
    x=[0, full['x']],
    y=[0, full['y']],
    z=[0, full['z']],
    mode='markers',
    marker=dict(
        size=[6, 6],
        color=arrow_color,
        symbol='diamond'
    ),
    showlegend=False
))
layout = go.Layout(
    scene=dict(
        xaxis=dict(
            title='Ownership',
            range=axis_range,
            gridcolor='lightgrey',
            zeroline=False,
            backgroundcolor='rgba(245,245,245,1)'
        ),
        yaxis=dict(
            title='Governance',
            range=axis_range,
            gridcolor='lightgrey',
            zeroline=False,
            backgroundcolor='rgba(245,245,245,1)'
        ),
        zaxis=dict(
            title='Influence',
            range=axis_range,
            gridcolor='lightgrey',
            zeroline=False,
            backgroundcolor='rgba(245,245,245,1)'
        ),
        camera=dict(eye=dict(x=1.6, y=1.6, z=1.2))
    ),
    margin=dict(l=0, r=0, b=0, t=40),
    title='3D Familiness Space – Five Cases with Origin–Full Family
Arrow'
)

fig = go.Figure(data=traces, layout=layout)
html_filename = 'familiness_3d_5cases_with_origin_full_arrow.html'
plot(fig, filename=html_filename, auto_open=False)
```

```
png_filename = 'familiness_3d_5cases_with_origin_full_arrow.png'
pio.write_image(fig, png_filename, width=900, height=750, scale=2)
print(html_filename)
print(png_filename)
```

Appendix 4 – Model validation questionnaire (in Portuguese)



Avaliação Modelo Empresas familiares

Você foi convidado a participar nesta pesquisa para avaliar a adequação do modelo proposto na tese.

Faça login no Google para salvar o que você já preencheu. Saiba mais

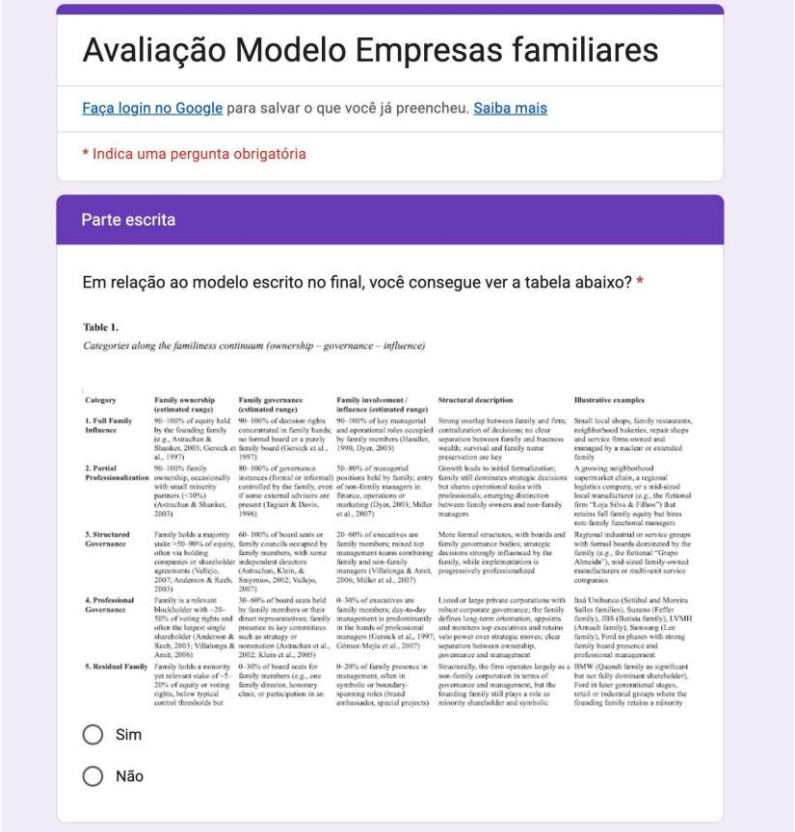
* Indica uma pergunta obrigatória

Você teve acesso à última versão do trabalho? *

- Sim
- Não

Você leu o último estudo inteiramente *

- Sim
- Não



Avaliação Modelo Empresas familiares

Faça login no Google para salvar o que você já preencheu. Saiba mais

* Indica uma pergunta obrigatória

Parte escrita

Em relação ao modelo escrito no final, você consegue ver a tabela abaixo? *

Table 1.

Categories along the familiness continuum (ownership – governance – influence)

Category	Family ownership (estimated range)	Family governance (estimated range)	Family involvement / influence (estimated range)	Structural description	Illustrative examples
1. Full Family Influence	90–100% of equity held by the founding family (e.g., Astrachan & Shanker, 2003; Gersick et al., 1997)	90–100% of decision rights concentrated in family hands; no formal board or a purely family board (Gersick et al., 1997)	90–100% of key managerial and operational roles occupied by family members (Handler, 1990; Dyer, 2003)	Strong overlap between family and firm; centralization of decisions; no clear separation between family and business wealth; survival and family name preservation are key	Small local shops, family restaurants, neighborhood bakeries, repair shops and service firms owned and managed by a nuclear or extended family
2. Partial Professionalization	90–100% family ownership, occasionally with small minority partners (<10%) (Astrachan & Shanker, 2003)	80–100% of governance instances (formal or informal) controlled by the family, even if some external advisors are present (Taguiri & Davis, 1996)	50–80% of managerial positions held by family; entry of non-family managers in finance, operations or marketing (Dyer, 2003; Miller et al., 2007)	Growth leads to initial formalization; family still dominates strategic decisions but shares operational tasks with professionals; emerging distinction between family owners and non-family managers	A growing neighborhood supermarket chain, a regional logistics company, or a mid-sized local manufacturer (e.g., the fictional firm "Loja Silva & Filhos") that retains full family equity but hires non-family functional managers
3. Structured Governance	Family holds a majority stake (>50–90% of equity, often via holding companies or shareholder agreements (Vallejo, 2007; Anderson & Reeb, 2003)	60–100% of board seats or family councils occupied by family members, with some independent directors (Astrachan, Klein, & Smyrnios, 2002; Vallejo, 2007)	20–60% of executives are family members; mixed top management teams combining family and non-family managers (Villalonga & Amit, 2006; Miller et al., 2007)	More formal structures, with boards and family governance bodies; strategic decisions strongly influenced by the family, while implementation is progressively professionalized	Regional industrial or service groups with formal boards dominated by the family (e.g., the fictional "Grupo Almeida"), mid-sized family-owned manufacturers or multi-unit service companies
4. Professional Governance	Family is a relevant blockholder with ~20–50% of voting rights and often the largest single shareholder (Anderson & Reeb, 2003; Villalonga & Amit, 2006)	30–60% of board seats held by family members or their direct representatives; family presence in key committees such as strategy or nomination (Astrachan et al., 2002; Klein et al., 2005)	0–30% of executives are family members; day-to-day management is predominantly in the hands of professional managers (Gersick et al., 1997; Gómez-Mejía et al., 2007)	Listed or large private corporations with robust corporate governance; the family defines long-term orientation, appoints and monitors top executives and retains veto power over strategic moves; clear separation between ownership, governance and management	Itaú Unibanco (Setúbal and Moreira Salles families), Suzano (Feffer family), JBS (Batista family), LVMH (Arnault family), Samsung (Lee family), Ford in phases with strong family board presence and professional management
5. Residual Family	Family holds a minority yet relevant stake of ~5–20% of equity or voting rights, below typical control thresholds but	0–30% of board seats for family members (e.g., one family director, honorary chair, or participation in an	0–20% of family presence in management, often in symbolic or boundary-spanning roles (brand ambassador, special projects)	Structurally, the firm operates largely as a non-family corporation in terms of governance and management, but the founding family still plays a role as minority shareholder and symbolic	BMW (Quandt family as significant but not fully dominant shareholder), Ford in later generational stages, retail or industrial groups where the founding family retains a minority

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